PT BANK CENTRAL ASIA Tbk
AND SUBSIDIARIES

CONSOLIDATED FINANCIAL STATEMENTS

31 DECEMBER 2023 AND 2022

DIRECTORS' STATEMENT
REGARDING
THE RESPONSIBILITY FOR THE CONSOLIDATED FINANCIAL STATEMENTS
AS AT AND FOR THE YEAR ENDED
31 DECEMBER 2023

PT BANK CENTRAL ASIA Tbk AND SUBSIDIARIES

We, the undersigned:

1. Name : Jahja Setiaatmadja
   Office Address : Menara BCA Grand Indonesia
   Jl. M.H. Thamrin No. 1, Jakarta 10310
   Home Address : Jl. Metro Kencana V/6 RT 001 RW 015,
   Pondok Pinang, Kebayoran Lama,
   Jakarta Selatan
   Phone Number : (021) 2358-8000
   Title : President Director

2. Name : Vera Eve Lim
   Office Address : Menara BCA Grand Indonesia
   Jl. M.H. Thamrin No. 1, Jakarta 10310
   Home Address : Teluk Gong Raya Blk C.4/20,
   Pejagalan, Penjaringan
   Jakarta Utara
   Phone Number : (021) 2358-8000
   Title : Director

declare that:

1. We are responsible for the preparation and the presentation of the consolidated financial statements of PT Bank Central Asia Tbk (the "Bank") and its subsidiaries;

2. The consolidated financial statements of the Bank and its subsidiaries have been prepared and presented in accordance with Indonesian Financial Accounting Standards;

3. a. All information has been fully and correctly disclosed in the consolidated financial statements of the Bank and its subsidiaries; and

   b. The consolidated financial statements of the Bank and its subsidiaries do not contain false material information or facts, nor do they omit material information or facts;

4. We are responsible for the Bank and its subsidiaries internal control system.

This statement has been made truthfully.

Jakarta, 24 January 2024

For and on behalf of the Board of Directors



Jahja Setiaatmadja
President Director

Vere Eve Lim
Director

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INDEPENDENT AUDITORS' REPORT
TO THE SHAREHOLDERS OF

PT BANK CENTRAL ASIA Tbk

Opinion

We have audited the consolidated financial statements of PT Bank Central Asia Tbk and its subsidiaries (the "Group"), which comprise the consolidated statement of financial position as at 31 December 2023, and the consolidated statement of profit or loss and other comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including material accounting policies information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2023, and its consolidated financial performance and its consolidated cash flows for the year then ended, in accordance with Indonesian Financial Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Standards on Auditing established by the Indonesian Institute of Certified Public Accountants. Our responsibilities under those standards are further described in the "Auditors' responsibilities for the audit of the consolidated financial statements" paragraph of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in Indonesia, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

The key audit matters identified in our audit are outlined as follows.

1. Expected Credit Losses ("ECL") – calculation of allowance for impairment losses on loans receivable

As described in Note 2g (Material accounting policies information - Financial assets and liabilities), Note 3 (Use of estimates and judgement), and Note 12 (Loans receivable) to the consolidated financial statements, the allowance for impairment losses for loans receivable represents the Group's best estimate of the ECL model under SFAS 71, "Financial Instruments". As at 31 December 2023, the allowance for impairment losses on loans receivable was Rp 33,308,875 million.

We focused on this area due to the significance of the carrying value of loans receivable, which represented 56% of the total consolidated assets as at 31 December 2023, and the significance of the respective allowance for impairment losses provided against those loans receivables. In determining the ECL, the Group adopted complex models, employed numerous parameters, relied on internal and external data inputs, applied significant judgements and assumptions and involved the use of estimates.

For loans receivable, which are not considered individually significant, the Group calculates ECL collectively using a risk parameter model which incorporates several key parameters, including Probability of Default ("PD"), Loss Given Default ("LGD"), Exposure at Default ("EAD"), discount rate, multiple probability weighted scenarios and ECL overlay adjustments, after considering forward-looking factors and other external information.

For impaired loans receivable, which are considered individually significant, the Group calculates ECL individually by estimating the expected cash flows to be obtained from the loans, including proceeds from the sale of collateral.

How our audit addressed the Key Audit Matter

We have performed the following procedures to address this key audit matter:

- We understood and assessed the design and effectiveness of key controls related to the ECL calculation process and tested the control over the internal credit rating process on a sample basis;
- We tested the loans staging classification, on a sample basis, and tested several key parameters used in the ECL model including PD, LGD, and EAD used in the ECL calculation. For loans receivables where ECL were calculated individually, we performed credit review, on a sample basis, by testing the estimated future cash flow to assess the adequacy of the ECL;
- We involved our credit modelling expert to review the statistical methodology applied by management in developing PD and LGD forward-looking models used in the ECL calculation;
- We evaluated the historical data and macroeconomic forecasts used in the ECL model by comparing the data with publicly available information on macroeconomic prospects; and
- We involved our IT specialists to test the completeness of the data transfer from the origin system to the ECL system and test the accuracy of the ECL for loans receivables by performing independent mathematical re-calculation.

2. Operation and controls of financial reporting Information Technology ("IT") systems

The Group is heavily reliant on its IT infrastructure, systems and controls for its daily operations and the financial reporting processes of its business. The IT environment of the Group is considered complex due to the number of key financial reporting systems and the interfaces between systems. Given these factors, we consider the operation and controls of financial reporting IT systems of the Group to be a key audit matter.

How our audit addressed the Key Audit Matter

We understood the IT environment and IT controls supporting the financial reporting process. We assessed the effectiveness of the design, implementation and operation of the key IT controls of the relevant systems.

We evaluated and assessed the following:

- Change management controls: The processes and controls used to develop, test and authorise changes to the functionality and configurations within systems;
- User access security controls: The access controls designed to enforce segregation of duties, govern the use of generic and privileged accounts and that data is only changed through authorised means; and
- IT operation related controls: The controls over operations that identify and manage IT operation issues that arise.

We evaluated relevant IT dependent controls that supported the financial reporting process, including automated calculations, transaction processing, generation of reports by systems and the interfaces between relevant systems. We inspected the relevant system configurations and tested system outputs on a sampling basis.

Other information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the consolidated financial statements and our auditors' report thereon. The annual report is expected to be made available to us after the date of this auditors' report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take appropriate actions in accordance with Standards on Auditing established by the Indonesian Institute of Certified Public Accountants.

Responsibilities of management and those charged with governance for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with Indonesian Financial Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditors' responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

JAKARTA,
24 January 2024

Lucy Luciana Suhenda, S.E., Ak., CPA
Public Accountant License No. AP.0229

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

	Notes	31 December 2023	31 December 2022
ASSETS			
Cash	2b,2g,4,37,40,43	21,701,514	21,359,509
Current accounts with Bank Indonesia	2b,2g,2i,5,37,40,43	92,617,705	104,110,295
Current accounts with other banks - net of allowance for impairment losses of Rp 899 as of 31 December 2023 (31 December 2022: Rp 743)	2b,2g,2i,6,37,40,43	5,614,353	4,751,916
Placements with Bank Indonesia and other banks - net of allowance for impairment losses of Rp 684 as of 31 December 2023 (31 December 2022: Rp 5,463)	2b,2g,2j,7,37,40,43	5,201,661	31,377,152
Financial assets at fair value through profit or loss	2g,2k,8,37,40,,43	15,058,660	2,233,129
Acceptance receivables - net of allowance for impairment losses of Rp 283,115 as of 31 December 2023 (31 December 2022: Rp 315,457)	2g,2l,9,37,40,43	14,659,624	15,199,641
Bills receivable - net of allowance for impairment losses of Rp 4,516 as of 31 December 2023 (31 December 2022: Rp 7,135)	2g,10,37,40,43	10,383,524	5,895,907
Securities purchased under agreements to resell - net of allowance for impairment losses of Rp 998 as of 31 December 2023 (31 December 2022: Rp 1,299)	2g,2n,11,37,43	93,096,153	153,965,112
Loans receivable - net of allowance for impairment losses of Rp 33,308,875 as of 31 December 2023 (31 December 2022: Rp 33,947,518)	2g,2m,12,39,40,43		
Related parties	2ak,47	8,406,659	9,372,935
Third parties		750,481,180	651,616,069
Consumer financing receivables - net of allowance for impairment losses of Rp 327,946 as of 31 December 2023 (31 December 2022: Rp 410,229)	2g,2o,13,37,43	8,713,450	8,215,427
Finance lease receivables - net of allowance for impairment losses of Rp 1,399 as of 31 December 2023 (31 December 2022: Rp 1,226)	2g,2p,37,43	139,007	121,716
Assets related to sharia transactions - net of allowance for impairment losses of Rp 422,934 as of 31 December 2023 (31 December 2022: Rp 482,088)	2g,2q	8,590,618	7,094,730
Investment securities - net of allowance for impairment losses of Rp 544,480 as of 31 December 2023 (31 December 2022: Rp 290,817)	2g,2r,14,37,40,43	312,053,624	248,895,166
Prepaid expenses	15	1,039,030	854,599
Prepaid tax	20a	24,868	24,090
Fixed assets - net of accumulated depreciation of Rp 10,100,123 as of 31 December 2023 (31 December 2022: Rp 10,071,161)	2h,2s,16	26,824,744	24,709,372
Intangible assets - net of accumulated amortisation of Rp 1,057,495 as of 31 December 2023 (31 December 2022: Rp 2,305,066)	2e,2u,17	1,564,773	1,567,120
Deferred tax assets - net	2ah,20h	7,451,236	7,321,331
Other assets - net of allowance for impairment losses of Rp 3,021 as of 31 December 2023 (31 December 2022: Rp 213)	2g,2h,2t 18,40,43		
Related parties	2ak,47	9,121	9,216
Third parties		24,475,506	16,037,242
TOTAL ASSETS		**1,408,107,010**	**1,314,731,674**

The accompanying notes to the consolidated financial statements form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

	Notes	31 December 2023	31 December 2022
LIABILITIES, TEMPORARY *SYIRKAH* DEPOSITS, AND EQUITY			
LIABILITIES			
Deposits from customers	2g,2v,19,37,40,43		
Related parties	2ak,47	2,639,237	2,412,327
Third parties		1,088,127,570	1,028,039,456
Sharia deposits	2g,2w	3,201,970	2,825,860
Deposits from other banks	2g,2v,19,37,40,43	10,070,820	7,936,206
Financial liabilities at fair value through profit or loss	2g,2k,8,37,40,43	122,765	383,273
Acceptance payables	2g,2l,9,37,40,43	6,701,256	9,666,648
Securities sold under agreements to repurchase	2g,2n,14,37,40,43 48	1,054,780	255,962
Tax payable	2ah,20b	1,727,910	2,373,869
Borrowings	2g,21,37,40,43,48	1,629,626	1,316,951
Deferred tax liabilities - net	2ah,20h	-	9,740
Estimated losses from commitments and contingencies	2g,2ab,22,40,43	3,371,674	3,438,349
Accruals and other liabilities	2g,2ab,23,40,43	29,495,865	20,429,778
Post-employment benefits obligation	2ag,38	9,032,072	7,521,225
Subordinated bonds	2g,2z,24,37,43,48	500,000	500,000
TOTAL LIABILITIES		**1,157,675,545**	**1,087,109,644**
TEMPORARY *SYIRKAH* DEPOSITS	2x	**7,893,872**	**6,440,375**
EQUITY			
Equity attributable to equity holders of parent entity			
Share capital - par value per share of Rp 12.50 (full amount)			
Authorised capital: 440,000,000,000 shares			
Issued and fully paid-up capital: 123,275,050,000 shares	1c,25	1,540,938	1,540,938
Additional paid-in capital	1c,2e,2ad,26	5,548,977	5,548,977
Revaluation surplus of fixed assets	2s,16	10,936,462	10,713,088
Foreign exchange differences arising from translation of financial statements in foreign currency	2f	422,502	430,368
Unrealised gains (losses) on financial assets at fair value through other comprehensive income - net	2g,2r,7,14	948,627	1,824,992
Retained earnings			
Appropriated	36	3,234,149	2,826,792
Unappropriated	2ag	219,723,216	198,132,066
Other equity components	2e	1,385	1,385
Total equity attributable to equity holders of parent entity		**242,356,256**	**221,018,606**
Non-controlling interest	1d,2e,46	181,337	163,049
TOTAL EQUITY		**242,537,593**	**221,181,655**
TOTAL LIABILITIES, TEMPORARY *SYIRKAH* DEPOSITS, AND EQUITY		**1,408,107,010**	**1,314,731,674**

CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEARS ENDED 31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

	Notes	2023	2022
OPERATING INCOME AND EXPENSES			
Interest and sharia income	2ad,2aj,28,47		
Interest income		86,542,585	71,560,606
Sharia income		855,189	680,585
Total interest and sharia income		87,397,774	72,241,191
Interest and sharia expense	2ad,2aj,29,47		
Interest expense		(11,954,918)	(8,071,113)
Sharia expense		(314,034)	(180,569)
Total interest and sharia expense		(12,268,952)	(8,251,682)
NET INTEREST AND SHARIA INCOME		75,128,822	63,989,509
OTHER OPERATING INCOME			
Fees and commission income - net	2ae,30	16,652,716	16,583,605
Net income from transaction at fair value through profit or loss	2af,31	1,887,500	1,287,406
Others		6,276,335	5,615,797
Total other operating income		24,816,551	23,486,808
Impairment losses on assets	2g,32	(2,263,049)	(4,526,619)
OTHER OPERATING EXPENSES			
Personnel expenses	2ag,2aj,33,38,47	(16,197,811)	(13,651,458)
General and administrative expenses	2aj,16,34,47	(17,496,896)	(15,390,436)
Others		(3,807,860)	(3,440,771)
Total other operating expenses		(37,502,567)	(32,482,665)
INCOME BEFORE TAX		60,179,757	50,467,033
INCOME TAX EXPENSE	2ah,20c	(11,521,662)	(9,711,461)
NET INCOME		**48,658,095**	**40,755,572**
OTHER COMPREHENSIVE INCOME:			
Items that will not be reclassified to profit or loss:			
Remeasurements of defined benefit obligation	2ag,38	(559,449)	(349,596)
Income tax on remeasurements of defined benefit obligation	2ah	106,457	66,252
		(452,992)	(283,344)
Revaluation surplus of fixed assets	2s,16	231,837	1,225,786
		(221,155)	942,442
Items that will be reclassified to profit or loss:			
Unrealised gains (losses) on financial assets at fair value through other comprehensive income	2j,2r,7,14	(1,083,532)	(5,329,799)
Income tax	2ah	206,344	1,011,931
		(877,188)	(4,317,868)
Foreign exchange differences arising from translation of financial statements in foreign currency	2f	(7,866)	52,708
		(885,054)	(4,265,160)
OTHER COMPREHENSIVE INCOME, NET OF INCOME TAX		(1,106,209)	(3,322,718)
TOTAL COMPREHENSIVE INCOME (Carried forward)		**47,551,886**	**37,432,854**

CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEARS ENDED 31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

	Notes	2023	2022
TOTAL COMPREHENSIVE INCOME (Brought forward)		**47,551,886**	**37,432,854**
NET INCOME ATTRIBUTABLE TO:			
Equity holders of parent entity		48,639,122	40,735,722
Non-controlling interest	2e,46	18,973	19,850
		48,658,095	**40,755,572**
COMPREHENSIVE INCOME ATTRIBUTABLE TO:			
Equity holders of parent entity		47,533,598	37,413,477
Non-controlling interest	2e,46	18,288	19,377
		47,551,886	**37,432,854**
BASIC AND DILUTED EARNINGS PER SHARE ATTRIBUTABLE TO EQUITY HOLDERS OF PARENT ENTITY (full amount)	2ac,35	395	330

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE YEARS ENDED 31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

		2023										
		Attributable to equity holders of parent entity										
	Notes	Issued and fully paid-up capital	Additional paid-in capital	Revaluation surplus of fixed assets	Foreign exchange differences arising from translation of financial statements in foreign currency	Unrealised gains (losses) on financial assets at fair value through other comprehensive income - net	Retained earnings		Other equity components	Total equity attributable to equity holders of parent entity	Non-controlling interest	Total equity
							Appropriated	Unappropriated				
Balance, 31 December 2022		**1,540,938**	**5,548,977**	**10,713,088**	**430,368**	**1,824,992**	**2,826,792**	**198,132,066**	**1,385**	**221,018,606**	**163,049**	**221,181,655**
Net income for the year		-	-	-	-	-	-	48,639,122	-	48,639,122	18,973	48,658,095
Revaluation surplus of fixed assets	2s,16	-	-	223,374	-	-	-	8,463	-	231,837	-	231,837
Foreign exchange differences arising from translation of financial statements in foreign currency	2f	-	-	-	(7,866)	-	-	-	-	(7,866)	-	(7,866)
Unrealised gain (losses) on financial assets at fair value through other comprehensive income - net	2j,2r,7,14	-	-	-	-	(876,365)	-	-	-	(876,365)	(823)	(877,188)
Remeasurements of defined benefit liability - net	2ag,2ah,38	-	-	-	-	-	-	(453,130)	-	(453,130)	138	(452,992)
Total comprehensive income for the year		-	-	223,374	(7,866)	(876,365)	-	48,194,455	-	47,533,598	18,288	47,551,886
General reserve	36	-	-	-	-	-	407,357	(407,357)	-	-	-	-
Cash dividends	36	-	-	-	-	-	-	(26,195,948)	-	(26,195,948)	-	(26,195,948)
Balance, 31 December 2023		**1,540,938**	**5,548,977**	**10,936,462**	**422,502**	**948,627**	**3,234,149**	**219,723,216**	**1,385**	**242,356,256**	**181,337**	**242,537,593**

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE YEARS ENDED 31 DECEMBER 2023 and 2022
(Expressed in millions of Rupiah, unless otherwise stated)

		2022										
		Attributable to equity holders of parent entity										
	Notes	Issued and fully paid-up capital	Additional paid-in capital	Revaluation surplus of fixed assets	Foreign exchange differences arising from translation of financial statements in foreign currency	Unrealised gains (losses) on financial assets at fair value through other comprehensive income - net	Retained earnings		Other equity components	Total equity attributable to equity holders of parent entity	Non-controlling interest	Total equity
							Appropriated	Unappropriated				
Balance, 31 December 2021		**1,540,938**	**5,548,977**	**9,521,504**	**377,660**	**6,142,177**	**2,512,565**	**177,067,556**	**1,385**	**202,712,762**	**136,172**	**202,848,934**
Net income for the year		-	-	-	-	-	-	40,735,722	-	40,735,722	19,850	40,755,572
Revaluation surplus of fixed assets	2s,16	-	-	1,191,584	-	-	-	34,202	-	1,225,786	-	1,225,786
Foreign exchange differences arising from translation of financial statements in foreign currency	2f	-	-	-	52,708	-	-	-	-	52,708	-	52,708
Unrealised gain (losses) on financial assets at fair value through other comprehensive income - net	2j,2r,7,14	-	-	-	-	(4,317,185)	-	-	-	(4,317,185)	(683)	(4,317,868)
Remeasurements of defined benefit liability - net	2ag,2ah,38	-	-	-	-	-	-	(283,554)	-	(283,554)	210	(283,344)
Total comprehensive income for the year		-	-	1,191,584	52,708	(4,317,185)	-	40,486,370	-	37,413,477	19,377	37,432,854
General reserve	36	-	-	-	-	-	314,227	(314,227)	-	-	-	-
Cash dividends	36	-	-	-	-	-	-	(19,107,633)	-	(19,107,633)	-	(19,107,633)
Paid-in capital on Subsidiary	46	-	-	-	-	-	-	-	-	-	7,500	7,500
Balance, 31 December 2022		**1,540,938**	**5,548,977**	**10,713,088**	**430,368**	**1,824,992**	**2,826,792**	**198,132,066**	**1,385**	**221,018,606**	**163,049**	**221,181,655**

CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED 31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

	Notes	2023	2022
CASH FLOWS FROM OPERATING ACTIVITIES			
Receipts of interest and sharia income, fees and commissions		106,414,649	89,720,816
Other operating income		6,355,896	5,595,626
Payments of interest and sharia expenses, fees and commissions		(12,184,461)	(8,372,338)
Payments of post-employment benefits	38	(369,720)	(362,848)
Gains from foreign exchange transactions - net		(465,294)	3,083,584
Other operating expenses		(35,130,988)	(29,944,225)
Payment of tantiem to Board of Commissioners and Board of Directors	36	(660,000)	(493,000)
Other increases (decreases) affecting cash:			
Placements with Bank Indonesia and other banks - mature more than 3 (three) months from the date of acquisition		417,504	9,776,116
Financial assets at fair value through profit or loss		(12,118,168)	(209,675)
Acceptance receivables		572,359	(4,054,784)
Bills receivable		(4,489,425)	633,297
Securities purchased under agreements to resell		60,869,260	(6,900,307)
Loans receivable		(100,405,857)	(73,189,294)
Consumer financing receivables		(670,970)	(222,986)
Finance leases receivables - net		(17,464)	(38,002)
Assets related to sharia transactions		(1,712,883)	(1,456,064)
Other assets		(7,521,645)	(25,785)
Deposits from customers		61,073,381	55,348,155
Sharia deposits		376,110	1,205,821
Deposits from other banks		2,154,145	(2,241,366)
Acceptance payables		(2,965,392)	3,022,354
Accruals and other liabilities		9,010,494	2,293,350
Temporary *syirkah* deposits		1,453,497	718,387
Net cash provided by (used in) operating activities before income tax		69,985,028	43,886,832
Payment of income tax		(11,869,562)	(10,107,569)
Net cash provided by (used in) operating activities		**58,115,466**	**33,779,263**
CASH FLOWS FROM INVESTING ACTIVITIES			
Acquisition of investment securities		(162,676,803)	(136,240,737)
Proceeds from sales of investment securities		50,000	150,000
Proceeds from investment securities that matured during the year		97,872,788	107,010,907
Cash dividends received from investment in shares		34,528	46,530
Acquisition of fixed assets		(4,697,731)	(2,631,226)
Acquisition of right-of-use assets		(401,617)	(723,780)
Proceeds from sale of fixed assets	16	22,086	5,320
Net cash provided by (used in) investing activities		**(69,796,749)**	**(32,382,986)**

CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED 31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

	Notes	2023	2022
CASH FLOWS FROM FINANCING ACTIVITIES			
Payment of debt securities issued	48	-	(483,000)
Proceeds from borrowings	48	49,928,825	23,546,543
Payment of borrowings	48	(49,607,671)	(23,237,805)
Proceed from increase of non-controlling interest	46	-	7,500
Payment of cash dividends	36	(26,195,948)	(19,107,633)
Proceeds from securities sold under agreements to repurchase	48	2,332,995	1,490,501
Payment of securities sold under agreements to repurchase	48	(1,528,882)	(1,332,322)
Net cash provided by (used in) financing activities		**(25,070,681)**	**(19,116,216)**
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS		(36,751,964)	(17,719,939)
CASH AND CASH EQUIVALENTS, BEGINNING OF YEAR		160,422,371	177,268,685
EFFECT OF FOREIGN EXCHANGE RATE FLUCTUATIONS ON CASH AND CASH EQUIVALENTS		725,580	873,625
CASH AND CASH EQUIVALENTS, END OF YEAR		**124,395,987**	**160,422,371**
Cash and cash equivalents consist of:			
Cash	4	21,701,514	21,359,509
Current accounts with Bank Indonesia	5	92,617,705	104,110,295
Current accounts with other banks - net	6	5,615,252	4,752,659
Placements with Bank Indonesia and other banks - mature within 3 (three) months or less from the date of acquisition	7	4,461,516	30,199,908
Total cash and cash equivalents		**124,395,987**	**160,422,371**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL

a. Establishment and general information of the Bank

PT Bank Central Asia Tbk ("Bank") was established in the Republic of Indonesia based on the Deed of Establishment No. 38 dated 10 August 1955, drawn up before Raden Mas Soeprapto, Deputy Notary in Semarang under the name "N.V. Perusahaan Dagang Dan Industrie Semarang Knitting Factory". This deed has been approved by the Minister of Justice based on stipulation No. J.A.5/89/19 dated 10 October 1955 and announced in State Gazette No. 62 dated 3 August 1956, Supplement No. 595. Since its establishment, the name of the Bank has been changed several times, and the name change to PT Bank Central Asia based on the Deed of Amendment to the Articles of Association No. 144 dated 21 May 1974, made before Wargio Suhardjo, S.H., substitute for Notary Ridwan Suselo, Notary in Jakarta.

The Bank's Articles of Association have been amended several times in accordance with:

a. The Bank's changed its status from a private company to publicly-listed company based on the Deed of Amendment to the Articles of Association No. 62 dated 29 December 1999, made by Notary Hendra Karyadi, S.H., which has been approved by the Minister of Justice in its decision letter No. C-21020 HT.01.04.TH.99 dated 31 December 1999 and published in Official Gazette (*Berita Negara*) of the Republic of Indonesia No. 30, dated 14 April 2000, Supplement No. 1871;
b. Law No. 40 of 2007 on Limited Liability Companies, and Capital Market and Financial Institution Supervisory Agency ("Bapepam-LK") Regulation No. IX.J.1 on The Principle of the Company's Articles of Association that performs Public Offering of Securities Issued and Public Company, Appendix of decree of the Head of Bapepam-LK No. Kep-179/BL/2008 dated 14 May 2008 as stated in the Deed of Statement of Meeting Resolution No. 19, dated 15 January 2009, made by Doktor Irawan Soerodjo, S.H., M.Si., Notary in Jakarta, which has been approved by the Minister of Law and Human Rights of the Republic of Indonesia in decision letter No. AHU-12512.AH.01.02. Year 2009, dated 14 April 2009;
c. Regulation of Financial Services Authority ("POJK") No.32/POJK.04/2014 on the Planning and Organisation of General Meeting of Shareholders of Public Limited Companies and POJK No.33/POJK.04/2014 on the Board of Directors and the Board of Commissioners of Issuers or Public Companies, as stated in the Deed of Statement of Meeting Resolution No. 171, dated 23 April 2015, made by Dr. Irawan Soerodjo, S.H., M.Si., Notary in Jakarta, the notification of the amendment of such Articles of Association has been received and recorded in the Legal Entities Administrative System, Minister of Law and Human Rights of the Republic of Indonesia as stated in letter No. AHU-AH.01.03-0926937, dated 23 April 2015.

Bank's Articles of Association has been amended and restated as stated in the Deed of Statement of Meeting Resolution No. 145, dated 24 August 2020, made by Christina Dwi Utami S.H., M.Hum., M.Kn., Notary in West Jakarta, the notification of the amendment of such Articles of Association has been received and recorded in the Legal Entities Administrative System, Minister of Law and Human Rights of the Republic of Indonesia as stated in its letter No. AHU-AH.01.03-0383825 dated 8 September 2020, furthermore amended by the Deed of Statement of Meeting Resolution No. 218, dated 27 September 2021, made by Christina Dwi Utami S.H., M.Hum., M.Kn., Notary in West Jakarta, the notification of the amendment of the Bank's Articles of Association has been received and recorded in the Legal Entities Administrative System, Minister of Law and Human Rights of the Republic of Indonesia as stated in its decision letter No. AHU-AH.01.03-0453543 dated 27 September 2021.

1. GENERAL (continued)

a. Establishment and general information of the Bank (continued)

According to with Article 3 of the Bank's Articles of Association, the purpose and objective of the Bank is to operate as a commercial bank. The Bank is engaged in banking activities and other financial services in accordance with the prevailing regulations in Indonesia. The Bank obtained a license to conduct business as a commercial bank under the Minister of Finance Decision Letter No. 42855/U.M.II dated 14 March 1957. The Bank obtained its license to engage in foreign exchange activities based on the Directors of Bank Indonesia Decision Letter No. 9/110/Kep/Dir/UD dated 28 March 1977.

The Bank is domiciled in Central Jakarta with its head office located at Jalan M.H. Thamrin No. 1. As of 31 December 2023 and 2022, the number of branches and representative offices owned by the Bank was as follows:

	2023	2022
Domestic branches*)	1,258	1,247
Overseas representative offices	2	2
	1,260	1,249

*) including cash sub-branches

The domestic branches are located in major business centres all over Indonesia. The overseas representative offices are located in Hong Kong and Singapore.

b. Recapitalisation

Based on the Indonesian Bank Restructuring Agency (“IBRA”) Decision Letter No. 19/BPPN/1998 dated 28 May 1998, IBRA took over the operations and management of the Bank. Accordingly, the Bank’s status was changed into a Bank Taken Over (“BTO”). The Bank was determined as a participant of the bank recapitalisation program under the Minister of Finance and the Governor of Bank Indonesia joint decision No. 117/KMK.017/1999 and No. 31/15/KEP/GBI dated 26 March 1999 regarding the implementation of the bank recapitalisation program for Bank Taken Over.

In conjunction with the recapitalisation program, on 28 May 1999 the Bank received a payment of Rp 60,877,000 from the Government of the Republic of Indonesia. This amount consisted of (i) the principal amount of loans granted to affiliated companies that were transferred to IBRA (consisting of Rp 47,751,000 transferred effectively on 21 September 1998 and Rp 4,975,000 transferred effectively on 26 April 1999), and (ii) accrued interest on the loans granted to affiliated companies calculated from their respective effective transfer dates up to 30 April 1999, amounted to Rp 8,771,000, reduced by (iii) the excess of outstanding Liquidity Assistance (including interest) amounted to Rp 29,100,000 over the recapitalisation payment from the government through IBRA of Rp 28,480,000. On the same date, the Bank used such proceeds to purchase newly issued government bonds of Rp 60,877,000 (consisted of fixed-rate government bonds amounted to Rp 2,752,000 and variable-rate government bonds amounted to Rp 58,125,000 through Bank Indonesia).

Pursuant to the Chairman of IBRA Decision Letter No. SK-501/BPPN/0400 dated 25 April 2000, IBRA returned the Bank to Bank Indonesia effective on that date. To fulfil the requirement of Bank Indonesia Regulation (“PBI”) No. 2/11/PBI/2000 dated 31 March 2000, Bank Indonesia announced in its press release Peng. No. 2/4/Bgub dated 28 April 2000, that the recovery program including the restructuring of the Bank had been completed and the Bank had been returned to be under the supervision of Bank Indonesia.

1. GENERAL (continued)

c. Bank's shares and subordinated bonds

Bank's Shares

Based on the Letter of the Chairman of the Capital Market Supervisory Agency No. S-1037/PM/2000 dated 11 May 2000, the Bank through an Initial Public Offering, offered its 662,400,000 shares with total par value of Rp 331,200 (offering price of Rp 1,400 (full amount) per share), which represents 22% (twenty two percent) of the issued and paid-up share capital, as part of the divestment of shares owned by the Republic of Indonesia as represented by IBRA. This public offering was registered at the Jakarta Stock Exchange and the Surabaya Stock Exchange on 31 May 2000 (both exchanges have been merged and now named the Indonesia Stock Exchange).

Extraordinary General Meeting of Shareholders ("EGMS") dated 12 April 2001 (deed of minutes of EGMS No. 25 dated 12 April 2001 made by Hendra Karyadi, S.H., Notary in Jakarta) approved the stock split of the Bank's shares, from Rp 500 (full amount) per share split into 2 (two) shares with a nominal value of Rp 250 (full amount) per share, and agreed to increase/addition of issued and paid up capital of Rp 73,599,650,000 through the Share Based Management Compensation Program ("MSOP"). Amendments to the Bank's articles of association related to the stock split as stated in the Deed of Statement of Meeting Resolutions No. 30 dated 12 April 2001, made by Hendra Karyadi, S.H., Notary in Jakarta, whereby the report on the Amendment to the Articles of Association has been received and recorded by the Department of Justice and Human Rights, as stated in its letter No. C-4805 HT.01.04-TH.2001, dated 18 April 2001.

Based on the Letter of the Chairman of the Capital Market Supervisory Agency No. S-1611/PM/2001 dated 29 June 2001, the Bank re-offer additional 588,800,000 shares with total par value of Rp 147,200 (at an offering price of Rp 900 (full amount) per share), which represents 10% (ten percent) of the issued and paid-up share capital, as part of the divestment of shares owned by the Republic of Indonesia as represented by IBRA. This public offering was registered at the Jakarta Stock Exchange and the Surabaya Stock Exchange on 10 July 2001.

Annual General Meeting of Shareholders ("GMS") dated 6 May 2004 (Deed of minutes of Annual GMS No. 16 dated 6 May 2004 made by Notary Hendra Karyadi, S.H., Notary in Jakarta) has approved the split of the nominal value of the Bank's shares of Rp 250 (full amount) per share split into 2 (two) Bank shares with a nominal value of Rp 125 (full amount) per share. Amendments to the Bank's Articles of Association related to the stock split as stated in the Notarial Deed of Hendra Karyadi, S.H., Notary in Jakarta, No. 40 dated 18 May 2004, the report of which has been received and recorded in the *Sistem Administrasi Badan Hukum* ("Sisminbakum") Database, Directorate General of General Legal Administration, Ministry of Justice and Human Rights of the Republic of Indonesia No. C-13176HT.01.04.TH.2004 dated 26 May 2004.

EGMS dated 26 May 2005 (Deed of minutes of EGMS No. 42 dated 26 May 2005 made by Notary Hendra Karyadi, S.H., Notary in Jakarta) has approved the buy back shares by the Bank, provided that the buy back shares are approved by Bank Indonesia, the number of shares to be bought back does not exceed 5% (five percent) of the total number of shares the Bank has issued until 31 December 2004, in total 615,160,675 shares and the total fund for share buyback does not exceed Rp 2,153,060. With the Letter No. 7/7/DPwB2/PwB24/Rahasia dated 16 November 2005, Bank Indonesia has no objection on the Bank's plan to buy back its shares.

1. GENERAL (continued)

c. Bank's shares and subordinated bonds (continued)

Bank's Shares (continued)

EGMS dated 15 May 2007 (Deed of minutes of EGMS No. 6 dated 15 May 2007 drawn up by Notary Hendra Karyadi, S.H., Notary in Jakarta) has approved the buy back of the Bank's shares phase II, provided that the buy back shares has been approved by Bank Indonesia and carried out from time to time for 18 (eighteen) months from the date of the meeting, the number of shares to be repurchased does not exceed 1% (one percent) of the total shares issued by the Bank until 27 April 2007 or a total of 123,275,050 shares, and the amount of funds to buy back shares does not exceed Rp 678,013. With the Letter No. 9/160/DPB 3/TPB 3-2 dated 11 October 2007, the Bank has obtained approval from Bank Indonesia regarding to the phase II of share buy back.

EGMS on 28 November 2007 (Deed of minutes of EGMS No. 33 dated 28 November 2007 made by Notary Hendra Karyadi, S.H., Notary in Jakarta), has approved the split of the Bank's shares of Rp 125 (full amount) per share split into 2 (two) Bank shares with a nominal value of Rp 62.50 (full amount) per share. Amendments to the Bank's Articles of Association regarding the stock split as stated in the Deed of Statement of Meeting Resolutions No. 6 dated 11 December 2007 drawn up before Notary Hendra Karyadi, S.H., Notary in Jakarta whose receipt of notification has been received and recorded by the Ministry of Justice and Human Rights of the Republic of Indonesia, as stated in its letter No. AHU-AH.01.10-0247 dated 3 January 2008.

Based on Letter No. 038/IQ-ECM/LTR/HFJ/XI/2008.TRIM dated 26 November 2008, the buy back of shares stage II for the period of 11 February 2008 to 13 November 2008 had been performed with the number of shares bought back in total of 397,562 lot or 198,781,000 shares at the average acquisition cost of Rp 3,106.88 (full amount) per share. Therefore, the total shares bought back as of 13 November 2008 were 289,767,000 shares with a total amount of Rp 808,585.

On 7 August 2012, the Bank sold 90,986,000 shares of its treasury stocks at Rp 7,700 (full amount) per share, with total net sales amounted to Rp 691,492. The difference between the acquisition costs and the selling price of treasury stocks amounted to Rp 500,496 was recorded as "additional paid-in capital from treasury stock transactions", which is part of additional paid-in capital (Note 26). As of 31 December 2012, total treasury stocks of the Bank were 198,781,000 shares with a total amount of Rp 617,589.

On 7 February 2013, the Bank sold 198,781,000 shares of its treasury stocks at Rp 9,900 (full amount) per share, with total net sales amounted to Rp 1,932,528. The difference between the acquisition costs and the selling price of treasury stocks amounted to Rp 1,314,939 was recorded as "additional paid-in capital from treasury stock transactions", which is part of additional paid-in capital (Note 26). As of 31 December 2013, the Bank did not have any treasury stocks.

1. GENERAL (continued)

c. Bank's shares and subordinated bonds (continued)

Bank's Shares (continued)

EGMS on 23 September 2021 (minutes of EGMS No. 178 dated 23 September 2021 made by Notary Christina Dwi Utami S.H., M.Hum., M.Kn., Notary in West Jakarta), approved to conduct a stock split of the Bank's shares from Rp 62.50 (full amount) split into 5 Bank's shares with nominal value Rp 12.50 (full amount) per share. The Amendment of the Bank's Articles of Association regarding such stock split stated in the Deed of Statement of Meeting Resolution No. 218 dated 27 September 2021 made by Notary Christina Dwi Utami S.H., M.Hum., M.Kn., Notary in West Jakarta, whose notification has been received and recorded by the Minister of Law and Human Rights of the Republic of Indonesia, as stated in the Letter No. AHU-AH.01.03-0453543 dated 27 September 2021. Starting 13 October 2021, the Bank's shares recorded in Indonesia Stock Exchange after stock split is 122,042,299,500 shares with nominal value Rp 12.50 (full amount) per share.

The Bank's immediate parent company is PT Dwimuria Investama Andalan, which was incorporated in Indonesia, the owner of 54.94% of Bank's shares as of 31 December 2023 and 2022. The ultimate shareholders of the Bank are Mr. Robert Budi Hartono and Mr. Bambang Hartono.

Subordinated Bonds

Bank Central Asia Continuous Subordinated Bonds I Phase I Year 2018 were offered at par value. Interest will be paid on a quarterly basis based on interest payment due date. The first payment is on 5 October 2018, while the last payment of interest will be paid on the maturity date of the bond's principal.

The Bank entered into a Trusteeship Agreement of Bank Central Asia Continuous Subordinated Bonds I Phase I Year 2018 with PT Bank Rakyat Indonesia (Persero) Tbk (act as the Bond's Trustee) as stated in Deed of Trusteeship Agreement of Bank Central Asia Continuous Subordinated Bonds I Phase I Year 2018 No. 27 dated 22 March 2018, made by Aulia Taufani, S.H., Notary in Jakarta. This agreement underwent several amendments, as stated in Deed of Amendment I No. 5 dated 5 June 2018 and Amendment II No. 2 dated 3 July 2018.

As of 31 December 2023 and 2022, the rating of Bank Central Asia Continuous Subordinated Bonds I Phase I Year 2018 based on Pefindo was idAA. On 26 June 2018, the bonds were listed on the Indonesia Stock Exchange (Note 24).

1. GENERAL (continued)

d. The Subsidiaries

The Subsidiaries, directly and non-directly owned by the Bank as of 31 December 2023 and 2022, were as follows:

Name of the Company	Year of starting the commercial operation	Type of business	Domicile	Percentage of ownership		Total assets	
				2023	2022	2023	2022
PT BCA Finance	1981	Investment financing, working capital financing, multipurpose financing, operating lease, other financing activities based on approval from authorised agency	Jakarta	100%	100%	8,939,789	8,496,916
BCA Finance Limited	1975	Money lending and remittance	Hong Kong	100%	100%	938,992	1,449,430
PT Bank BCA Syariah	1991	Sharia banking	Jakarta	100%	100%	14,471,734	12,671,668
PT BCA Sekuritas	1990	Securities brokerage dealer and underwriter for issuance of securities	Jakarta	90%	90%	1,907,290	1,238,341
PT Asuransi Umum BCA	1988	General or loss insurance	Jakarta	100%	100%	3,005,651	2,431,927
PT BCA Multi Finance	2010	Investment financing, working capital financing, multipurpose financing, operating lease, other financing activities based on approval from authorised agency	Jakarta	100%	100%	1,826,864	1,528,916
PT Asuransi Jiwa BCA	2014	Life insurance	Jakarta	90%	90%	2,878,724	2,347,921
PT Central Capital Ventura	2017	Venture capital	Jakarta	100%	100%	435,178	480,619
PT Bank Digital BCA	1965	Banking	Jakarta	100%	100%	13,506,728	11,054,851

PT BCA Finance

PT BCA Finance, a company domiciled in Indonesia and located at Wisma BCA Pondok Indah, 2nd Floor, Jalan Metro Pondok Indah No. 10, South Jakarta, is engaged in investment financing, working capital financing, multipurpose financing, operating lease, other financing activities based on approval from authorised agency.

PT BCA Finance was established in 1981 under the name of PT Central Sari Metropolitan Leasing Corporation (“CSML”). At its inception, the shareholders of CSML were PT Bank Central Asia and Japan Leasing Corporation.

In 2001, PT Central Sari Metropolitan Leasing Corporation changed its name to PT Central Sari Finance (“CSF”), followed by the change in the composition of its shareholders, where PT Bank Central Asia Tbk became the majority shareholder, and the change in its business focus to motor vehicles financing activities, particularly in vehicles with four or more wheels. Further, based on the Decision Letter of Minister of Law and Human Rights of the Republic of Indonesia No. C-08091 HT.01.04.TH.2005 dated 28 March 2005, PT Central Sari Finance’s name was changed to PT BCA Finance.

1. GENERAL (continued)

d. The Subsidiaries (continued)

BCA Finance Limited

BCA Finance Limited, a company domiciled in Hong Kong and located at The Center, 47th Floor, Unit 4707, 99 Queen's Road Central, Hong Kong, is engaged in money lending and remittance and has been operated commercially since 1975.

PT Bank BCA Syariah

PT Bank BCA Syariah, a company domiciled in Indonesia and located at Jalan Raya Jatinegara Timur No. 72, East Jakarta, is engaged in sharia banking activities and has been operated commercially since 1991.

Based on the Deed of Resolutions in lieu of General Meeting of Shareholders of PT Bank UIB No. 49, of Notary Ny. Pudji Redjeki Irawati, S.H., dated 16 December 2009, PT Bank UIB changed its business activities to become sharia bank and changed its name to PT Bank BCA Syariah. The deed of amendment was approved by the Minister of Justice of the Republic of Indonesia in its Decision Letter No. AHU-01929.AH.01.02 dated 14 January 2010.

The change in business activities of this subsidiary from conventional bank into sharia bank was approved by the Governor of Bank Indonesia through its Decision Letter No. 12/13/KEP.GBI/DpG/2010 dated 2 March 2010. Through this approval, on 5 April 2010, PT Bank BCA Syariah officially operated as a sharia bank.

On 10 December 2020, PT Bank BCA Syariah entered into a merger with PT Bank Interim Indonesia, a company domiciled in Jakarta. The decision on the merger is stated in Deed No. 65 made by Notary Christina Dwi Utami S.H., M.Hum., M.Kn., Notary in Jakarta, dated 16 November 2020.

1. Merger plan of PT Bank BCA Syariah and PT Bank Interim Indonesia, in which PT Bank BCA Syariah will act as the beneficiary bank.
2. Compile the merger plan.
3. Approve the stock split of the Bank in accordance with the merger plan, where 1 share will be split into 1,000 shares so that the nominal value of the Bank's shares, which was originally Rp 1,000,000 (one million Rupiah) for each share, becomes Rp 1,000 (one thousand Rupiah) for each share.
4. Approved the increase in issued and paid-up capital in relation to the merger by issuing 258,883,207 new shares so that the total number of outstanding shares was 2,255,183,207 shares. The new shares will be allocated to shareholders of PT Bank Interim Indonesia consist of PT Bank Central Asia Tbk will get 258,883,137 shares and PT BCA Finance will get 70 shares.

The deed of amendment was approved by the Minister of Law and Human Rights of the Republic of Indonesia in its Decision Letter No. AHU-AH.01.10-0012509, dated 10 December 2020.

1. GENERAL (continued)

d. The Subsidiaries (continued)

PT BCA Sekuritas

PT BCA Sekuritas, a company domiciled in Indonesia and located at Menara BCA, Grand Indonesia, 41st Floor, Suite 4101, Jalan M.H. Thamrin No. 1, Jakarta, is engaged as securities brokerage dealer and underwriter for issuance of securities since 1990.

On 2 October 2012, based on the Deed of Minutes of Extraordinary General Meeting of Shareholders of PT Dinamika Usaha Jaya No. 5, made by Notary Dr. Irawan Soerodjo, S.H., M.Si., PT Dinamika Usaha Jaya changed its name to PT BCA Sekuritas. This Amendment was approved by the Minister of Law and Human Rights of the Republic of Indonesia in its Decision Letter No. AHU-54329.AH.01.02 dated 22 October 2012.

PT Asuransi Umum BCA

PT Asuransi Umum BCA, a company domiciled in Indonesia and located at Sahid Sudirman Center Building, 10th Floor, Unit E, F, G, H Jalan Jenderal Sudirman Kav. 86, Jakarta, is engaged in insurance activities, particularly in general or loss insurance activities.

PT Asuransi Umum BCA was established in 1988 under the name of PT Asuransi Ganesha Danamas. In 2006, PT Asuransi Ganesha Danamas changed its name to PT Transpacific General Insurance and later in 2011, this subsidiary's name was changed to PT Central Sejahtera Insurance.

On 5 December 2013, based on the Deed of Minutes of Extraordinary General Meeting of Shareholders of PT Central Sejahtera Insurance No. 7, made by Notary Veronica Sandra Irawaty Purnadi, S.H., PT Central Sejahtera Insurance changed its name to PT Asuransi Umum BCA. This change was approved by the Minister of Law and Human Rights of the Republic of Indonesia in its Decision Letter No. AHU-64973.AH.01.02 dated 11 December 2013.

PT BCA Multi Finance

PT BCA Multi Finance, a company domiciled in Indonesia and located at WTC Mangga Dua, 6th Floor, Block CL No. 001, Jalan Mangga Dua Raya No. 8, Kelurahan Ancol, Kecamatan Pademangan, Jakarta, is engaged in investment financing, working capital financing, multipurpose financing, operating lease, other financing activities based on approval from authorised agency.

PT Central Santosa Finance was incorporated in the Republic of Indonesia with Deed of Notary Fransiscus Xaverius Budi Santosa Isbandi, S.H., dated 29 April 2010 No. 95. The deed was approved by the Minister of Law and Human Rights of the Republic of Indonesia in its Decision Letter No. AHU-23631.AH.01.01 dated 10 May 2010.

On 27 May 2019, based on the Deed of Minutes of Extraordinary General Meeting of Shareholders of PT Central Santosa Finance No. 54 made by Notary Veronica Sandra Irawaty Purnadi, S.H., PT Central Santosa Finance changed its name to PT BCA Multi Finance. This change was approved by Minister of Law and Human Rights of the Republic of Indonesia in its Decision Letter No. AHU-0029530.AH.01.02 dated 29 May 2019.

1. GENERAL (continued)

d. The Subsidiaries (continued)

PT Asuransi Jiwa BCA

PT Asuransi Jiwa BCA, a company domiciled in Indonesia and located at Chase Plaza Building, 22nd floor, Jalan Jenderal Sudirman Kav 21, Jakarta 12920, is engaged in life insurance activities, including life insurance with sharia principle.

PT Asuransi Jiwa BCA was incorporated in the Republic of Indonesia with Deed of Notary Dr. Irawan Soerodjo, S.H., M.Si., dated 16 October 2013 No. 90. This deed was approved by the Minister of Law and Human Rights of the Republic of Indonesia in its Decision Letter No. AHU-56809.AH.01.01 dated 7 November 2013.

The Subsidiary obtained business permit in life insurance activities from the Chairman of the Board of Commissioner of Financial Services Authority ("OJK") through Decision Letter No. KEP-91/D.05/2014 dated 14 July 2014.

PT Central Capital Ventura

PT Central Capital Ventura, a company domiciled in Indonesia and located at Office 8 Building, 16th floor, Unit F, SCBD Lot 28, Jalan Jenderal Sudirman Kav 52-53, Kelurahan Senayan, Kecamatan Kebayoran Baru, South Jakarta, is engaged in venture capital activities.

PT Central Capital Ventura was incorporated in the Republic of Indonesia with Deed of Notary Veronica Sandra Irawaty Purnadi, S.H., dated 25 January 2017 No. 15. This deed approved by the Minister of Law and Human Rights of the Republic of Indonesia in its Decision Letter No. AHU-0004845.AH.01.01 dated 2 February 2017. The Subsidiary obtained venture capital business permit based on Copy of Decision of Board of Commissioner of Financial Services Authority No. KEP-39/D.05/2017 dated 19 June 2017.

PT Bank Digital BCA

PT Bank Digital BCA, a company domiciled in Indonesia and located at Jalan Suryopranoto No. 52, Central Jakarta, Indonesia, is engaged in banking and has been operated since 1965.

PT Bank Digital BCA was established under the name of PT Bank Rakjat Parahyangan based on Notarial Deed No. 35 of Notary R. Soerojo Wongsowidjojo, S.H., dated 25 October 1965. Based on Amendments to the Articles of Association No. 19 dated 21 August 1982, of Notary R. Soerojo Wongsowidjojo, S.H., PT Bank Rakjat Parahyangan changed its name to PT Bank Pasar Rakyat Parahyangan. The deed of establishment was approved by Ministry of Justice of the Republic of Indonesia in its Decision Letter No. C2-1092-HT.01.01.TH.82 dated 3 September 1982.

In 1990, based on the Deed of Resolution of PT Bank Pasar Rakyat Parahyangan No. 68 dated 8 January 1990, made by Notary Misahardi Wilamarta, S.H., PT Bank Pasar Rakyat Parahyangan changed its name to PT Bank Royal Indonesia, with status and activity of conventional Bank, and the location changed to Jakarta.

PT Bank Royal Indonesia obtained its conventional banking license from the Minister of Finance of the Republic of Indonesia through its letter No. 1090/KMK.013/090 dated 12 September 1990 and as foreign currency trader from Bank Indonesia through its letter No. 30/182/UOPM dated 13 November 1997 which was extended through Decree of Banking Licensing and Information of Bank Indonesia No. 5/7/KEP.Dir.PIP.2003 dated 24 December 2003, as set out in Letter of Bank Indonesia No. 10/449/DPIP/Prz dated 2 May 2008.

1. GENERAL (continued)

d. The Subsidiaries (continued)

PT Bank Digital BCA (continued)

Based on the deed of Minutes of Extraordinary General Meeting of Shareholders of PT Bank Central Asia No. 62 dated 20 June 2019, made by Notary Christina Dwi Utami, S.H., M.Hum., M.Kn., the Bank has decided to acquire PT Bank Royal Indonesia.

Acquisition of PT Bank Royal Indonesia was approved by Financial Services Authority ("OJK") through its Letter No. SR-60/PB.33/2019 dated 22 October 2019.

Based on the Deed of Minutes of Extraordinary General Meeting of PT Bank Royal Indonesia No. 308 dated 31 October 2019, of Notary Christina Dwi Utami, S.H., M.Hum., M.Kn., the shareholders approved the transfer of all issued shares in PT Bank Royal Indonesia owned by PT Royalindo Investa Wijaya, Mr. Leslie Soemedi, Mr. Ibrahim Soemedi, Mr. Herman Soemedi, Mr. Ko Sugiarto, and Mr. Nevin Soemedi to the Bank and PT BCA Finance (Subsidiary) amounted to 99.99% and 0.01%, respectively. This deed was approved by the Minister of Law and Human Rights of the Republic of Indonesia in its Decision Letter No. AHU-AH.01.03-0356474 dated 7 November 2019.

Based on the Deed of Resolutions of Shareholders of PT Bank Royal Indonesia No. 37 dated 2 April 2020, made by Notary Sakti Lo, S.H., Notary in Jakarta, PT Bank Royal Indonesia changed its name to PT Bank Digital BCA. The deed of Amendment was approved by the Minister of Law and Human Rights of the Republic of Indonesia in its Decision Letter No. AHU-0027414.AH.01.02 dated 2 April 2020.

e. Board of Commissioners and Board of Directors

The compositions of the Bank's management as of 31 December 2023 and 2022 are as follows:

	2023
Board of Commissioners	
President Commissioner	: Djohan Emir Setijoso
Commissioner	: Tonny Kusnadi
Independent Commissioner	: Cyrillus Harinowo
Independent Commissioner	: Raden Pardede
Independent Commissioner	: Sumantri Slamet
Board of Directors	
President Director	: Jahja Setiaatmadja
Deputy President Director	: Armand Wahyudi Hartono
Deputy President Director	: Gregory Hendra Lembong
Director	: Tan Ho Hien/Subur Tan
Director	: Rudy Susanto
Director (concurrently serving as Director in charge of the Compliance Function)	: Lianawaty Suwono
Director	: Santoso
Director	: Vera Eve Lim
Director	: Haryanto Tiara Budiman
Director	: Frengky Chandra Kusuma
Director	: John Kosasih
Director	: Antonius Widodo Mulyono

1. GENERAL (continued)

e. Board of Commissioners and Board of Directors (continued)

The compositions of the Bank's management as of 31 December 2023 and 2022 are as follows: (continued)

	2022
Board of Commissioners	
President Commissioner	: Djohan Emir Setijoso
Commissioner	: Tonny Kusnadi
Independent Commissioner	: Cyrillus Harinowo
Independent Commissioner	: Raden Pardede
Independent Commissioner	: Sumantri Slamet
Board of Directors	
President Director	: Jahja Setiaatmadja
Deputy President Director	: Armand Wahyudi Hartono
Deputy President Director	: Gregory Hendra Lembong
Director	: Tan Ho Hien/Subur Tan
Director	: Rudy Susanto
Director (concurrently serving as Director in charge of the Compliance Function)	: Lianawaty Suwono
Director	: Santoso
Director	: Vera Eve Lim
Director	: Haryanto Tiara Budiman
Director	: Frengky Chandra Kusuma
Director	: John Kosasih
Director	: Antonius Widodo Mulyono

The composition of the Board of Commissioners and Board of Directors of the Bank as of 31 December 2023 and 2022 as evident in the Deed of Statement of Resolutions of Shareholders' Meeting of PT Bank Central Asia Tbk No. 33 dated 10 May 2022 drawn up before Christina Dwi Utami, S.H., M.Hum., M.Kn., a Notary of the Municipality of West Jakarta which notice of amendment of corporate data has been received and recorded in the Corporate Entities Administrative System, Ministry of Law and Human Rights of The Republic of Indonesia, as evident in the letter No. AHU-AH.01.09-0011476 dated 11 May 2022.

f. Audit Committee

The Bank's Audit Committee as of 31 December 2023 and 2022 are as follows:

Chairman	: Sumantri Slamet
Member	: Rallyati A. Wibowo
Member	: Fanny Sagitadewi

The establishment of the Bank's Audit Committee was in line with Financial Services Authority Regulation ("POJK") No. 55/POJK.04/2015 dated 23 December 2015 regarding Establishment and Implementation Guidelines on Audit Committee Work.

1. GENERAL (continued)

g. Internal Audit Division and Corporate Secretary

The Head of the Bank's Internal Audit Division as of 31 December 2023 and 2022 was Leo Ariston (Pjs) and Ayna Dewi Setianingrum.

The Corporate Secretary of the Bank as of 31 December 2023 and 2022 was Raymon Yonarto.

h. Number of employees

As of 31 December 2023 and 2022, the Bank and Subsidiaries had 27,273 and 25,179 permanent employees.

Key management personnel of the Bank consists of members of Board of Commissioners and Board of Directors.

i. Completion of the consolidated financial statements

The Bank's Management is responsible for the preparation of these consolidated financial statements, which were authorised for issuance on 24 January 2024.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES

The material accounting policies applied by the Bank and its Subsidiaries (the "Group") in the preparation of its consolidated financial statements are consistent with those of the consolidated financial statements for the year ended 31 December 2023 as follows:

a. Statement of compliance

The consolidated financial statements of the Group have been prepared and presented in accordance with Indonesian Financial Accounting Standards ("SFAS") which include Statement and Interpretation issued by the Financial Accounting Standard Board of Indonesian Institute of Accountant and Bapepam-LK Regulation No. KEP-347/BL/2012 dated 25 June 2012, Regulation No. VIII.G.7 regarding "Presentation and Disclosure of Financial Statements for Issuers or Public Companies".

Financial statements of PT Bank BCA Syariah (Subsidiary) are presented in accordance with Sharia Financial Accounting Standards and other Financial Accounting Standards issued by Indonesian Institute of Accountant.

b. Basis for preparation of the consolidated financial statements

These consolidated financial statements are presented in Rupiah, which is the Bank's functional currency. Except as otherwise stated, the financial information presented has been rounded to the nearest million of Rupiah.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

b. Basis for preparation of the consolidated financial statements (continued)

The consolidated financial statements prepared under the historical cost concept, except for fixed assets - land, financial assets at fair value through other comprehensive income, and financial assets and liabilities (including derivative instruments) at fair value through profit or loss, which are measured at fair value.

The consolidated financial statements have been prepared based on the accrual basis, except for the consolidated statements of cash flows.

The consolidated statements of cash flows present the changes in cash and cash equivalents from operating, investing and financing activities, and are prepared using the direct method. For the purpose of the presentation of the consolidated statements of cash flows, cash and cash equivalents consist of cash, current accounts with Bank Indonesia, current accounts with other banks, placements with Bank Indonesia and other banks mature within 3 (three) months or less from the date of acquisition, as long as they are not being pledged as collateral for borrowings nor restricted.

c. Use of judgments, estimates and assumptions

The preparation of consolidated financial statements in conformity with Indonesian Financial Accounting Standards (“SFAS”) requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Although these estimates are based on management’s best knowledge of current events and activities, actual results may differ from prior estimates.

In order to provide better understanding of the financial performance of the Group, due to the significance of their nature and amount, several items of income or expenses have been presented separately.

Estimations and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have significant effect on the amount recognised in the consolidated financial statements are described in Note 3.

d. Changes in accounting policies

Financial Accounting Standard Board of Indonesian Institute of Accountant (DSAK-IAI) has issued the following amendments and interpretations which were effective on or after 1 January 2023 as follows:

- Amendments of SFAS 1 "Presentation of Financial Statements regarding disclosure of accounting policies that change the term "significant" to "material" and provide explanations of material accounting policies" ;
- SFAS 25 “Accounting Policies, Changes in Accounting Estimates and Errors”;
- Revision SFAS 107 “Accounting of Ijarah”;
- Amendments of SFAS 16 “Fixed Assets regarding proceeds before intended use”; and
- Amendments of SFAS 46 “Deferred Tax on Assets and Liabilities arising from a Single Transaction”.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

d. Changes in accounting policies (continued)

The adoption of these amended and interpretations of the above standards did not result in substantial changes to the Group's accounting policies and had no material impact to the consolidated financial statements for current period or prior financial years.

e. Basis of consolidation

The consolidated financial statements consist of financial statements of the Bank and Subsidiaries (PT BCA Finance, BCA Finance Limited, PT Bank BCA Syariah, PT BCA Sekuritas, PT Asuransi Umum BCA, PT BCA Multi Finance, PT Asuransi Jiwa BCA, PT Central Capital Ventura and PT Bank Digital BCA together known as the "Group").

Subsidiaries are all entities over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date on which that control ceases.

The Group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a Subsidiary is the fair value of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination was measured initially at their fair values at the acquisition date.

All material intercompany transactions in the Group, balances, gains and losses are eliminated.

The Group recognises any non-controlling interest in the acquiree on a acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the acquiree's net assets. Non-controlling interest is reported as equity in the consolidated statements of financial position, separated from the owner of the parent's equity. Non-controlling interest is recognised at the date of business combination.

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the fair value at the acquisition date of any previous equity interest in the acquiree over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the business acquired, in the case of a bargain purchase, the difference is recognised directly in the consolidated statements of profit or loss and other comprehensive income.

Any contingent consideration to be transferred by the Group is recognised at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognised in accordance with SFAS 71 "Financial Instrument: Recognition and Measurement" in the consolidated statements of profit or loss and other comprehensive income. Contingent consideration that is classified as equity that is not remeasured, and its subsequent settlement is accounted for within equity.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

e. Basis of consolidation (continued)

Acquisition-related costs are expensed as incurred.

Non-controlling interests are presented in equity in the consolidated statements of financial position, separated from equity, which can be attributed to the owner, and expressed as the proportion of non-controlling shareholders for current year earnings and equity that can be attributed to non-controlling interests based on ownership percentage of non-controlling shareholders in the Subsidiary.

If the Group losses control of a Subsidiary, the Group:

- Derecognises the assets and liabilities of the former Subsidiary from the consolidated statements of financial position;
- Recognises any investment retained in the former Subsidiary at fair value on the date when control is lost and subsequently accounts for it and for any amounts owed by or to the former Subsidiary in accordance with the relevant financial accounting standard; and
- Recognises the gain or loss associated with the loss of control attributable to the former controlling interest.

Changes affected the Bank's ownership interest and equity of Subsidiary that do not result in the loss of control are accounted for as equity transactions and presented as other equity components within equity in the consolidated statements of financial position.

Business combination of entities under common control transactions, such as transfer of business in relation to reorganisation of entities within the same business group, is not a change of ownership in terms of economic substance, therefore such transaction cannot generate any gains or losses for the Group as a whole as well as the individual entity within the business group.

Business combination of entities under common control transactions, according to SFAS No. 38, "Business Combination under Common Control", is recognised at its carrying amount based on pooling-of-interest method. Entity that receives the business as well as the entity that disposes the business recognises the difference between the proceeds transferred/received and carrying amount arising from a business combination under common control transaction as part of equity in the additional paid-in capital account and will never be recognised as realised profit or loss or reclassified into retained earnings.

f. Translation of transactions in foreign currencies

Items included in the consolidated financial statements of the Group are measured using the currency of the primary economic environment in which the entity operates (the "functional currency").

The Group domiciled in Indonesia maintained its accounting record in Rupiah, which is the functional and presentation currency of the Group. Transactions denominated in foreign currencies are translated into Rupiah at the exchange rates prevailing at the date of the transaction. At the reporting date, year-end balances of monetary assets and liabilities denominated in foreign currencies are translated into Rupiah at the closing rates prevailing at the date of consolidated statements of financial position.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

f. Translation of transactions in foreign currencies (continued)

For consolidation purposes, foreign currency financial statements of the Bank's overseas Subsidiary are translated into Rupiah based on the following basis:

(1) Assets and liabilities, commitments and contingencies are translated using the Reuters spot rates at 15:00 WIB at the statement of financial position date.
(2) Income, expenses, gains, and losses represent the accumulated amount from monthly profit or loss balance during the year, are translated into Rupiah using the average Reuters middle rate for the respective month.
(3) Equity accounts are translated using historical rates.
(4) Statements of cash flows is translated using the Reuters spot rate at 15:00 WIB at the statement of financial position date, except for profit or loss accounts which are translated using the average middle rates and equity accounts which are translated using historical rates.

Differences arising from the above translation are presented as "foreign exchange differences arising from translation of financial statements in foreign currency" under the equity section of the consolidated statements of financial position.

Exchange gains or losses arising from transactions in foreign currencies and from the translation of monetary assets and liabilities in foreign currencies are recognised in the current year consolidated statements of profit or loss.

Summarised below are the major exchange rates as of 31 December 2023 and 2022, using Reuters middle rate at 15:00 WIB (full amount of Rupiah):

Foreign currencies	2023	2022
United States Dollar (USD)	15,397,0	15,567.5
Australian Dollar (AUD)	10,520,8	10,557.9
Singapore Dollar (SGD)	11,676,3	11,592.9
Hong Kong Dollar (HKD)	1,970,7	1,996.6
Great Britain Poundsterling (GBP)	19,626,6	18,786.1
Japanese Yen (JPY)	108,9	117.8
Euro (EUR)	17,038,3	16,581.7

g. Financial assets and liabilities

g.1. Financial assets

In accordance with SFAS 71, the Group classifies its financial assets in the following categories: (a) financial assets measured at amortised cost, (b) financial assets at fair value through other comprehensive income, and (c) financial assets at fair value through profit or loss.

The Group uses 2 (two) basis to classify its financial assets which are group business model in managing financial assets and contractual cash flow characteristics solely payment of principal and interest (“SPPI”) from its financial assets.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

g. Financial assets and liabilities (continued)

g.1. Financial assets (continued)

Business model assessment

The Group determines its business model based on the level of most reflects how groups of financial assets are managed to achieve business objective.

The Group business model are not assessed based on each of its instrument, but at portfolio level in higher aggregate and based on the following factors:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to key management personnel;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed;
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected);
- Frequency, amount, and expected selling time, are also important aspects from Group assessment.

Business model assessment is based on a reasonably expected scenario without considering "worst case" or "stress case" scenario. If the subsequent cash flows are realised in a different manner than originally expected, the Group does not change the remaining classification of financial assets held in the business model, but incorporating those information in assessing new financial assets or purchasing financial assets subsequently.

SPPI Testing

As the first step of the classification process, the Group assesses the financial contractual requirements to identify whether they meet the SPPI testing.

The principal payment for this testing purposes is defined as the fair value of the financial assets at initial recognition and may change over the lifetime of the financial assets (for example, if there are payments of principal or amortisation of premiums/discounts).

The most significant element of interest in a credit agreement is usually a consideration of the time value of money and credit risk. In exercising the assessment of SPPI, the Group applies consideration and pays attention into relevant factors such as the currency in which financial assets are denominated and the period when interest rates are determined.

Alternatively, contractual terms that provide more than de minimis exposure to risk or volatility in contractual cash flows that are not related to the basis of the loan arrangement, do not generate SPPI's contractual cash flows on the total balance. In such cases, the financial assets are required to be measured at fair value.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

g. Financial assets and liabilities (continued)

g.1. Financial assets (continued)

Financial assets measured at amortised cost

A financial asset is measured at amortised cost only if it meets both of the following conditions:

- The financial assets are held within a business model whose objective is to hold the asset to collect contractual cash flows; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A financial asset is initially measured at amortised cost at fair value plus transaction costs and subsequently measured at amortised cost using effective interest rate less allowance for impairment losses.

Interest income on financial assets measured at amortised cost is included in the consolidated statements of profit or loss and other comprehensive income recognised as “interest income”. When impairment occurs, the impairment loss is recognised as a deduction from the carrying amount of the investment and recognised in the consolidated financial statements as “allowance for impairment losses on financial assets”.

Financial assets measured at fair value through other comprehensive income

A financial asset is measured at fair value through other comprehensive income only if it meets both of the following conditions:

- The financial assets are held within a business model whose objective is to hold the asset to collect contractual cash flows and to sell financial asset; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

At initial recognition, a financial asset measured at fair value through other comprehensive income recognised at fair value plus the transaction costs and are subsequently remeasured at its fair values when such gains or losses recognised in other comprehensive income except for recognition of impairment and foreign exchange gains and losses, until derecognition of financial asset. If financial asset measured at fair value through other comprehensive income is impaired, the cumulative gains or losses previously recognised at other comprehensive gains (losses), would be recognised at profit or loss. Interest income is calculated by applying the effective interest rate and gains or losses arising from foreign exchange from monetary assets which classified as at fair value through other comprehensive income recognised in the consolidated statements of profit or loss and other comprehensive income.

Financial assets measured at fair value through profit or loss

All financial assets not classified as measured at amortised cost or at fair value through other comprehensive income as described above are measured at fair value through profit or loss.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

g. Financial assets and liabilities (continued)

g.1. Financial assets (continued)

Financial assets measured at fair value through profit or loss (continued)

Financial instruments grouped into this category are recognised at their fair value at initial recognition; transaction costs are recognised directly in the consolidated statements of profit or loss and other comprehensive income. Gains and losses arising from changes in fair value and sale of financial instruments are recognised in the consolidated statements of profit or loss and and other comprehensive income recorded as respectively "Gains (losses) from changes in fair value of financial instruments" and "Gains (losses) from the sale of financial instruments". Interest income from financial instruments measured at fair value through profit or loss is recorded as interest income as part of net income from transaction measured at fair value through profit or loss.

Group measures all equity investments at fair value. Where the Group has elected to present fair value gains and losses on equity investments in other comprehensive income, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investment.

g.2. Financial liabilities

The Group classifies its financial liabilities in the category of (a) financial liabilities at fair value through profit or loss and (b) financial liabilities measured at amortised cost.

(a) Financial liabilities measured at fair value through profit or loss

Financial liabilities are classified as financial liabilities at fair value through profit or loss if they are acquired or incurred principally for the purpose of selling or repurchasing in the near term or if they are part of a portfolio of identified financial instruments that are managed together and there is evidence of a pattern of short-term profit-taking. Derivatives are classified as financial liabilities instruments at fair value through profit or loss unless designated and effective as hedging instruments.

Gains and losses arising from changes in the fair value of financial liabilities classified as financial liabilities at fair value through profit or loss are recorded in the consolidated statements of profit or loss and other comprehensive income as "Gains (losses) from changes in fair value of financial instruments". Interest expense on financial liabilities classified as financial liabilities at fair value through profit or loss is recorded as "Interest expense" as part of net income from transaction measured at fair value through profit or loss.

(b) Financial liabilities measured at amortised cost

Financial liabilities that are not classified as at fair value through profit and loss fall into this category and are measured as amortised cost.

Financial liabilities at amortised cost are initially recognised at fair value plus transaction costs (if any).

After initial recognition, the Group measures all financial liabilities at amortised cost using effective interest rate method.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

g. Financial assets and liabilities (continued)

g.3. Recognition

The Group initially recognises loans and deposits on the date of origination.

Regular way purchases and sales of financial assets are recognised on the settlement date at which the Group commits to purchase or sell those assets.

Transaction costs include only those costs that are directly attributable to the acquisition of a financial asset or issuance of a financial liability and are incremental costs that would not have been incurred if the instrument had not been acquired or issued.

Financial assets measured at fair value through profit or loss are initially recognised at fair value and transaction costs are expensed in the consolidated statements of profit or loss and other comprehensive income. Financial assets at fair value through other comprehensive income are subsequently carried at fair value. Financial assets measured at amortised cost are initially recognised at fair value, subsequently recognised at amortised cost using the effective interest rate method.

For financial liabilities measured at amortised cost, transaction costs are deducted from the amount of debt when liabilities initially recognised. Such transactions costs are amortised over the terms of the instruments based on the effective interest rate method and are recorded as part of interest expense.

g.4. Determination of fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal market or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

When available, the Group measures the fair value of a financial instrument using the quoted price in an active market for that instrument.

A financial instrument is regarded as quoted in an active market if quoted prices are periodically and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. If the above criteria are not met, the active market is regarded as being unavailable. Indications that a market is inactive are when there is a wide bid-offer spread or significant increase in the bid-offer spread or there are few recent transactions.

For financial instruments with no quoted market price, a reasonable estimate of the fair value is determined by referencing to the current market value of another instrument which substantially have the same characteristic or calculated based on the expected cash flows of the underlying net asset base of the marketable securities.

For all other financial instruments, fair value is determined using valuation techniques. In these techniques, fair values are estimated from observable data in respect of similar financial instruments, using models to estimate the present value of expected future cash flows or other valuation techniques, using inputs existing at the dates of the consolidated statements of financial position.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

g. Financial assets and liabilities (continued)

g.5. Derecognition

Financial assets are derecognised when the contractual rights to receive the cash flows from these assets have ceased to exist or the assets have been transferred and substantially all the risks and rewards of ownership of the assets are also transferred (that is, if substantially all the risks and rewards have not been transferred, the Group tests control to ensure that continuing involvement on the basis of any retained powers of control does not prevent derecognition). Financial liabilities are derecognised when they have been redeemed or otherwise extinguished or expired.

g.6. Modification of financial assets

The Group sometimes renegotiates or otherwise modifies the contractual cash flows of loans. When this happens, the Group assesses whether the new terms are substantially different to the original terms. The Group does this by considering, among others, the following factors:

- If the borrower is in financial difficulty whether the modification merely reduces the contractual cash flows to amounts the borrower is expected to be able to pay;
- Significant extension of the loan term when the borrower is not in financial difficulty;
- Significant change in the interest rate; and
- Change in the loan's currency.

If the terms are substantially different, the Group derecognises the original financial asset and recognises a new asset at fair value and recalculates a new effective interest rate for the asset. The date of renegotiation is consequently considered to be the date of initial recognition for impairment calculation purposes, including for the purpose of determining whether a significant increase in credit risk has occurred. However, the Group also assesses whether the new financial asset recognised is deemed to be credit-impaired at initial recognition, especially in circumstances where the renegotiation was driven by the debtor being unable to make the originally agreed payments. Differences in the carrying amount are also recognised in profit or loss as a gain or loss on derecognition.

If the terms are not substantially different, the renegotiation or modification does not result in derecognition, and the Group recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognises a modification gain or loss in consolidated statements of profit or loss and other comprehensive income. The new gross carrying amount is recalculated by discounting the modified cash flows at the original effective interest rate.

g.7. Reclassification of financial assets

The Group can reclassify its all of its financial assets when and only, its business model for managing those financial assets changes.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

g. Financial assets and liabilities (continued)

g.7. Reclassification of financial assets (continued)

The characteristic of business model changes must significantly impact to the Group operational activities such as collecting, disposing or terminating a business line. In addition, the Group has to prove the changes to external parties.

The Group will reclassify all financial assets impacted by business model changes. Changes of the objective of the Group's business model must be impacted before reclassification date.

g.8. Classification of financial assets and liabilities

The Group classifies the financial assets and liabilities into classes that reflects the nature of information and take into account the characteristic of those financial instruments. The classification can be seen in the table below.

<table>
<tr><th colspan="2">Category of financial assets and liabilities</th><th colspan="2">Classes (as determined by the Group)</th><th>Subclasses</th></tr>
<tr><td rowspan="25">Financial assets</td><td rowspan="3">Financial assets measured at fair value through profit or loss (FVPL)</td><td colspan="2" rowspan="3">Financial assets measured at fair value through profit or loss</td><td>Securities</td></tr>
<tr><td>Placement with other banks</td></tr>
<tr><td>Derivative assets</td></tr>
<tr><td rowspan="22">Financial assets measured at amortised cost</td><td colspan="3">Cash</td></tr>
<tr><td colspan="3">Current accounts with Bank Indonesia</td></tr>
<tr><td colspan="3">Current accounts with other banks</td></tr>
<tr><td colspan="3">Placements with Bank Indonesia and other banks</td></tr>
<tr><td colspan="3">Acceptance receivables</td></tr>
<tr><td colspan="3">Bills receivable</td></tr>
<tr><td colspan="3">Securities purchased under agreements to resell</td></tr>
<tr><td colspan="3">Loans receivable</td></tr>
<tr><td colspan="3">Consumer financing receivables</td></tr>
<tr><td colspan="3">Finance lease receivables</td></tr>
<tr><td colspan="3">Assets related to sharia transactions - murabahah receivables</td></tr>
<tr><td colspan="3">Investment securities</td></tr>
<tr><td rowspan="7">Other assets</td><td>Accrued interest income</td></tr>
<tr><td>Transactions related to ATM and credit card</td></tr>
<tr><td>Unaccepted bills receivables</td></tr>
<tr><td>Receivables from customer transactions</td></tr>
<tr><td>Receivables from insurance transactions</td></tr>
<tr><td>Term deposits of foreign exchange from export proceeds</td></tr>
<tr><td rowspan="2">Financial assets measured at fair value through other comprehensive income (FVOCI)</td><td colspan="2">Placements with Bank Indonesia and other banks</td><td>Certificates of deposits</td></tr>
<tr><td colspan="3">Investment securities</td></tr>
</table>

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

g. Financial assets and liabilities (continued)

g.8. Classification of financial assets and liabilities (continued)

The Group classifies the financial assets and liabilities into classes that reflects the nature of information and take into account the characteristic of those financial instruments. The classification can be seen in the table below. (continued)

<table>
<tr><th colspan="2">Category of financial assets and liabilities</th><th>Classes (as determined by the Group)</th><th>Subclasses</th></tr>
<tr><td rowspan="15">Financial liabilities</td><td>Financial liabilities measured at fair value through profit or loss (FVPL)</td><td>Financial liabilities measured at fair value through profit or loss</td><td>Derivative liabilities</td></tr>
<tr><td rowspan="14">Financial liabilities measured at amortised cost</td><td colspan="2">Deposits from customers</td></tr>
<tr><td colspan="2">Sharia deposits</td></tr>
<tr><td colspan="2">Deposits from other banks</td></tr>
<tr><td colspan="2">Acceptance payables</td></tr>
<tr><td colspan="2">Securities sold under agreements to repurchase</td></tr>
<tr><td colspan="2">Debt securities issued</td></tr>
<tr><td colspan="2">Borrowings</td></tr>
<tr><td colspan="2">Commitments and contingencies transactions</td></tr>
<tr><td rowspan="7">Accruals and other liabilities</td><td>Other liabilities:</td></tr>
<tr><td>- Accrued interest expenses</td></tr>
<tr><td>- Liabilities related to ATM and credit card transactions</td></tr>
<tr><td>- Liabilities from customer transactions</td></tr>
<tr><td>- Liabilities from insurance transactions</td></tr>
<tr><td>- Finance lease liabilities</td></tr>
<tr><td>- Term deposits of foreign exchange from export proceeds</td></tr>
<tr><td colspan="2">Subordinated bonds</td></tr>
<tr><td rowspan="3">Commitment and contingencies</td><td colspan="3">Unused credit facilities</td></tr>
<tr><td colspan="3">Irrevocable letters of credit</td></tr>
<tr><td colspan="3">Bank guarantee issued</td></tr>
</table>

g.9. Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the consolidated statements of financial position when there is a legally enforceable right of set-off and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously. In certain situations, even though the offset on the main agreements exist, the lack of management intention to settle on a net basis results in the financial assets and liabilities being reported gross on the consolidated statements of financial position.

g.10. Financial guarantee contracts and other commitment receivables

Financial guarantee contracts are contracts that require the issuer to make specified payments to reimburse the holder for a loss incurred because a specified debtor defaulted to make payments when due, in accordance with the terms of a debt instrument. Such financial guarantees are given to banks, financial institutions and other institutions on behalf of customers to secure loans and other banking facilities, and unused provision of funds facilities.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

g. Financial assets and liabilities (continued)

g.10. Financial guarantee contracts and other commitment receivables (continued)

Financial guarantees are initially recognised in the consolidated financial statements at fair value on the date the guarantee was given. The fair value of a financial guarantee at inception is likely to equal the premium received because all guarantees are agreed on arm's length terms and the initial fair value is amortised over the life of the financial guarantees.

Subsequently, they are measured at the higher of amortised amount and expected credit losses amount based on SFAS 71.

g.11. Allowance for impairment losses of financial assets

The group assesses on a forward-looking basis the expected credit loss ("ECL") associated with its financial asset instruments carried at amortised cost and fair value at other comprehensive income. The impairment methodology applied depends on whether there has been a significant increase in credit risk to financial asset measured at amortised cost and at fair value through other comprehensive income (FVOCI). If at the reporting date, credit risk on financial asset has not increased significantly since initial recognition, the Group shall measure the allowance for losses for that financial asset at the amount of 12 (twelve) months expected credit losses. If the credit risk on that financial asset has increased significantly since initial recognition, the Group shall measure the allowance for losses at the amount of expected credit losses over its lifetime.

12-month ECL and Lifetime ECL

12-month ECL is the portion of ECL that result from default events that are possible within the 12 months after reporting date (or the shorter period if expected life of financial asset is less than 12 months). 12-month ECL is weighted by probability of default.

Lifetime ECL is the ECL that result from all possible default events over the expected life of financial asset.

Staging Criteria

Financial asset must be allocated to one of three stages of impairment (stage 1, stage 2, stage 3) by determining whether there is a significant increase in credit risk on the financial asset since initial recognition or whether the facility has defaulted on each reporting date.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

g. Financial assets and liabilities (continued)

g.11. Allowance for impairment losses of financial assets (continued)

Staging Criteria (continued)

Stage 1: include financial assets that do not have a significant increase in credit risk since initial recognition or have a low credit risk at the reporting date. For these assets, a 12-month ECL will be calculated.

Stage 2: includes financial assets that experience a significant increase in credit risk at the reporting date, but do not have objective evidence of impairment. For these assets, lifetime ECL will be calculated. Lifetime ECL are the ECL that results from all possible default events over the expected life of financial asset.

Stage 3: includes financial assets that have an objective evidence of impairment at the reporting date. For these assets consist of default debtors.

The main factor in determining whether the financial assets need 12-month ECL (stage 1) or lifetime ECL (stage 2) is Significant Increase on Credit Risk ("SICR") criteria. Determinations of SICR criteria needs review whether significant increase in credit risk occurred at each reporting date.

SFAS 71 requires supportable information about past events, current condition and forecasts of future economic conditions. Estimated movement on expected credit losses have to be reflected and directly consistent with changes in observed related data over the period. This ECL calculation needs forward-looking estimation from Probability of Default ("PD"), Loss Given Default ("LGD") and Exposure At Default ("EAD").

For loan commitments and financial guarantee contracts, the date when the Group become a party in an irrevocable commitment is the date of initial recognition for implementation of impairment purposes.

Probability of Default ("PD")

The probability at a point in time that a counterparty will default, calibrated over up to 12 months from the reporting date (Stage 1) or over the lifetime of the product (Stage 2 and 3) and incorporating the impact of forward-looking economic assumptions that have an effect on credit risk. PD is estimated at a point in time that means it will fluctuate in line with the economic cycle.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

g. Financial assets and liabilities (continued)

g.11. Allowance for impairment losses of financial assets (continued)

Loss Given Default ("LGD")

The loss that is expected to arise on default, incorporating the impact of relevant forward-looking economic assumptions (if any), which represents the difference between the contractual cash flows due and those that the Group expects to receive. The Group estimates LGD based on the historical recovery rates and taking into account forward-looking economic assumptions if relevant.

Exposure at Default ("EAD")

The expected loss of balance sheet exposure at the time of default, taking into account that expected change in exposure over the lifetime of the exposure. This incorporates the impact of repayments of principal and interest, amortisation and prepayments, together with the impact of forward-looking economic assumptions where relevant.

h. Allowance for impairment losses on non-financial assets

Assets that have an indefinite useful life - for example, goodwill or intangible assets not ready for use - are not subject to amortisation but tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows, which are largely independent of the cash inflows from other assets or group of assets (cash generating units). Non-financial assets other than goodwill that suffer impairment are reviewed for possible reversal of the impairment at each reporting date.

Reversal on impairment loss for assets other than goodwill would be recognised if, and only if, there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment test was carried out. Reversal on impairment losses will be immediately recognised on profit or loss, except for assets measured using the revaluation model as required by other SFAS. Impairment losses relating to goodwill would not be reversed.

i. Current accounts with Bank Indonesia and other banks

Current accounts with Bank Indonesia and other banks are stated at face value or the gross value of the outstanding balance, less allowance for impairment losses, where appropriate. Current accounts with Bank Indonesia and other banks are classified as financial assets measured at amortised cost. Refer to Note 2g for accounting policy for financial assets measured at amortised cost.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

j. Placements with Bank Indonesia and other banks

Placements with Bank Indonesia and other banks are classified as financial assets measured at amortised cost and measured at fair value through other comprehensive income. Refer to Note 2g for accounting policy for financial assets measured at amortised cost and measured at fair value through other comprehensive income.

k. Financial assets and liabilities at fair value through profit or loss

Financial assets and liabilities at fair value through profit or loss consist of securities traded in the money market such as Certificates of Bank Indonesia ("SBI"), *Sekuritas Rupiah* and *Valas Bank Indonesia*, Bank Indonesia Treasury Bills ("SBBI"), Government Treasury Bills ("SPN"), Sharia Government Treasury Bills ("SPNS"), Sukuk Bank Indonesia, Corporate Bonds, investment in shares, derivative financial instruments, and securities traded on the stock exchanges.

Refer to Note 2g for the accounting policy of financial assets and liabilities at fair value through profit or loss.

Derivative financial instruments

Derivative instruments are initially recognised at fair value on the date of which a derivative contract is entered into and are subsequently measured at their fair values. Fair values are obtained from quoted market prices in active markets, including recent market transactions and valuation techniques, including discounted cash flow and options pricing models, as appropriate. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative.

Investment in sukuk measured at fair value through profit or loss

The Group initially recognises the investment in sukuk measured at fair value through profit or loss at fair value. The changes on fair value are recognised in the consolidated statements profit or loss.

The fair value of investment is determined by referencing to the following order:

- quoted price (without adjustments) in active market; or
- input other than quoted price in the observable active market.

Investment in sukuk measured at fair value through profit or loss is presented in the consolidated statements of financial position as part of financial assets at fair value through profit or loss.

l. Acceptance receivables and payables

Acceptance receivables are classified as financial assets measured at amortised cost, while acceptance payables are classified as financial liabilities measured at amortised cost. Refer to Note 2g for the accounting policy of financial assets measured at amortised cost and financial liabilities measured at amortised cost.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

m. Loan receivables

Loan receivables are classified as financial assets measured at amortised cost. Refer to Note 2g for the accounting policy of financial assets measured at amortised cost.

Syndicated, joint financing, and channelling loans are stated at amortised cost in accordance with the portion of risks borne by the Group.

The Group records restructure of troubled debt in accordance with the restructured type. In troubled debt restructuring which involves a modification of terms, reduction of portion of loan principal and/or combination of both, the Group records the effect of the restructuring by referring to Note 2g for the accounting policy of modification of financial assets.

n. Securities purchased under agreements to resell and securities sold under agreements to repurchase

Securities purchased under agreements to resell (reverse repo) are presented as asset in the consolidated financial statement at the agreed resell price less the difference between the purchase price and the agreed resale price. The difference between the purchase price and the agreed resale price is amortised using the effective interest method as interest income over the period commencing from the acquisition date to the resell date. Securities purchased under agreements to resell (reverse repo) are classified as financial asset measured at amortised cost. Refer to Note 2g for the accounting policy of financial assets measured at amortised cost.

Securities sold under agreements to repurchase (repo) are presented as liabilities and stated at the agreed repurchase price less the unamortised interest expense. Unamortised interest expense is the difference between selling price and agreed repurchase price and is recognised as interest expense during the period from the securities are sold until the securities are repurchased. Securities sold are still recorded as assets in the consolidated statements of financial position because the securities ownership remains substantially with the Group as a seller. Securities sold under agreements to repurchase (repo) are classified as financial liabilities measured at amortised cost. Refer to Note 2g for the accounting policy of financial liabilities measured at amortised cost.

o. Consumer financing receivables

Consumer financing receivables are stated at net of joint financing, unearned consumer financing income and allowance for impairment losses. Consumer financing receivables are classified as financial assets measured at amortised cost. Refer to Note 2g for the accounting policy of financial assets measured at amortised cost.

Unearned consumer financing income represents the difference between total instalments to be received from the consumer and the principal amount financed, plus or deducted with the unamortised transaction cost (income), which will be recognised as income over the term of the contract using effective interest rate method of the related consumer financing receivables.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

o. Consumer financing receivables (continued)

Unamortised transaction cost (income) are financing administration income and transaction expense which are incurred at the first time and directly attributable to consumer financing.

Early termination of a contract is treated as a cancellation of an existing contract and the resulting gain is recognised in the current year consolidated statements of profit or loss.

Consumer financing receivables will be written-off when they are overdue for more than 150 (one hundred and fifty) days for 4 (four) wheels motor vehicles and 180 (one hundred and eighty) days for 2 (two) wheels motor vehicles and based on management review on case by case basis.

Recoveries from receivables which had been written off in the current period are recorded by adjusting the allowance account, while recovery of financial assets previously written-off are recognised as other income.

Joint financing

All joint financing agreements entered by the Subsidiary are joint financing without recourse in which only the Subsidiary's financing portion of the total instalments are recorded as consumer financing receivables in the consolidated statements of financial position (net approach). Consumer financing income is presented in the consolidated statements of profit or loss and other comprehensive income after deducting the portions belong to other parties participated to these joint financing transactions.

Receivables from collateral vehicles reinforced

Receivables from collateral vehicles reinforced represent receivables derived from motor vehicle collaterals owned by customers for settlement of their consumer financing receivables, which is presented as part of consumer financing receivables.

In case of default, the customer gives the right to the Group to sell the motor vehicle collaterals or take any other actions to settle the outstanding receivables.

Consumers are entitled to the positive differences between the proceeds from sales of foreclosed collaterals and the outstanding consumer financing receivables. If the differences are negative, the resulting losses are charged to the current year consolidated statements of profit or loss and other comprehensive income.

Expenses in relation with the acquisition and maintenance of receivables from collateral vehicles reinforced are charged to the current year consolidated statements of profit or loss and other comprehensive income when incurred.

p. Finance lease receivables

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at inception date and whether the fulfilment of the arrangement is dependent on the use of a specific asset and the arrangement conveys a right to use the asset.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

p. Finance lease receivables (continued)

Leases are classified as finance leases if such leases transfer substantially all the risks and rewards related to the ownership of the lease assets. Leases are classified as operating leases if the leases do not transfer substantially all the risks and rewards related to the ownership of the leased assets.

Assets held under finance lease receivables are recognised in the consolidated statements of financial position at an amount equal to the net investment in the leases. Receipts from lease receivables are treated as repayments of principal and financing lease income. The recognition of financing lease income is based on a pattern reflecting constant periodic rate of return on the Group's net investment as lessor in the finance leases.

Finance leases receivables will be written off when they are overdue for more than 150 (one hundred fifty) days and based on management review of individual case. Recoveries from receivables previously written-off are recognised as other income upon receipt.

q. Assets related to sharia transactions

Assets related to sharia transactions is financing activities carried out by PT Bank BCA Syariah, a Subsidiary, in the form of *murabahah* receivables, funds of *qardh*, *mudharabah* financing, *musyarakah* financing and assets acquired for *ijarah*.

Brief explanation for each type of sharia financing is as follows:

Murabahah is a financing agreement to sell or purchase of goods, in which the selling price equals to the cost of goods plus a pre-agreed profit margin and the seller should disclose its cost to the buyer. *Murabahah* receivables is stated at balance of receivables less deferred margin and allowance for impairment losses.

Ijarah is a lease agreement for goods and/or services, including the right to use, between the owner of a leased object (lessor) and lessee, to generate income from the leased object. *Ijarah muntahiyah bittamlik* is a lease agreement between lessor and lessee to obtain income from the leased object with an option to transfer the ownership title of leased object through purchase/sale or as a gift (*hibah*) at certain period as agreed in the lease agreement (*akad*). *Ijarah muntahiyah bittamlik* assets are stated at the acquisition costs less accumulated depreciation. *Ijarah* receivable is recognised at maturity date based on unearned lease income and presented at net realisable value, i.e. balance of the receivables less allowance for impairment losses.

Mudharabah is an investment of funds from the owner of fund (*malik*, *shahibul maal*, or sharia bank) to a fund manager (*amil*, *mudharib*, or customer) for a specific business activity, under a profit or revenue sharing agreement between the two parties at a pre-agreed ratio (*nisbah*). *Mudharabah* financing is stated at financing balance less allowance for impairment losses.

Musyarakah is an investment of funds from the owners of funds to combine their funds for a specific business activity, for which the profits are shared based on a pre-agreed *nisbah*, while losses are borne proportionally by the fund owners.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

q. Assets related to sharia transactions (continued)

Permanent *musyarakah* is a *musyarakah* for which the amount of funds contributed by each party is fixed until the end of the agreement. Declining *musyarakah* (*musyarakah mutanaqisha*) is *musyarakah* with a condition that the amount contributed by a party will be declining from time to time as it is transferred to another party, such that at the end of the agreement, the other party will fully own the business. *Musyarakah* financing is stated at financing balance less allowance for impairment losses.

The Subsidiary determines the allowance for impairment losses of sharia financing receivables in accordance with the quality of each financing receivable by referring to the requirements of Financial Services Authority, except for *murabahah* receivables. In accordance with SFAS No. 102 "Accounting for Murabahah" and Indonesia Sharia Banking Accounting Guidelines (PAPSI Revised 2013), the Bank calculates individual impairment for for murabahah receivable in accordance with IFAS No. 102 "Impairment of Murabahah Receivables". The Bank assesses whether there is any objective evidence that a financial assets is impaired at each statement of financial position date. The Bank uses the migration analysis method which is a statistical model analysis method to assess allowance for impairment losses on collective receivables. The Bank uses 5 (five) years historical data to compute for the Probability of Default ("PD") and Loss Given Default ("LGD").

r. Investment securities

Investment securities consist of traded securities in the money market and stock exchange such as Government Bonds, *Sekuritas Rupiah* and *Valas Bank Indonesia*, Sukuk Bank Indonesia, Sukuk, Corporate Bonds, Certificates of Bank Indonesia, mutual funds, medium term notes and shares. Investment securities are classified as financial assets measured at amortised cost and measured at fair value through other comprehensive income. Refer to Note 2g for the accounting policy for financial assets measured at amortised cost and at fair value through other comprehensive income.

Investments in sukuk measured at cost and measured at fair value through other comprehensive income

The Group determines the classification of their investment in sukuk based on business model in accordance with SFAS 110 "Accounting for Sukuk" as follows:

- Investment securities are measured at cost and are presented at acquisition cost (including transaction costs) adjusted for unamortised premiums and/or discounts. Premiums and discounts are amortised over the period to maturity.

- Investment securities are measured at fair value through other comprehensive income which is stated at fair value. Unrealised gains or losses due to the increase or decrease in fair value are presented in other comprehensive income for the year.

s. Fixed assets

Fixed assets are initially recognised at acquisition cost. Acquisition cost includes expenditures directly attributable to bring the assets for their intended use. Except for land, subsequent to initial measurement, all fixed assets are measured using cost model, which is cost less accumulated depreciation and accumulated impairment losses. Land is not depreciated.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

s. Fixed assets (continued)

In 2016, the Bank changed its accounting policy related to subsequent measurement of land from cost model to revaluation model. The change of accounting policy is implemented prospectively.

Land is presented at fair value, based on valuation performed by external independent valuers which are registered with OJK. Valuation of land is carried out by appraisers who have professional qualifications. Revaluation is carried out with sufficient regularity to ensure that the carrying amount of revalued assets does not differ materially from their fair values at the reporting date.

Increases arising on the revaluation are credited to “revaluation surplus of fixed assets” as part of other comprehensive income. However, the increase is recognised in profit or loss up to the amount of the same asset impairment from revaluation previously recognised in the consolidated statements of profit or loss and other comprehensive income. Decreases that offset previous increases of the same asset are debited against ”revaluation surplus of fixed assets” as part of other comprehensive income, all other decreases are charged to the consolidated statements of profit or loss.

Costs relating to the acquisition of legal titles on the land rights are recognised as part of acquisition cost of land. The costs of extension or renewal of legal titles on the land rights are charged to consolidated profit or loss as incurred because the amount is not significant.

Buildings are depreciated using the straight-line method over their estimated useful lives of 20 (twenty) years. Other fixed assets are depreciated over their estimated useful lives ranging from 2 (two) to 8 (eight) years using the double-declining balance method for the Bank and PT BCA Finance, and straight-line method for other Subsidiaries. The effect of such different depreciation method is not material to the consolidated financial statements. For all fixed assets, the Group has determined residual values to be “nil” for the calculation of depreciation.

Subsequent costs are included in the asset’s carrying amount or recognised as a separate asset as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of replaced part is derecognised. All other repairs and maintenance are charged to the consolidated statements of profit or loss and other comprehensive income during the financial period in which they are incurred.

Buildings under construction are stated at acquisition cost. The accumulated costs will be transferred to the buildings account when construction is completed and the buildings are ready for their intended use.

When assets are disposed, their acquisition cost and the related accumulated depreciation are eliminated from the consolidated statements of financial position, and the resulting gain or loss on the disposal of fixed assets is recognised in the current year consolidated statements of profit or loss. When revalued assets are sold, the amounts included in equity are transferred to retained earnings.

At each reporting date, residual value, useful life and depreciation method are reviewed, and if required, will be adjusted and applied in accordance with the requirement of prevailing Statement of Financial Accounting Standards.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

s. Fixed assets (continued)

When the carrying amount of fixed assets measured using cost model is greater than its estimated recoverable amount, it is written down to its recoverable amount and the impairment loss is recognised in the current year consolidated statements of profit or loss and other comprehensive income.

t. Other assets

Other assets include accrued interest income, receivables, foreclosed assets, abandoned properties, interoffice accounts, and others.

Abandoned properties represent the Group is fixed assets in the form of properties which were not used for the Group business operational activity.

Foreclosed assets are presented at their net realisable values. Net realisable value is the fair value of the foreclosed assets less estimated costs to sale the foreclosed assets. Differences between the net realisable value and the proceeds from disposal of the foreclosed assets are recognised as current year gain or loss at the year of disposal.

The Bank measures AYDA at the lower of the carrying amount and fair value after deducting the estimated costs to sell the AYDA. The difference between the net realisable value and the sale of AYDA is recognised as gain or loss in the current year when it is sold.

Expenses for maintaining foreclosed assets and abandoned properties are recognised in the current year consolidated statements of profit or loss and other comprehensive income as incurred. Any permanent impairment loss that occurred will be charged to the current year consolidated statements of profit or loss and other comprehensive income. Refer to Note 2h for changes in accounting policy to determine impairment losses on foreclosed assets and abandoned properties.

u. Intangible assets

Intangible assets consist of software and goodwill.

Software

Software is stated at cost less accumulated amortisation and accumulated impairment losses. Acquired computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. Costs associated with maintaining computer software programs are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group are recognised as software. Other development expenditures that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period. Amortisation is recognised in consolidated statements of profit or loss using a double-declining balance method over the estimated useful economic life of 4 (four) years.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

u. Intangible assets (continued)

Intangible assets consist of software and goodwill. (continued)

Goodwill

Goodwill represents the excess of the aggregate amount of the consideration transferred and the amounts of non-controlling interest and the amounts of the identifiable assets acquired and the liabilities assumed at the date of acquisition. Goodwill is not amortised but tested for impairment at each reporting date and carried at cost less accumulated impairment losses.

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each cash-generating unit (CGU), or group of CGUs, that is expected to benefit from the synergies of the business combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level. For Group accounting policy of impairment losses refer to Note 2h.

v. Deposits from customers and other banks

Deposits from customers are the fund trusted by customers (exclude banks) to the Bank based on fund deposits agreements. Included in this account are current accounts, saving accounts, time deposits and certificates of deposits.

Deposits from other banks represent liabilities to other banks, both domestic and overseas banks, in the form of current accounts, saving accounts, time deposits, and interbank call money.

Deposits from customers and deposits from other banks are classified as financial liabilities at amortised cost. Incremental costs directly attributable to acquisition of deposits from customers and deposits from other banks are deducted from the amount of deposits from customers and deposits from other banks. Refer to Note 2g for the accounting policy of financial liabilities at amortised cost.

w. Sharia deposits

Sharia deposits are deposits from third parties in form of *wadiah* demand deposits and *wadiah* savings. *Wadiah* demand deposits can be used as payment instrument and can be withdrawn using cheque and payment slip. *Wadiah* demand deposits and *wadiah* savings are entitled to receive bonus in accordance with Subsidiary's policy. *Wadiah* demand deposits and *wadiah* savings are stated at nominal amount of deposits from customers. Sharia deposits are classified as financial liabilities measured at amortised cost. Refer to Note 2g for accounting policy on financial liabilities measured at amortised cost.

x. Temporary *syirkah* deposits

Temporary *syirkah* deposit is an investment with *mudharabah muthlaqah* agreement, where the owner of funds (*shahibul maal*) gives flexibility to fund manager (*mudharib*/Subsidiary) in managing the investment with the purpose that the returns are to be shared based on a pre-agreed basis.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

x. Temporary *syirkah* deposits (continued)

Temporary *syirkah* deposits consist of *mudharabah* saving, *mudharabah* time deposits and *Sertifikat Investasi Mudharabah Antarbank* ("SIMA"). These funds obtained by Subsidiary which has the right to manage and invest fund, according to Subsidiary's policy or limitation from fund holders, whereby gains are to be shared based on the agreement. In case that the decrease of temporary *syirkah* deposits was caused by normal losses, and not caused by willful default, negligence or breach of the agreement, the Subsidiary has no obligation to return or cover the fund losses or deficit.

Mudharabah saving is deposit from third parties which are entitled to receive sharing revenue for the utilisation of the funds with a pre-agreed and approved *nisbah*. *Mudharabah* saving is stated at the liabilities to customers.

Mudharabah time deposit is deposit from third parties which can only be withdrawn at a specific time based on the agreement between holder of *mudharabah* time deposits and the Subsidiary. *Mudharabah* time deposits are stated at nominal amount based on the agreement between holder of *mudharabah* time deposits and the Subsidiary.

Temporary *syirkah* deposit can not be classified as liability. When the Subsidiary incurs losses, the Subsidiary does not possess any liability to return the initial fund amount from the fund owners except from negligence or default of the Subsidiary. Temporary *syirkah* deposit can not be classified as equity because it has maturity date and owner and it does not possess any ownership rights equal to shareholders as voting rights and rights of gain realisation from current assets and non-investment assets.

Temporary *syirkah* deposit is one of the elements of consolidated financial statements, it in accordance with sharia principle which give rights to Subsidiary to manage the fund, including blending the funds with other funds.

Owners of temporary *syirkah* deposits obtain part of gain as agreed and incur losses based on the amount from each parties. Revenue sharing of temporary *syirkah* deposits can be done by revenue sharing concept or profit sharing concept.

y. Debt securities issued

Debt securities issued by Subsidiary which consists of bonds payable, are classified as other financial liabilities measured at amortised cost. Issuance costs in connection with the issuance of debt securities are recognised as discounts and directly deducted from the proceeds of debt securities issued and amortised over the period of debt securities using the effective interest method. Debt securities issued is classified as financial liabilities at amortised cost. Refer to Note 2g for the accounting policy of financial liabilities measured at amortised cost.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

z. Subordinated bonds

Subordinated bonds are classified as financial liabilities measured at amortised cost. Incremental costs directly attributable to the issuance of subordinated bonds are deducted from the amount of subordinated bonds received. Refer to Note 2g for the accounting policy for financial liabilities at amortised cost.

aa. Provision

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period. Provisions are determined by discounting the estimated future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability.

ab. Accruals and other liabilities

Accruals and other liabilities consist of accrued interest expense, liabilities related to customer and insurance transactions, security deposits, unearned revenue, finance lease liabilities and others.

ac. Earnings per share

Basic earnings per share is computed based on net income for the current year attributable to equity holders of parent entity divided by the weighted average number of outstanding issued and fully paid-up common shares during the year after considering the treasury stocks.

As of 31 December 2023 and 2022, there were no diluted instruments. Therefore, diluted earnings per share is equivalent to basic earnings per share.

ad. Interest income and expenses & sharia income and expenses

Interest income and expenses

Interest income and expenses are recognised in the consolidated statements of profit or loss using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial asset or financial liability (or, where appropriate, a shorter period) to the carrying amount of the financial asset or financial liability. When calculating the effective interest rate, the Group estimates future cash flows by considering all contractual terms of the financial instrument but not future credit losses.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

ad. Interest income and expenses & sharia income and expenses (continued)

Interest income and expenses (continued)

The calculation of the effective interest rate includes transaction costs (Note 2g) and all fees and points paid or received that are an integral part of the effective interest rate.

Interest income and expenses presented in the consolidated statements of profit or loss and other comprehensive income include:

- Interest on financial assets and liabilities at amortised cost calculated using the effective interest rate method;
- Interest on investment securities at fair value through other comprehensive income calculated using the effective interest rate method;
- Interest income on all financial assets at fair value through profit or loss are considered to be incidental to the Group's trading operations and are presented as part of net trading income; and
- Interest income on the impaired financial assets continues to be recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment losses.

Sharia income and expenses

Sharia income consists of *murabahah* profit, *ijarah* revenue (leases), and profit sharing from *mudharabah* and *musyarakah* financing.

Recognition of *murabahah* transaction profit with deferred payment or instalments is carried out during the contractual period in accordance with effective (annuity) method.

Ijarah revenue is recognised proportionally and net during the contractual period.

Musyarakah revenue sharing which is entitled to passive partner is recognised during the period in which the revenue occurs according to agreed *nisbah*.

Mudharabah revenue sharing is recognised during the period in which revenue sharing in accordance to agreed *nisbah* occurs, and not allowed to recognise revenue from projected business result.

Sharia expenses consist of *mudharabah* sharing expense and *wadiah* bonus expense. Sharing expenses consist of expense for profit distribution on third party funds which are calculated using profit distribution principle in accordance with agreed sharing ratio (*nisbah*) based on *wadiah*, *mudharabah muthlaqah* and *mudharabah muqayyadah* principles.

ae. Fees and commission income and expenses

Fees and commission income and expenses that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

ae. Fees and commission income and expenses (continued)

Other fees and commission income, including bancassurance activity related fees, export-import related fees, cash management fees, service fees and/or related to a specific period and the amount is significant, are recognised as unearned income/prepaid expenses and amortised based on the straight-line method over the terms of the related transactions; otherwise, they are directly recognised as the related services are performed. Loan commitment fees are recognised on a straight-line method over the commitment period.

Commission income related to credit and debit card transactions, less costs directly related to these transactions, is presented on a net basis in the consolidated statement of profit or loss and other comprehensive income.

af. Net income from transactions at fair value through profit or loss

Net income from transactions at fair value through profit or loss comprises of net gains or losses related to financial assets and liabilities at fair value through profit or loss, including interest income and expenses from all financial instruments at fair value through profit or loss and all realised and unrealised fair value changes and foreign exchange differences.

ag. Post-employment benefits obligation

ag.1. Short-term liability

Liabilities for wages and salaries, including non-monetary benefits and accumulating sick leave that are expected to be settled wholly within 12 months after the end of the period in which the employees render the related service are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liabilities are presented as current employee benefit obligations in the consolidated statements of financial position.

ag.2. Pension obligation

Entities in the Group operate various pension schemes. The Group has both defined benefit and defined contribution plans. A defined contribution plans is a pension plan under which the Group pays fixed contributions (funds) into a separate entity. The Group has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. A defined benefit plans is an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service, and compensation.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

ag. Post-employment benefits obligation (continued)

ag.2. Pension obligation (continued)

The liability recognised in the consolidated statements of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of Government Bonds (considering currently there is no deep market for high-quality corporate bonds) that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension obligation.

The net interest cost is calculated by applying the discount rate to the net balance of the defined benefit obligation and the fair value of plan assets. This cost is included in employee benefit expense in the consolidated statements of profit or loss and other comprehensive income.

Remeasurement gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to equity in other comprehensive income in the period in which they arise. They are included in retained earnings in the consolidated statements of changes in equity and in the consolidated statements of profit or loss and other comprehensive income.

Changes in the present value of the defined benefit obligation resulting from plan amendments or curtailment programs are recognised immediately in the consolidated statements of profit or loss and other comprehensive income as past service costs.

For defined contribution plans, the Group pays contributions to pension plans on a mandatory, contractual or voluntary basis. However, since Job Creation Act requires an entity to pay to a worker entering into pension age a certain amount based on, the worker's length of service, the Group is exposed to the possibility of having to make further payments to reach that certain amount in particular when the cumulative contributions are less than that amount. Consequently for financial reporting purposes, defined contribution plans are effectively treated as if they were defined benefit plans.

ag.3. Other post-employment obligations

The Bank provides post-retirement healthcare benefits to their employees. The entitlement to these benefits is usually conditional on the employee remaining in service up to retirement age and the completion of a minimum service period. The expected costs of these benefits are reserved over the period of employment using projected unit credit method. These obligations are valued annually by independent qualified actuaries.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

ag. Post-employment benefits obligation (continued)

ag.4. Termination benefits

Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognises termination benefits at the earlier of the following dates: (i) when the Group can no longer withdraw the offer of those benefits; and (ii) when the Group recognises costs for a restructuring that is within the scope of SFAS 57 and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the reporting date are discounted to their present value.

ah. Current and deferred income tax

Income tax expense comprises of current and deferred taxes. Income tax expense is recognised in the consolidated statements of profit or loss and other comprehensive income, except to the extent that it relates to items recognised directly in other comprehensive income or equity. In this case, the tax is also recognised in other comprehensive income or directly in equity, respectively.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the end of the reporting period in the countries where the entities in the Group operate and generate taxable income. Management periodically evaluates positions taken in annual tax returns (“SPT”) with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax is provided in full, using the liability method, on temporary differences which arise from the difference between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements. However, deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill. Deferred income tax is also not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss.

Deferred income tax is determined using tax rates that have been enacted or substantially enacted by the end of the reporting period and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

ah. Current and deferred income tax (continued)

Deferred tax assets are recognised only if it is probable that future taxable amounts will be available to utilise those temporary differences and losses.

Deferred tax liabilities are not recognised for temporary differences between the carrying amount and tax bases of investments in foreign operations where the company is able to control the timing of the reversal of the temporary differences and it is probable that the differences will not reverse in the foreseeable future.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset where the entity has a legally enforceable right to offset and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

ai. Leases transaction

At the inception of a contract, the Group assesses whether the contract is or contains a lease. A contract is or contains a lease if the contract conveys the right to control the use of an identified assets for a period of time in exchange for consideration. The Group can choose not to recognise the right-of-use asset and lease liabilities for:

- Leases with a lease term of 12 months or less; and
- Low value underlying assets

To assess whether a contract conveys the right to control the use of an identified asset, the Group shall assess whether:

- The Group has the right to obtain substantially all the economic benefit from use of the identified asset; and
- The Group has the right to direct the use of the identified asset. The Group has described when it has a decision-making rights that are the most relevant to changing how and for what purpose the asset is used are predetermined:
  1. The Group has the right to operate the asset;
  2. The Group has designed the asset in a way that predetermine how and for what purposes it will be used throughout the period of use.

The Group recognises a right-of-use asset and a leases liability at the leases commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the leases liability adjusted for any lease payment made at or before the commencement date, plus any initial direct cost incurred.

The right-of-use asset is amortised over the straight-line method throughout the lease term.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

ai. Lease Transaction (continued)

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that right cannot be readily determined, using incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as a discount rate.

Each lease payment is allocated between the liabilities and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

The Group presents right-of-use assets as part of “Fixed assets” and lease liabilities as part of “Other liabilities” in the consolidated statements of financial position.

If the lease transfers ownership of the underlying asset to the Group by the end of the lease term or if the cost of the right-of-use asset reflects that the Group will exercise a purchase option, the Group depreciates the right-of-use asset from the commencement date to the end of the useful life of the underlying asset. Otherwise, the Group depreciates the right-of-use asset from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the leases term.

The Group analyses the facts and circumstances for each type of landrights in determining the accounting for each of these land rights so that it can accurately represent an underlying economic event or transaction. If the landrights do not transfer control of the underlying assets to the Group, but gives the rights to use the underlying assets, the Group applies the accounting treatment of these transactions as leases under SFAS 73, “Lease”, except if landrights substantially similar to land purchases, the Group applies SFAS 16 “Fixed Assets”.

aj. Operating segment

An operating segment is a component of the entity that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the entity’s other components, whose operating results are reviewed regularly by the chief operating decision-maker to make decisions about resources allocated to the segment and assess its performance, and for which discrete financial information is available. Segment results that are reported to the chief operating decision-maker include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Unallocated items mainly comprise of head office expenses, fixed assets, income tax assets/liabilities, including current and deferred taxes.

The Group manages its businesses and identify reporting segment based on geographic region and product. Several regions have similar characteristics, have been aggregated and evaluated regularly by management. Gains/losses from each segment is used to assess the performance of each segment.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

ak. Related parties transactions

The Group has transactions with related parties. In accordance with SFAS 7 "Related Party Disclosure", the meaning of a related party is a person or entity that is related to a reporting entity as follow:

a. A person or a close member of that person's family is related to a reporting entity if that person:
   i. has control or joint control over the reporting entity;
   ii. has significant influence over the reporting entity; or
   iii. is member of the key management personnel of the reporting entity or a parent of the reporting entity.

b. An entity is related to a reporting entity if any of the following conditions applies:
   i. the entity and the reporting entity are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others);
   ii. one entity is an associate or joint venture of the other entity (or an associate or joint venture of member of a company of which the other entity is a member);
   iii. both entities are joint ventures of the same third party;
   iv. one entity is a joint venture of a third entity and the other entity is an associate of the third entity;
   v. the entity is a post-employment benefit plan for the benefit of employees of either the reporting entity or an entity related to the reporting entity;
   vi. the entity controlled or jointly controlled by a person identified in (a);
   vii. a person identified in (a) (i) has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity).

The nature of transactions and balances of accounts with related parties are disclosed in the Note 47.

3. USE OF ESTIMATES AND JUDGMENT

This disclosure supplements the commentary on financial risk management (Note 42).

a. Key sources of estimation uncertainty

a.1. Allowance for impairment losses of financial assets

According to SFAS 71, the measurement of the expected credit loss allowance for financial assets measured at amortised cost and at fair value through other comprehensive income is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behaviour.

3. USE OF ESTIMATES AND JUDGMENT (continued)

This disclosure supplements the commentary on financial risk management (Note 42). (continued)

a. Key sources of estimation uncertainty (continued)

a.1. Allowance for impairment losses of financial assets (continued)

Significant estimates are required in applying the SFAS 71 requirements for measuring allowance for impairment losses, such as:

- Determining criteria for Significant Increase in Credit Risk;
- Choosing appropriate models and assumptions for the measurement of allowance for impairment losses;
- Establishing the number and relative weightings of forward-looking scenarios for each type of segment/product;
- Establishing the segments of similar financial assets for the purposes of measuring allowance for impairment losses;
- Estimate debtor's cash flow in the calculation of individual impairment.

Detailed information about financial risk management related to the judgments and estimates made by the Group is set out in Note 42.

a.2. Determining fair values of financial instruments

In determining the fair value of financial assets and liabilities for which there is no observable market price, the Group must use the valuation techniques as described in Note 2g for financial instruments that trade infrequently and have little price transparency, fair value is less objective and requires varying degrees of judgment depending on liquidity, concentration, uncertainty of market factors, pricing assumptions, and other risks.

a.3. Post-employment benefits obligations

Present value of retirement obligations depends on several factors which determined by actuarial basis using several assumptions. Assumptions used to determine expenses (revenues) of net pension including discount rate and future salary growth. Any changes on these assumptions will affect the recorded amount of pension obligations.

a.4. Taxation

The Group requires significant judgment in determining tax provisions. Group determines tax provisions based on estimates of the possible additional tax expense. If the final outcome is different from the amount originally recorded, the difference will have an impact in the profit or loss.

b. Critical accounting judgments in applying the Group accounting policy

Critical accounting judgments in applying the Group accounting policies include:

b.1. Valuation of financial instruments

The Group accounting policies on fair value measurements are discussed in Note 2g.

Information regarding the fair value of financial instruments is disclosed in Note 37.

3. USE OF ESTIMATES AND JUDGMENT (continued)

This disclosure supplements the commentary on financial risk management (Note 42). (continued)

b. Critical accounting judgments in applying the Group accounting policy (continued)

Critical accounting judgments in applying the Group accounting policies include: (continued)

b.2. Financial asset and liability classification

The Group's accounting policies provide scope for assets and liabilities to be designated at the inception into different accounting categories in accordance with the prevailing accounting standards and based on certain circumstances:

- In classifying financial assets as "measured at fair value through profit or loss", the Group has determined that the financial assets meet the description of assets measured at fair value through profit or loss as set out in Note 2g;
- In classifying financial assets as "measured at amortised cost", the Group has determined that the financial assets meet the description of assets measured at amortised cost as set out in Note 2g;
- In classifying investment in sukuk as "measured at cost" and "measured at fair value through other comprehensive income", the Group has determined that the investment meets the classification requirements as set out in Note 2r.

4. CASH

	2023	2022
Rupiah	20,478,286	20,296,643
Foreign currencies	1,223,228	1,062,866
	21,701,514	**21,359,509**

The balance of cash in Rupiah includes cash in Automatic Teller Machines ("ATM") amounting to Rp 8,456,193 and Rp 9,214,150 as of 31 December 2023 and 2022, respectively.

5. CURRENT ACCOUNTS WITH BANK INDONESIA

	2023	2022
Rupiah	88,703,316	100,129,888
Foreign currencies	3,914,389	3,980,407
	92,617,705	**104,110,295**

5. CURRENT ACCOUNTS WITH BANK INDONESIA (continued)

Average effective interest rates (yield) per annum of current accounts with Bank Indonesia denominated in Rupiah as of 31 December 2023 and 2022 were 0.72% and 0.61%, respectively.

Current accounts with Bank Indonesia are provided to comply with the Reserve Requirement ("RR") of Bank Indonesia. On 31 December 2023 and 2022, the Ratio of Rupiah and Foreign Currencies RR as well as the Ratio of Macroprudential Liquidity Buffer ("MPLB") that must be met by the Bank are as follows:

	2023	2022
Rupiah		
- RR	6.20%	7.30%
(i) RR on daily basis	0.00%	0.00%
(ii) RR on average basis	9.00%	9.00%
(iii) RR reduction incentives	-2.80%	-1.70%
- MIR	1.96%	2.67%
- MPLB	5.00%	6.00%
Foreign currencies		
- RR	4.00%	4.00%
(i) RR on daily basis	2.00%	2.00%
(ii) RR on average basis	2.00%	2.00%

RR is a minimum reserve that should be maintained by the Bank in the form of current accounts with Bank Indonesia. MPLB is a minimum liquidity reserves that should be maintained by Bank, in the form of Bank Indonesia Certificates ("SBI"), Bank Indonesia Deposit Certificates ("SDBI"), Treasury Bills ("SBN"), *Sekuritas Rupiah Bank Indonesia* ("SRBI") which is determined by Bank Indonesia at certain percentage of the Bank's Third Party Fund.

As of 31 December 2023 and 2022, the Bank has fulfilled the RR ratios in Rupiah and foreign currencies, and MPLB ratios as follows:

	2023	2022
Rupiah		
- RR	6.40%	7.48%
(i) RR on daily basis	0.00%	0.00%
(ii) RR on average basis	6.40%	7.48%
- MIR	1.96%	2.67%
- MPLB	33.89%	34.69%
Foreign currencies		
- RR	4.71%	4.24%
(i) RR on daily basis	2.00%	2.00%
(ii) RR on average basis	2.71%	2.24%

Information on the classification and fair value of current account with Bank Indonesia is disclosed in Note 37. Information on the maturity of current account with Bank Indonesia is disclosed in Note 43.

6. CURRENT ACCOUNTS WITH OTHER BANKS

	2023	2022
Rupiah	60,097	24,474
Foreign currencies	5,555,155	4,728,185
Total current accounts with other banks before deducting allowance for impairment losses	5,615,252	4,752,659
Less:		
Allowance for impairment losses		
Rupiah	(323)	(148)
Foreign currencies	(576)	(595)
	(899)	(743)
Total current accounts with other banks - net	**5,614,353**	**4,751,916**

As of 31 December 2023 and 2022, the Group did not have balances of current accounts with other banks from related parties.

Average effective interest rates (yield) per annum of current accounts with other banks were as follows:

	2023	2022
Rupiah	4.03%	2.35%
Foreign currencies	3.01%	0.80%

As of 31 December 2023 and 2022, all current accounts with other banks were categorised as stage 1, had not experienced a significant increase in credit risk since initial recognition and had no objective evidence of impairment. The changes in the allowance for impairment losses on current accounts with other banks are as follows:

	2023			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(743)	-	-	(743)
Net changes in exposure	(179)	-	-	(179)
Foreign exchange difference	23	-	-	23
Balance, end of year	**(899)**	**-**	**-**	**(899)**

	2022			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(537)	-	-	(537)
Net changes in exposure	(154)	-	-	(154)
Foreign exchange difference	(52)	-	-	(52)
Balance, end of year	**(743)**	**-**	**-**	**(743)**

As of 31 December 2023 and 2022, management believes that the allowance for impairment losses is adequate to cover possible losses arising from uncollectible current accounts with other banks.

Information on the classification and fair value of current accounts with other banks is disclosed in Note 37. Information on the maturity of current accounts with other banks is disclosed in Note 43.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

7. PLACEMENTS WITH BANK INDONESIA AND OTHER BANKS

Details of placements with Bank Indonesia and other banks by type and contractual period at initial placement were as follows:

	2023					
	Up to 1 month	> 1 - 3 months	> 3 - 6 months	> 6 - 12 months	More than 12 months	Total
Bank Indonesia:						
Rupiah	751,891	-	-	-	-	751,891
Foreign currencies	-	-	-	-	-	-
Call money:						
Rupiah	1,050,000	50,000	-	-	-	1,100,000
Foreign currencies	-	1,452,228	-	-	-	1,452,228
Time deposits:						
Rupiah	667,240	420,342	176,124	366,423	-	1,630,129
Foreign currencies	64,138	5,571	-	-	-	69,709
Certificate of deposits:						
Rupiah	-	-	-	-	198,282	198,282
Others:						
Foreign currencies	106	-	-	-	-	106
	2,533,375	1,928,141	176,124	366,423	198,282	5,202,345
Less:						
Allowance for impairment losses						
Rupiah						(663)
Foreign currencies						(21)
						(684)
Total placements with Bank Indonesia and other banks - net						**5,201,661**

	2022					
	Up to 1 month	> 1 - 3 months	> 3 - 6 months	> 6 - 12 months	More than 12 months	Total
Bank Indonesia:						
Rupiah	4,593,243	-	-	-	-	4,593,243
Foreign currencies	11,675,625	2,412,963	-	-	-	14,088,588
Call money:						
Rupiah	2,830,000	450,000	-	-	-	3,280,000
Foreign currencies	1,546,361	5,648,604	544,863	155,675	-	7,895,503
Time deposits:						
Rupiah	530,242	505,646	88,166	394,003	-	1,518,057
Foreign currencies	1,543	5,572	-	-	-	7,115
Others:						
Foreign currencies	109	-	-	-	-	109
	21,177,123	9,022,785	633,029	549,678	-	31,382,615
Less:						
Allowance for impairment losses						
Rupiah						(1,940)
Foreign currencies						(3,523)
						(5,463)
Total placements with Bank Indonesia and other banks - net						**31,377,152**

As of 31 December 2023 and 2022, the Group did not have balances of placements with other banks from related parties.

7. PLACEMENTS WITH BANK INDONESIA AND OTHER BANKS (continued)

Changes in unrealised gains (losses) from placements with other banks measured at fair value through other comprehensive income are as follows:

	2023	2022
Balance, beginning of year - before deferred income tax	-	150
Addition of unrealised gains (losses) during the year - net	(1,086)	(161)
Realised gains (losses) during the year - net	-	11
Total before deferred income tax	(1,086)	-
Deferred income tax (Note 20)	206	-
Balance, end of year - net	**(880)**	-

During 2023 and 2022, all placements with other banks were categorised as stage 1, had not experienced a significant increase in credit risk since initial recognition and had no objective evidence of impairment. The changes in the allowance for impairment losses on placements with other banks are as follows:

	2023			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(5,463)	-	-	(5,463)
Net changes in exposure	4,639	-	-	4,639
Foreign exchange difference	140	-	-	140
Balance, end of year	**(684)**	**-**	**-**	**(684)**

	2022			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(4,132)	-	-	(4,132)
Net changes in exposure	(1,170)	-	-	(1,170)
Foreign exchange difference	(161)	-	-	(161)
Balance, end of year	**(5,463)**	-	-	**(5,463)**

Average effective interest rates (yield) per annum of placements with Bank Indonesia and other banks were as follows:

	2023	2022
Bank Indonesia and call money:		
Rupiah	5.70%	2.99%
Foreign currencies	4.87%	1.53%
Time deposits:		
Rupiah	4.41%	3.02%
Foreign currencies	2.62%	1.03%
Certificates of deposits:		
Rupiah	6.24%	-

7. PLACEMENTS WITH BANK INDONESIA AND OTHER BANKS (continued)

The range of contractual interest rates of time deposits owned by the Group in Rupiah currency during the years ended 31 December 2023 and 2022 were 2.00% - 6.80% and 1.90% - 6.30%, respectively, and for certificates of deposit in Rupiah are 6.53% and nil, respectively, while time deposits in foreign currencies were 2.00% - 6.80% and 0.16% - 5.09%, respectively.

As of 31 December 2023 and 2022, there were no placements with Bank Indonesia and other banks which were used as collateral for securities trading transaction.

As of 31 December 2023 and 2022, management believes that the allowance for impairment losses is adequate to cover possible losses arising from uncollectible placements with Bank Indonesia and other banks.

Information on the classification and fair value of placements with Bank Indonesia and other banks is disclosed in Note 37. Information on the maturity of placements with Bank Indonesia and other banks is disclosed in Note 43.

8. FINANCIAL ASSETS AND LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS

Financial assets and liabilities at fair value through profit or loss consist of:

	2023		2022	
	Nominal value	Fair value	Nominal value	Fair value
Financial assets:				
Securities				
Sekuritas Rupiah Bank Indonesia	9,842,000	9,556,560	-	-
Government bonds	1,086,678	1,101,960	1,427,188	1,438,042
Bank Indonesia Treasury Bills	3,485,881	3,474,298	-	-
Sukuk	51,796	51,082	92,116	91,158
Corporate bonds	12,650	12,656	-	-
Mutual Funds	119,918	123,033	21,752	23,149
Investment in shares	-	297,442	-	398,493
Others	189,354	224,115	195,696	181,969
	14,788,277	14,841,146	1,736,752	2,132,811
Derivative assets				
Forward		91,843		46,307
Swap		121,817		51,728
Spot		3,854		2,283
		217,514		100,318
		15,058,660		2,233,129
Financial liabilities:				
Derivative liabilities				
Forward		47,698		40,705
Swap		73,204		331,715
Spot		1,863		10,853
		122,765		383,273

8. FINANCIAL ASSETS AND LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS (continued)

The detail of investment in shares owned by the Group based on counterparties as of 31 December 2023 and 2022 are as follows:

	2023	2022
Related parties	8,642	8,642
Third parties	288,800	389,851
Total investment in shares	**297,442**	**398,493**

Information on the classification and fair value of financial assets and liabilities measured at fair value through profit or loss is disclosed in Note 37. Information on the maturity of financial assets and liabilities measured at fair value through profit or loss is disclosed in Note 43.

9. ACCEPTANCE RECEIVABLES AND PAYABLES

a. The details of acceptance receivables

	2023	2022
Rupiah		
Non-bank debtors	4,370,505	3,133,006
Other banks	401,305	272,987
	4,771,810	3,405,993
Less:		
Allowance for impairment losses	(143,001)	(101,045)
	4,628,809	3,304,948
Foreign currencies		
Non-bank debtors	9,866,681	11,927,099
Other banks	304,248	182,006
	10,170,929	12,109,105
Less:		
Allowance for impairment losses	(140,114)	(214,412)
	10,030,815	11,894,693
Total acceptance receivables - net	**14,659,624**	**15,199,641**

9. ACCEPTANCE RECEIVABLES AND PAYABLES (continued)

b. The details of acceptance payables

	2023	2022
Rupiah		
Non-bank debtors	601,745	396,434
Other banks	872,788	1,078,791
	1,474,533	1,475,225
Foreign currencies		
Non-bank debtors	306,438	182,006
Other banks	4,920,285	8,009,417
	5,226,723	8,191,423
Total acceptance payables	**6,701,256**	**9,666,648**

c. The movement of allowance for impairment losses of acceptance receivables

	2023			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(89,779)	(26,245)	(199,433)	(315,457)
Transfer to lifetime expected credit losses (Stage 2)	309	(7,185)	-	(6,876)
Transfer to 12 months expected credit losses (Stage 1)	(27)	55	-	28
Net changes in exposure	10,320	7,821	19,156	37,297
Foreign exchange difference	1,288	115	490	1,893
Balance, end of year	**(77,889)**	**(25,439)**	**(179,787)**	**(283,115)**

	2022			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(94,822)	(9)	(424,453)	(519,284)
Transfer to lifetime expected credit losses (Stage 2)	12,409	(13,346)	-	(937)
Transfer to 12 months expected credit losses (Stage 1)	(50)	53	3	6
Net changes in exposure	(1,280)	(11,903)	238,251	225,068
Foreign exchange difference	(6,036)	(1,040)	(13,234)	(20,310)
Balance, end of year	**(89,779)**	**(26,245)**	**(199,433)**	**(315,457)**

Management believes that the allowance for impairment losses provided was adequate to cover possible losses on uncollectible acceptance receivables.

As of 31 December 2023 and 2022, the Bank did not have balances of acceptance receivables and payables from and to related parties.

9. ACCEPTANCE RECEIVABLES AND PAYABLES (continued)

Information on the classification and fair value of acceptance receivables and payables is disclosed in Note 37. Information on the maturity of acceptance receivables and payables is disclosed in Note 43.

10. BILLS RECEIVABLE

a. The details of bills receivable

	2023	2022
Rupiah		
Non-bank debtors	13,153	8,605
Other banks	5,237,645	3,370,187
	5,250,798	3,378,792
Less:		
Allowance for impairment losses	(798)	(779)
	5,250,000	3,378,013
Foreign currencies		
Non-bank debtors	622,915	607,819
Other banks	4,514,327	1,916,431
	5,137,242	2,524,250
Less:		
Allowance for impairment losses	(3,718)	(6,356)
	5,133,524	2,517,894
Total bills receivables - net	**10,383,524**	**5,895,907**

b. The movement of allowance for impairment losses of bills receivables

The movement of allowance for impairment losses of bills receivables were as follows:

	2023			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(2,106)	-	(5,029)	(7,135)
Transfer to 12 months expected credit losses (Stage 1)	3	-	-	3
Net changes in exposure	(2,634)	-	5,163	2,529
Foreign exchange difference	221	-	(134)	87
Balance, end of year	**(4,516)**	**-**	**-**	**(4,516)**

10. BILLS RECEIVABLE (continued)

b. The movement of allowance for impairment losses of bills receivables (continued)

The movement of allowance for impairment losses of bills receivables were as follows: (continued)

	2022			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(1,841)	-	(44,820)	(46,661)
Transfer to 12 months expected credit losses (Stage 1)	48	-	3	51
Net changes in exposure	(4,663)	-	47,572	42,909
Foreign exchange difference	4,350	-	(7,784)	(3,434)
Balance, end of year	**(2,106)**	-	**(5,029)**	**(7,135)**

Management believes that the allowance for impairment losses provided was adequate to cover possible losses on uncollectible bills receivables.

As of 31 December 2023 and 2022, the Bank did not have balances of bills receivables to related parties.

Average effective interest rates (yield) per annum of bills receivable were as follows:

	2023	2022
Rupiah	11.55%	6.25%
Foreign currencies	5.52%	3.19%

Information on the classification and fair value of bills receivables is disclosed in Note 37. Information on the maturity of bills receivables is disclosed in Note 43.

11. SECURITIES PURCHASED UNDER AGREEMENTS TO RESELL

This account represents receivables to Bank Indonesia, other banks and third party for securities purchased with agreements to resell with details as follows:

	2023					
	Range of purchase date	Range of sale date	Resell price	Deferred interest income	Allowance for impairment losses	Carrying value
Transactions with Bank Indonesia:						
Underlying instruments:						
Government bonds	6 Jan - 27 Dec 23	5 Jan - 16 Aug 24	88,093,534	(1,733,855)	-	86,359,679
Government Treasury Bills	28 Apr - 29 Dec 23	3 Jan - 2 Aug 24	5,269,636	(2,988,267)	-	2,281,369
			93,363,170	(4,722,122)	-	88,641,048
Transactions with other banks:						
Underlying instruments:						
Government bonds	6 - 27 Dec 23	3 - 19 Jan 24	3,237,274	(4,312)	-	3,232,962
Sekuritas Rupiah Bank Indonesia	6 - 22 Dec 23	4 - 8 Jan 24	1,188,849	(1,122)	-	1,187,727
			4,426,123	(5,434)	-	4,420,689
Transactions with non-bank:						
Underlying instruments:						
Shares	12 - 29 Dec 23	12 Mar - 28 Jun 24	38,118	(2,704)	(998)	34,416
			38,118	(2,704)	(998)	34,416
			97,827,411	**(4,730,260)**	**(998)**	**93,096,153**

11. SECURITIES PURCHASED UNDER AGREEMENTS TO RESELL (continued)

This account represents receivables to Bank Indonesia, other banks and third party for securities purchased with agreements to resell with details as follows: (continued)

	2022					
	Range of purchase date	Range of sale date	Resell price	Deferred interest income	Allowance for impairment losses	Carrying value
Transactions with Bank Indonesia:						
Underlying instruments:						
Government bonds	7 Jan - 30 Dec 22	6 Jan - 29 Dec 23	150,732,374	(2,708,002)	-	148,024,372
Government Treasury Bills	30 Sep - 30 Dec 22	3 Jan - 29 Sep 23	1,909,699	(384,140)	-	1,525,559
			152,642,073	(3,092,142)	-	149,549,931
Transactions with other banks:						
Underlying instruments:						
Government bonds	1 - 29 Dec 22	2 - 9 Jan 23	4,386,635	(2,209)	-	4,384,426
			4,386,635	(2,209)	-	4,384,426
Transactions with non-bank:						
Underlying instruments:						
Shares	16 Nov 22	31 Jan 23	32,367	(313)	(1,299)	30,755
			32,367	(313)	(1,299)	30,755
			157,061,075	**(3,094,664)**	**(1,299)**	**153,965,112**

The movement of allowance for impairment losses on securities purchased under agreements to resell was as follows:

	2023			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(1,299)	-	-	(1,299)
Net changes in exposure	301	-	-	301
Balance, end of year	**(998)**	**-**	**-**	**(998)**

	2022			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(1,243)	-	-	(1,243)
Net changes in exposure	(56)	-	-	(56)
Balance, end of year	**(1,299)**	-	-	**(1,299)**

Management believes that the allowance for impairment losses provided was adequate to cover possible losses on uncollectible securities purchased under agreements to resell.

All securities purchased under agreements to resell as of 31 December 2023 and 2022 were denominated in Rupiah currency.

As of 31 December 2023 and 2022, the Group did not have balances of securities purchased under agreements to resell with related parties.

Average effective interest rates (yield) per annum of securities purchased under agreements to resell for the years ended 31 December 2023 and 2022 were 6.35% and 3.81%, respectively.

Information on the classification and fair value of securities purchased under agreements to resell is disclosed in Note 37. Information on the maturity of securities purchased under agreements to resell is disclosed in Note 43.

12. LOANS RECEIVABLE

Loans receivable consisted of:

a. By type and currency

	2023	2022
Rupiah		
Related parties:		
Working capital	1,827,412	2,267,478
Investment	6,493,055	7,045,615
Consumer	10,530	13,359
	8,330,997	9,326,452
Third parties:		
Working capital	340,718,796	297,439,472
Investment	234,837,040	200,194,766
Consumer	141,807,967	124,213,262
Credit card	15,783,861	13,384,393
Employee loans	3,145,449	3,131,952
	736,293,113	638,363,845
	744,624,110	647,690,297
Foreign currencies		
Related parties:		
Investment	147,524	119,011
Third parties:		
Working capital	33,698,753	32,423,337
Investment	13,726,327	14,703,877
	47,425,080	47,127,214
	47,572,604	47,246,225
Total loans receivable	792,196,714	694,936,522
Less: Allowance for impairment losses		
Rupiah	(28,206,052)	(28,886,553)
Foreign currencies	(5,102,823)	(5,060,965)
	(33,308,875)	(33,947,518)
Total loans receivable - net	**758,887,839**	**660,989,004**

12. LOANS RECEIVABLE (continued)

Loans receivable consisted of: (continued)

b. By economic sector and Bank Indonesia's collectability

	2023						
	Current	Special mention	Sub-standard	Doubtful	Loss	Allowance for impairment losses	Total
Rupiah							
Manufacturing	147,054,171	3,346,022	1,389,254	223,865	2,850,710	(8,648,573)	146,215,449
Business services	131,719,461	2,483,034	25,329	22,944	126,194	(5,644,536)	128,732,426
Trading, restaurants and hotels	158,487,639	3,025,986	343,151	378,470	2,263,191	(7,501,129)	156,997,308
Agriculture and agricultural facilities	30,681,430	155,371	3,248	87,453	119,930	(931,105)	30,116,327
Construction	33,994,897	303,115	25,292	79,823	142,185	(828,537)	33,716,775
Transportation and warehousing	24,993,376	90,244	246,557	3,352	13,171	(667,021)	24,679,679
Social/public services	11,174,243	110,908	9,808	19,968	11,594	(1,087,268)	10,239,253
Mining	12,802,808	16,354	-	31	1,684	(152,904)	12,667,973
Electricity, gas, and water	15,026,015	11,648	234	6,627	5,056	(139,250)	14,910,330
Household activities	136,976,779	5,810,519	333,320	361,498	1,480,710	(2,196,613)	142,766,213
Others	14,826,201	812,364	33,389	56,841	56,646	(409,116)	15,376,325
	717,737,020	16,165,565	2,409,582	1,240,872	7,071,071	(28,206,052)	716,418,058
Foreign currencies							
Manufacturing	23,881,384	381,987	-	-	3,455,165	(3,671,047)	24,047,489
Business services	2,796,647	-	-	-	-	(68,229)	2,728,418
Trading, restaurants and hotels	6,269,049	322,417	-	-	21,645	(1,251,454)	5,361,657
Agriculture and agricultural facilities	4,092,181	-	-	-	-	(28,851)	4,063,330
Construction	3,457	-	-	-	-	-	3,457
Transportation and warehousing	2,800,131	-	-	-	-	(57,943)	2,742,188
Social/public services	18,355	-	-	-	-	(185)	18,170
Mining	2,612,974	-	-	-	-	(9,729)	2,603,245
Electricity, gas, and water	917,212	-	-	-	-	(15,385)	901,827
	43,391,390	704,404	-	-	3,476,810	(5,102,823)	42,469,781
Total	**761,128,410**	**16,869,969**	**2,409,582**	**1,240,872**	**10,547,881**	**(33,308,875)**	**758,887,839**

	2022						
	Current	Special mention	Sub-standard	Doubtful	Loss	Allowance for impairment losses	Total
Rupiah							
Manufacturing	128,108,975	2,842,823	712,845	1,372,634	1,015,900	(8,752,884)	125,300,293
Business services	113,309,622	1,378,267	5,532	15,513	202,639	(5,543,792)	109,367,781
Trading, restaurants and hotels	142,795,198	2,467,940	362,647	240,335	2,088,470	(8,150,526)	139,804,064
Agriculture and agricultural facilities	34,171,801	84,938	5,269	10,121	107,905	(1,273,861)	33,106,173
Construction	32,993,566	117,689	7,640	22,192	75,806	(682,697)	32,534,196
Transportation and warehousing	17,691,267	54,531	1,733	2,632	24,072	(391,389)	17,382,846
Social/public services	10,675,812	56,010	1,605	5,069	39,497	(1,627,343)	9,150,650
Mining	3,795,309	51,678	7	-	8,746	(99,927)	3,755,813
Electricity, gas, and water	10,004,133	8,134	690	-	3,451	(122,879)	9,893,529
Household activities	122,426,345	3,537,086	144,804	188,937	1,060,496	(1,918,636)	125,439,032
Others	12,598,276	657,543	31,057	54,732	50,378	(322,619)	13,069,367
	628,570,304	11,256,639	1,273,829	1,912,165	4,677,360	(28,886,553)	618,803,744
Foreign currencies							
Manufacturing	23,331,369	371,344	-	2,748,401	785,198	(3,531,517)	23,704,795
Business services	2,291,864	-	-	-	-	(38,313)	2,253,551
Trading, restaurants and hotels	6,724,704	26,555	399,656	-	1,739	(1,326,561)	5,826,093
Agriculture and agricultural facilities	5,621,573	-	-	-	-	(48,846)	5,572,727
Construction	3,014	-	-	-	-	-	3,014
Transportation and warehousing	3,108,711	-	-	-	-	(74,587)	3,034,124
Social/public services	23,906	-	-	-	-	(162)	23,744
Mining	151,423	-	-	-	-	(2,982)	148,441
Electricity, gas, and water	1,656,768	-	-	-	-	(37,997)	1,618,771
	42,913,332	397,899	399,656	2,748,401	786,937	(5,060,965)	42,185,260
Total	**671,483,636**	**11,654,538**	**1,673,485**	**4,660,566**	**5,464,297**	**(33,947,518)**	**660,989,004**

12. LOANS RECEIVABLE (continued)

Loans receivable consisted of: (continued)

c. By maturity

Loans receivable by maturity period based on loan agreements:

	2023	2022
Rupiah		
Up to 1 year	236,808,450	214,975,721
> 1 - 5 years	172,355,082	166,048,653
> 5 years	335,460,578	266,665,923
	744,624,110	647,690,297
Foreign currencies		
Up to 1 year	23,276,365	23,685,954
> 1 - 5 years	9,467,615	7,145,370
> 5 years	14,828,624	16,414,901
	47,572,604	47,246,225
Total loans receivable	792,196,714	694,936,522
Less:		
Allowance for impairment losses	(33,308,875)	(33,947,518)
Total loans receivable - net	**758,887,839**	**660,989,004**

d. By staging

Below is movement of loans based on stages during the years ended 31 December 2023 and 2022:

	2023			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	659,148,954	23,910,392	11,877,176	694,936,522
Transfer to lifetime expected credit losses (Stage 2)	(20,084,971)	22,751,516	(2,751,902)	(85,357)
Transfer to credit impaired (Stage 3)	(1,427,035)	(13,177,663)	14,539,732	(64,966)
Transfer to 12 months expected credit losses (Stage 1)	12,880,798	(11,686,164)	(1,685,407)	(490,773)
Net changes in exposure	107,269,477	(1,709,758)	(4,454,015)	101,105,704
Written-off during the year	-	-	(2,500,255)	(2,500,255)
Foreign exchange difference	(640,332)	1,202	(65,031)	(704,161)
Balance, end of year	**757,146,891**	**20,089,525**	**14,960,298**	**792,196,714**

	2022			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	605,719,058	2,435,660	13,858,587	622,013,305
Transfer to lifetime expected credit losses (Stage 2)	(37,785,227)	41,975,495	(4,328,333)	(138,065)
Transfer to credit impaired (Stage 3)	(1,254,364)	(10,372,954)	11,591,036	(36,282)
Transfer to 12 months expected credit losses (Stage 1)	11,010,188	(9,442,022)	(1,973,790)	(405,624)
Net changes in exposure	78,402,010	(863,024)	(4,431,956)	73,107,030
Written-off during the year	-	-	(3,171,107)	(3,171,107)
Foreign exchange difference	3,057,289	177,237	332,739	3,567,265
Balance, end of year	**659,148,954**	**23,910,392**	**11,877,176**	**694,936,522**

12. LOANS RECEIVABLE (continued)

Loans receivable consisted of: (continued)

e. Syndicated loans

Syndicated loans represent loans provided to debtors under syndication agreements with other banks. Syndicated loans with risk sharing participation to the Bank's financing were as follows:

	2023	2022
Bank's participation as participant, ranged between 2.87% - 71.00% and 4.17% - 60.87% respectively, for the years ended 31 December 2023 and 2022, with outstanding balance of Rp 30,734,037 and USD 459,092,868 (full amount) as of 31 December 2023 (2022: Rp 27,810,957 and USD 262,167,969 (full amount))	37,802,690	31,892,257
Bank's participation as arranger, ranged between 9.95% - 75.00% and 15.27% - 75.00% respectively, for the years ended 31 December 2023 and 2022, with outstanding balance of Rp 27,121,490 and USD 43,895,806 (full amount) as of 31 December 2023 (2022: Rp 15,911,592 and USD 51,857,910 (full amount))	27,797,353	16,718,890
	65,600,043	**48,611,147**

f. Restructured loans

In accordance with No.17/POJK.03/2021 dated 10 September 2021 regarding the second amendment of the impact of the COVID-19 pandemic which replaced by OJK Press Release No. SP.85/DHMS/OJK/XI.2022 dated 28 November 2022 regarding extension of targeted and sectoral credit and financing restructuring policies due to the continued impact of the Covid pandemic, the Bank has carried out credit restructuring for debtors affected by COVID-19 and also identified as well as monitored the debtor's condition on an ongoing basis.

The amount of restructured loans by the Bank as of 31 December 2023 and 2022 amounting to Rp 40,581,823 and Rp 62,211,545, respectively. Credit restructuring carried out by modifying the facility structure and credit terms, including lowering credit interest rates, extending credit terms, and others.

Below are the amount of restructured loans based on Bank Indonesia's collectibility:

	2023	2022
Current	21,392,020	45,966,003
Special mention	8,486,902	6,787,024
Sub-standard	1,727,384	1,386,480
Doubtful	442,858	4,312,802
Loss	8,532,659	3,759,236
	40,581,823	**62,211,545**

12. LOANS RECEIVABLE (continued)

Loans receivable consisted of: (continued)

f. Restructured loans (continued)

Total restructured loans and under non-performing loan ("NPL") category as of 31 December 2023 and 2022 are amounting to Rp 10,702,901 and Rp 9,458,518, respectively.

g. The movement of allowance for impairment losses on loans receivable

	2023			
	Stage 1	**Stage 2**	**Stage 3**	**Total**
Balance, beginning of year	(12,899,997)	(13,279,002)	(7,768,519)	(33,947,518)
Transfer to lifetime expected credit losses (Stage 2)	1,444,978	(4,816,902)	1,302,571	(2,069,353)
Transfer to credit impaired (Stage 3)	284,632	5,259,724	(6,793,830)	(1,249,474)
Transfer to 12 months expected credit losses (Stage 1)	(1,633,602)	2,877,287	575,332	1,819,017
Net changes in exposure	64,144	(337,964)	(136,509)	(410,329)
Written-off during the year	-	-	2,500,255	2,500,255
Foreign exchange difference	6,023	(6,636)	49,140	48,527
Balance, end of year	**(12,733,822)**	**(10,303,493)**	**(10,271,560)**	**(33,308,875)**

	2022			
	Stage 1	**Stage 2**	**Stage 3**	**Total**
Balance, beginning of year	(23,182,067)	(447,358)	(8,570,302)	(32,199,727)
Transfer to lifetime expected credit losses (Stage 2)	12,724,978	(17,760,343)	1,991,966	(3,043,399)
Transfer to credit impaired (Stage 3)	216,051	3,384,989	(4,577,125)	(976,085)
Transfer to 12 months expected credit losses (Stage 1)	(1,728,989)	1,928,113	558,328	757,452
Net changes in exposure	(867,881)	(282,644)	(99,463)	(1,249,988)
Written-off during the year	-	-	3,171,107	3,171,107
Foreign exchange difference	(62,089)	(101,759)	(243,030)	(406,878)
Balance, end of year	**(12,899,997)**	**(13,279,002)**	**(7,768,519)**	**(33,947,518)**

Management believes that allowance for impairment losses provided was adequate to cover possible losses on uncollectible loans receivable.

12. LOANS RECEIVABLE (continued)

Loans receivable consisted of: (continued)

g. The movement of allowance for impairment losses on loans receivable (continued)

As of 31 December 2023 and 2022, allowance for impairment losses on loans receivable to related parties amounting to Rp 71,862 and Rp 72,528, respectively.

h. Joint financing

The Bank entered into joint financing agreements with PT BCA Finance and PT BCA Multi Finance, the Subsidiaries, for financing the purchase of vehicles. All risks from the loss arising from these joint financing facilities will be borne proportionally by both parties based on respective financing participation (without recourse). The Bank's portion of outstanding balance of joint financing receivable facilities as of 31 December 2023 and 2022 were Rp 46,927,073 and Rp 37,373,918, respectively.

i. The carrying amount of loans receivable are as follows:

	2023	2022
Loans receivable	792,196,714	694,936,522
Accrued interest income	2,732,906	2,262,898
Allowance for impairment losses (Note 12g)	(33,308,875)	(33,947,518)
	761,620,745	**663,251,902**

j. Other significant information relating to loans receivable

As of 31 December 2023 and 2022, the Bank had no loans receivable which were pledged as collaterals.

Demand deposits, saving and time deposits pledged as collateral for loans receivable amounting to Rp 17,626,804 and Rp 15,557,801, respectively, as of 31 December 2023 and 2022 (Note 19).

As of 31 December 2023 and 2022, the Bank at individual level and at consolidated level, complied with Legal Lending Limit ("LLL") requirements for both related parties and third parties.

Employee loans are loans given to Bank's employees with interest rate at 4% per annum for housing loans, motor vehicle loans, and loans for other purposes and the terms between 8 years to 20 years, specifically for the period 2022 - 2024 the Bank provides relief to employees with an interest rate of 3.5% per year. Repayment of principal and interest which will be effected through monthly salary deductions. The difference between the rate and market rate will be recognised as subsidy and recorded as other assets, also amortised over the life of the loans.

12. LOANS RECEIVABLE (continued)

Loans receivable consisted of: (continued)

j. Other significant information relating to loans receivable (continued)

Average effective interest rates (yield) per annum of loans receivable were as follows:

	2023	2022
Rupiah	7.63%	7.35%
Foreign currencies	5.54%	3.73%

Ratio of small enterprises loans to loans receivable provided by Bank as of 31 December 2023 and 2022 was 6.09% and 3.46%, respectively.

The Bank's non-performing loans (classified as sub-standard, doubtful and loss) as of 31 December 2023 and 2022 amounting to Rp 14,147,246 and Rp 11,795,528, respectively.

As of 31 December 2023, the ratio of gross non-performing loan ("NPL") and net NPL was 1.86% and 0.58% (2022: 1.71% and 0.59%), which was calculated based on prevailing POJK.

Information on the classification and fair value of loans receivable is disclosed in Note 37. Information on the details of loans receivable by geographic region is disclosed in Note 41. Information on the maturity of loan receivables is disclosed in Note 43.

13. CONSUMER FINANCING RECEIVABLES

The Subsidiaries' amortised cost of consumer financing receivables were as follows:

	2023	2022
Consumer financing receivables		
- Self-financing by Subsidiaries	5,735,549	6,951,467
- Share in joint financing with related party without recourse	9,770,331	7,052,266
Unamortised administration income - net	(539,183)	(460,266)
Unearned consumer financing income	(5,925,301)	(4,917,811)
Consumer financing receivables, before allowance for impairment losses	9,041,396	8,625,656
Less:		
Allowance for impairment losses	(327,946)	(410,229)
Total consumer financing receivables - net	**8,713,450**	**8,215,427**

13. CONSUMER FINANCING RECEIVABLES (continued)

Contractual interest rates per annum for consumer financing during 2023 and 2022 were 5.23% - 26.09% and 4.89% - 27.25%, respectively.

The Subsidiaries provide consumer financing contracts for 4 (four) wheels motor vehicles with terms ranging from 3 (three) months to 6 (six) years, while consumer financing contracts for 2 (two) wheels motor vehicles ranging from 1 (one) year to 4 (four) years.

The movement in the allowance for impairment losses on consumer financing receivables was as follows:

	2023			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(250,892)	(31,578)	(127,759)	(410,229)
Net changes in exposure	79,986	13,759	(266,693)	(172,948)
Written-off during the year	-	-	255,231	255,231
Balance, end of year	**(170,906)**	**(17,819)**	**(139,221)**	**(327,946)**

	2022			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(484,708)	(57,721)	(241,828)	(784,257)
Net changes in exposure	233,816	26,143	(123,495)	136,464
Written-off during the year	-	-	237,564	237,564
Balance, end of year	**(250,892)**	**(31,578)**	**(127,759)**	**(410,229)**

The collection of consumer financing receivables previously written-off amounting to Rp 33,176 and Rp 32,046 for the years ended 31 December 2023 and 2022, respectively.

Written-off consumer financing receivables were receivables which overdue for more than 150 (one hundred and fifty) days for 4 (four) wheels motor vehicles and more than 180 (one hundred and eighty) days for 2 (two) wheels motor vehicles. The write-offs are executed based on management case by case assessment.

As of 31 December 2023 and 2022 consumer financing receivables, before deduction of unearned income, amounting to Rp 265,734 and Rp 275,653, respectively, were pledged as collateral to borrowings (Note 21).

The consumer financing receivables are secured by the related certificates of ownership (“BPKB”) of the vehicles financed by the Subsidiaries.

Management believes that the allowance for impairment losses is adequate to cover possible losses arising from uncollectible consumer financing receivables.

13. CONSUMER FINANCING RECEIVABLES (continued)

Information on the classification and fair value of consumer financing receivables is disclosed in Note 37. Information on the maturity of consumer financing receivables is disclosed in Note 43.

14. INVESTMENT SECURITIES

The details of investment securities by type and currency as of 31 December 2023 and 2022 were as follows:

	2023				
Description	Nominal amount	Unamortised premium (discount)	Unrealised gain (loss)	Allowance for impairment losses	Carrying value
Rupiah					
Measured at amortised cost:					
Government bonds,					
- recapitalisation	2,614,600	27,643	-	-	2,642,243
- non-recapitalisation	100,125,166	1,873,069	-	-	101,998,235
Sukuk	45,009,102	(301,846)	-	(108)	44,707,148
Mutual fund units	62,000	-	-	(620)	61,380
Corporate bonds	8,863,539	1,093	-	(54,050)	8,810,582
Medium-term notes	5,050,000	-	-	(1,857)	5,048,143
Sekuritas Rupiah Bank Indonesia	32,500,000	(1,446,612)	-	-	31,053,388
Others	11,389	-	-	-	11,389
Measured at fair value through other comprehensive income:					
Government bonds,					
- non-recapitalisation	44,873,694	822,747	954,328	-	46,650,769
Sukuk of Bank Indonesia	1,311,470	-	6,324	-	1,317,794
Sukuk	29,074,575	(405,407)	250,283	(43,946)	28,875,505
Mutual fund units	12,331,714	66,286	151,548	(14,637)	12,534,911
Corporate bonds	18,403,094	(75,000)	(156,056)	(323,637)	17,848,401
Medium-term notes	200,000	-	(1,340)	(870)	197,790
Investment in shares	556,359	-	-	(104,366)	451,993
	300,986,702	561,973	1,205,087	(544,091)	302,209,671
Foreign currencies					
Measured at amortised cost:					
Government bonds,					
- non-recapitalisation	2,629,847	34,470	-	(77)	2,664,240
T-Bond USA	1,431,921	(11,528)	-	(300)	1,420,093
Corporate bonds	30,800	86	-	(12)	30,874
Sukuk	3,137,370	121,462	-	-	3,258,832
Measured at fair value through other comprehensive income:					
Government bonds,					
- non-recapitalisation	538,895	1,173	(6,415)	-	533,653
Sukuk	1,955,419	(3,811)	(15,347)	-	1,936,261
	9,724,252	141,852	(21,762)	(389)	9,843,953
Total investment securities	**310,710,954**	**703,825**	**1,183,325**	**(544,480)**	**312,053,624**

14. INVESTMENT SECURITIES (continued)

The details of investment securities by type and currency as of 31 December 2023 and 2022 were as follows: (continued)

	2022				
Description	**Nominal amount**	**Unamortised premium (discount)**	**Unrealised gain (loss)**	**Allowance for impairment losses**	**Carrying value**
Rupiah					
Measured at amortised cost:					
Government bonds					
- recapitalisation	2,389,300	45,466	-	-	2,434,766
- non-recapitalisation	67,096,797	1,816,656	-	-	68,913,453
Sukuk	29,400,983	(154,231)	-	(277)	29,246,475
Mutual fund units	100,000	-	-	(1,000)	99,000
Corporate bonds	13,581,550	(45,000)	-	(7,829)	13,528,721
Medium-term notes	65,000	-	-	(37)	64,963
Money market securities	230,000	-	-	(2,300)	227,700
Others	14,524	(1,091)	-	-	13,433
Measured at fair value through other comprehensive income:					
Government bonds,					
- non-recapitalisation	46,825,194	1,099,893	1,219,676	-	49,144,763
Sukuk of Bank Indonesia	1,450,000	-	230	-	1,450,230
Sukuk	48,612,534	(561,001)	811,852	(8,932)	48,854,453
Mutual fund units	6,877,808	58,406	182,367	(41,742)	7,076,839
Corporate bonds	17,812,055	-	69,300	(110,916)	17,770,439
Investment in shares	558,183	-	-	(117,566)	440,617
	235,013,928	2,259,098	2,283,425	(290,599)	239,265,852
Foreign currencies					
Measured at amortised cost:					
Government bonds,					
- non-recapitalisation	1,972,386	73,734	-	(134)	2,045,986
T-Bond USA	435,890	(5,143)	-	(72)	430,675
Corporate bonds	31,134	389	-	(12)	31,511
Sukuk	3,172,111	206,947	-	-	3,379,058
Measured at fair value through other comprehensive income:					
Bank Indonesia Treasury Bills	93,405	(444)	(160)	-	92,801
Government bonds,					
- non-recapitalisation	1,229,832	6,367	(8,862)	-	1,227,337
Sukuk	2,444,097	(4,391)	(17,760)	-	2,421,946
	9,378,855	277,459	(26,782)	(218)	9,629,314
Total investment securities	**244,392,783**	**2,536,557**	**2,256,643**	**(290,817)**	**248,895,166**

As of 31 December 2023, investment securities included government bonds with a carrying value of Rp 1,117,220 (par value of Rp 1,092,402), according to the agreement, The Bank must buy back the government bonds on 15 August 2028 and 12 February 2029. Total liabilities at carrying amount (“securities sold under agreements to repurchase”) in the consolidated statement of financial position amounted to Rp 1,054,780 as of 31 December 2023.

As of 31 December 2022, investment securities included government bonds and corporate bonds, each with a carrying value of Rp 279,585 (par value of Rp 264,634) and Rp 23,642 (par value of Rp 23,350), according to the agreement, The Bank must buy back the government bonds on 17 October 2023, 24 April 2028, and 12 February 2029, and on 11 April 2024 the Bank must buy back the corporate bonds. Total liabilities at carrying amount (“securities sold under agreements to repurchase”) in the consolidated statement of financial position amounted to Rp 255,962 as of 31 December 2022.

14. INVESTMENT SECURITIES (continued)

The details of investment in mutual funds owned by the Group which are classified by name and total units owned as of 31 December 2023 and 2022 are as follows:

Investment in mutual funds	2023		2022	
	Total units	Carrying amount	Total units	Carrying amount
Reksa Dana Terproteksi Syailendra Capital Protected Fund 54	500	522.989	-	-
Reksa Dana Terproteksi Trimegah Terproteksi Dana Berkala 11	500	515.791	-	-
Reksa Dana Terproteksi Bahana Centrum Protected Fund 232	500	512.745	-	-
Reksa Dana Terproteksi Bahana Centrum Protected Fund 233	500	511.863	-	-
Reksa Dana Terproteksi Mandiri Investa 2	500	510.344	-	-
Reksa Dana Terproteksi Batavia Proteksi Maxima 51	-	509.550	-	-
Reksa Dana Terproteksi Panin Proteksi 2031	500	508.710	-	-
Reksa Dana Terproteksi BNI-AM Proteksi Amarilis	500	508.453	-	-
Reksa Dana Terproteksi Bahana Centrum Protected Fund 227	500	506.569	-	-
Reksa Dana Terproteksi Batavia Proteksi Maxima 50	500	506.204	-	-
Reksa Dana Terproteksi BNI-AM Proteksi Kamelia	500	504.953	-	-
Reksa Dana Terproteksi Eastspring Bakti Proteksi 1	500	504.740	-	-
Reksa Dana Terproteksi Danareksa Proteksi 85	500	504.421	-	-
Reksa Dana Terproteksi Mandiri Investa 3	500	503.554		
Reksa Dana Terproteksi Trimegah Dana Berkala 12	500	503.483	-	-
Reksa Dana Terproteksi Danareksa Proteksi 90	500	503.397	-	-
Reksa Dana Terproteksi Manulife Proteksi Dana Utama VI	500	503.121	-	-
Reksa Dana Batavia Dana Kas Gebyar	137	501.688	186	539,343
Reksa Dana Terproteksi Ashmore Dana Terproteksi Nusantara IV	500	501.620	-	-
Reksa Dana Terproteksi Schroder IDR Income Plan VII	500	501.579	-	-
Reksa Dana Terproteksi Allianz Capital Protected Fund 62	500	501.117	-	-
Reksa Dana Terproteksi Premier Proteksi XII	500	501.113	-	-
Reksa Dana Tram Pundi Kas 2	350	501.055	735	1,041,593
Reksa Dana BNP Paribas Obligasi Berlian	222	229.967	223	231,636
Reksa Dana Terproteksi BNP Paribas Lumina Proteksi Rupiah	200	200.425	-	-
Reksa Dana Syariah Trimegah Kas Syariah	111	150.168	116	150,143
Reksa Dana Syariah Syailendra Money Market Fund	74	100.092	77	100,086
Reksa Dana Syariah Pasar Uang PNM Falah 2	43	50.134	44	50,117
Reksa Dana Syariah Trimegah Kas Syariah 2	50	50.009	50	50,180
Reksa Dana Syariah Penyertaan Terbatas PNM Pembiayaan Mikro BUMN Seri VI	50	50.000	50	50,000
Reksa Dana Syariah Majoris Pasar Uang Syariah Indonesia	19	25.028	20	25,019
Reksa Dana Syariah Penyertaan Terbatas PNM Pembiayaan Mikro BUMN Seri XI	12	12.000	-	-
Reksa Dana Schroder Prestasi Gebyar Indonesia II	3	10.285	3	10,110
Reksa Dana BNP Paribas Prima II	9	10.245	10	10,219
Reksa Dana Syailendra Pendapatan Tetap Premium	6	10.217	-	-
Reksa Dana Pendapatan Tetap Sucorinvest Stable Fund	8	10.130	-	-

14. INVESTMENT SECURITIES (continued)

The detail of investment in mutual funds which owned by the Group which are classified by name and total units owned as of 31 December 2023 and 2022 are as follows: (continued)

	2023		2022	
Investment in mutual funds (continued)	**Total units**	**Carrying amount**	**Total units**	**Carrying amount**
Reksa Dana Sucorinvest Money Market Fund	6	10.128	6	10,094
Reksa Dana Bahana MES Syariah Fund Kelas G	7	10.125	7	10,245
Reksa Dana Syailendra Dana Kas	6	10.125	7	10,111
Reksa Dana Bahana Dana Likuid	6	10.112	6	10,072
Reksa Dana Eastspring Syariah Fixed Income Amanah Kelas A	7	10.102	7	10,095
Reksa Dana Syariah Majoris Sukuk Negara Indonesia	2	3.197	3	3,208
Reksa Dana Terproteksi Trimegah Terproteksi Dana Berkala 5	-	-	524	540.247
Reksa Dana Terproteksi Bahana Centrum Protected Fund 192	-	-	500	531,667
Reksa Dana Bahana Revolving Fund	-	-	291	519,903
Reksa Dana Syailendra Money Market Fund 8	-	-	500	517,678
Reksa Dana BNI-AM Likuid Prioritas III	-	-	443	500,891
Reksa Dana Danareksa Gebyar Dana Likuid II	-	-	484	483,946
Reksa Dana Terproteksi Batavia Proteksi Maxima 8	-	-	452	473,042
Reksa Dana Terproteksi Danareksa Proteksi 64	-	-	452	470,599
Reksa Dana Terproteksi Panin Proteksi 2024	-	-	445	448.405
Reksa Dana BNP Paribas Dana Obligasi Gemilang	-	-	108	125,674
Reksa Dana Terproteksi Bahana Centrum Protected Fund 156	-	-	67	69,830
Reksa Dana Terproteksi Batavia Proteksi Ultima 2	-	-	56	56,945
Reksa Dana Syariah Panin Dana Likuid Syariah	-	-	42	50,136
Reksa Dana Syariah Penyertaan Terbatas PNM Pembiayaan Mikro BUMN Seri X	-	-	50	50,000
Reksa Dana Terproteksi Trimegah Terproteksi Dana Berkala 3	-	-	24	25.356
Reksa Dana Terproteksi Panin Proteksi 2022	-	-	20	20.738
Reksa Dana BNP Paribas 30 ETF	-	-	20	11,475
Reksa Dana Schroder Dana Mantap Plus II	-	-	3	9,778
		12,611,548		7,218,581
Less:				
Allowance for impairment losses		(15,257)		(42,742)
Total investment in mutual funds - net		**12,596,291**		**7,175,839**

The detail of investment in shares owned by the Group as of 31 December 2023 and 2022 are as follows:

a. Based on counterparties:

	2023	2022
Related parties	8,471	17,600
Third parties	547,888	540,583
Total investment in shares	556,359	558,183
Less: Allowance for impairment losses	(104,366)	(117,566)
Total investment in shares - net	**451,993**	**440,617**

14. INVESTMENT SECURITIES (continued)

The detail of investment in shares owned by the Group as of 31 December 2023 and 2022 are as follows: (continued)

b. Based on nature of business and percentage of ownership:

Company Name	Nature of business	2023 Percentage of ownership	2023 Carrying amount	2022 Percentage of ownership	2022 Carrying amount
- PT Bank BTPN Tbk	Banking	1.02%	297,085	1.02%	297,085
- PT Bank HSBC Indonesia	Banking	1.06%	184,025	1.06%	184,025
- PT Bank DBS Indonesia	Banking	1.00%	56,400	1.00%	56,400
- PT Digital Otomotif Indonesia	Marketplace	20.00%	8,471	20.00%	17,600
- Others (respectively under Rp 8,000)	Various	0.06% - 13.49%	10,378	0.06% - 13.49%	3,073
Total investment in shares			556,359		558,183
Less: Allowance for impairment losses			(104,366)		(117,566)
Total investment in shares - net			**451,993**		**440,617**

c. Based on collectibility of Bank Indonesia:

	2023	2022
Current	554,589	538,813
Sub-standard	-	-
Loss	1,770	19,370
Total investment in shares	556,359	558,183
Less: Allowance for impairment losses	(104,366)	(117,566)
Total investment in shares - net	**451,993**	**440,617**

The average effective interest rates (yield) per annum for investment securities were as follows:

	2023 Rupiah (%)	2023 Foreign currencies (%)	2022 Rupiah (%)	2022 Foreign currencies (%)
Measured at amortised cost:				
Government bonds	6.12	3.36	5.97	2.15
T-bond USA	-	3.77	-	0.76
Sukuk	5.82	1.27	5.23	1.24
Corporate bonds	7.85	3.07	7.78	2.57
Medium-term notes	6.85	-	6.76	-
Government Treasury Bills	-	-	3.19	-
Sekuritas Rupiah Bank Indonesia	6.18	-	-	-
Others	10.37	-	8.33	-
Measured at fair value through other comprehensive income:				
Government bonds	7.17	4.44	7.20	4.48
Medium term notes	6.16	-	-	-
Bank Indonesia Treasury Bills	-	5.38	-	0.26
Sukuk Bank Indonesia	6.63	-	3.80	-
Sukuk	7.25	4.26	7.31	4.27
Corporate bonds	7.90	-	7.90	-
Others	-	-	8.14	-

14. INVESTMENT SECURITIES (continued)

The movement of allowance for impairment losses of investment securities for the years ended 31 December 2023 and 2022 was as follows:

	2023			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(175,847)	-	(114,970)	(290,817)
Net changes in exposure	(266,874)	-	13,200	(253,674)
Foreign exchange difference	11	-	-	11
Balance, end of year	**(442,710)**	**-**	**(101,770)**	**(544,480)**

	2022			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(164,675)	-	(114,757)	(279,432)
Net changes in exposure	(11,129)	-	(213)	(11,342)
Foreign exchange difference	(43)	-	-	(43)
Balance, end of year	**(175,847)**	**-**	**(114,970)**	**(290,817)**

Management believes that the balance of allowance for impairment losses provided was adequate to cover possible losses on uncollectible investment securities.

The movement of unrealised gains (losses) from the change in fair value of investment securities at fair value through other comprehensive income was as follows:

	2023		
	Rupiah	Foreign currencies	Total
Balance, beginning of year - before deferred income tax	2,279,960	(26,782)	2,253,178
Addition of unrealised gains (losses) during the year - net	(1,127,543)	(7,418)	(1,134,961)
Realised gains (losses) during the year - net	41,132	12,266	53,398
Foreign exchange difference	-	172	172
Total before deferred income tax	1,193,549	(21,762)	1,171,787
Deferred income tax (Note 20)			(222,280)
Balance, end of year - net			**949,507**

	2022		
	Rupiah	Foreign currencies	Total
Balance, beginning of year - before deferred income tax	7,319,795	262,156	7,581,951
Addition of unrealised gains (losses) during the year - net	(5,073,400)	(294,167)	(5,367,567)
Realised gains (losses) during the year - net	33,565	1,398	34,963
Foreign exchange difference	-	3,831	3,831
Total before deferred income tax	2,279,960	(26,782)	2,253,178
Deferred income tax (Note 20)			(428,186)
Balance, end of year - net			**1,824,992**

14. INVESTMENT SECURITIES (continued)

The following table represents the summary of ratings and investment securities ratings owned by the Bank as of 31 December 2023 and 2022:

	2023		2022	
	Rating	Rating Agency	Rating	Rating Agency
Indonesian Government	BBB	Fitch	BBB	Fitch
United States of America Government	AAA	Fitch	AAA	Fitch
Indonesia Eximbank	-	-	AAA	Pefindo
PT Adira Dinamika Multi Finance Tbk	-	-	AAA	Pefindo
PT Astra Sedaya Finance	AAA	Pefindo	AAA	Pefindo
PT Bank CIMB Niaga Tbk	-	-	AAA	Pefindo
PT Bank Commonwealth	-	-	AA-	Fitch
PT Bank Mandiri (Persero) Tbk	AAA	Pefindo	AAA	Pefindo
PT Bank Mandiri Taspen	AA	Fitch	AA	Fitch
PT Bank Negara Indonesia (Persero) Tbk	AAA	Pefindo	AAA	Pefindo
PT Bank Pan Indonesia Tbk	-	-	AA	Pefindo
PT Bank Pembangunan Daerah Sulawesi Selatan dan Sulawesi Barat	A+	Pefindo	A+	Pefindo
PT Bank Rakyat Indonesia (Persero) Tbk	AAA	Pefindo	AAA	Pefindo
PT Bank SulutGo	A	Fitch	A	Fitch
PT Bank Tabungan Negara (Persero) Tbk	-	-	AA+	Fitch
PT Barito Pacific Tbk	A+	Pefindo	A+	Pefindo
PT BFI Finance Indonesia Tbk	AA-	Fitch	A+	Fitch
PT BRI Multifinance Indonesia	AA	Pefindo	AA	Pefindo
PT Bussan Auto Finance	AAA	Pefindo	AAA	Pefindo
PT Chandra Asri Petrochemical Tbk	AA-	Pefindo	AA-	Pefindo
PT Dayamitra Telekomunikasi Tbk	AAA	Pefindo	-	-
PT Dharma Satya Nusantara Tbk	A	Pefindo	A	Pefindo
PT Federal Internasional Finance	AAA	Pefindo	AAA	Pefindo
PT Indah Kiat Pulp & Paper Tbk	A	Pefindo	A+	Pefindo
PT Indonesia Infrastructure Finance	AAA	Pefindo	-	-
PT Indosat Tbk	AAA	Pefindo	AAA	Pefindo
PT JACCS Mitra Pinasthika Mustika Finance Indonesia	AA	Fitch	AA	Fitch
PT Kereta Api Indonesia (Persero)	AAA	Pefindo	AA+	Pefindo
PT Lautan Luas Tbk	A	Pefindo	A	Pefindo
PT Lontar Papyrus Pulp and Paper Industry	A	Pefindo	A	Pefindo
PT Mandiri Tunas Finance	AAA	Pefindo	AAA	Pefindo
PT Mayora Indah Tbk	AA	Pefindo	AA	Pefindo
PT Merdeka Copper Gold Tbk	A+	Pefindo	-	-
PT Oki Pulp & Paper Mills	A+	Pefindo	A+	Pefindo
PT Oto Multiartha	-	-	-	-
PT Pegadaian (Persero)	AAA	Pefindo	AAA	Pefindo
PT Pembangunan Jaya Ancol Tbk	A+	Pefindo	A	Pefindo
PT Permodalan Nasional Madani	AA+	Pefindo	AA	Pefindo
PT Pos Indonesia (Persero)	A-	Fitch	A-	Fitch
PT Profesional Telekomunikasi Indonesia	AAA	Fitch	AAA	Fitch
PT Pupuk Indonesia (Persero)	AAA	Fitch	AAA	Fitch
PT Sarana Multi Infrastruktur (Persero)	AAA	Pefindo	AAA	Pefindo
PT Sarana Multigriya Finansial (Persero)	AAA	Pefindo	AAA	Pefindo
PT Semen Indonesia Tbk	AA+	Pefindo	AA+	Pefindo
PT Sinar Mas Agro Resources and Technology Tbk	AA-	Pefindo	AA-	Pefindo
PT Steel Pipe Industry Indonesia	A	Pefindo	A-	Pefindo
PT Surya Artha Nusantara Finance	AA	Pefindo	-	-
PT Tamaris Hidro	AAA	Pefindo	AAA	Pefindo
PT Tiphone Mobile Indonesia Tbk	D	Fitch	D	Fitch
PT Tower Bersama Infrastructure Tbk	AAA	Pefindo	AA+	Fitch
PT Toyota Astra Financial Services	AAA	Fitch	AAA	Fitch
PT Tunas Baru Lampung Tbk	A	Fitch	-	-
PT Wahana Ottomitra Multiartha Tbk	-	-	AA-	Fitch
PT XL Axiata Tbk	AAA	Fitch	AAA	Fitch

Information on the classification and fair value of investment securities is disclosed in Note 37.
Information on the maturity of investment securities is disclosed in Note 43.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

15. PREPAID EXPENSES

	2023	2022
Prepaid rent	141,776	105,418
Prepaid insurance	20,540	4,386
Others	876,714	744,795
	1,039,030	**854,599**

As of 31 December 2023 and 2022, there were no prepaid expenses for related parties.

16. FIXED ASSETS

Fixed assets consisted of:

	2023					
	Beginning balance	Addition	Deduction	Reclassification	Revaluation	Ending balance
Acquisition cost/revaluation amount						
Direct ownership						
Land	15,233,002	26,032	(71,592)	96,773	221,625	15,505,840
Buildings	6,516,632	43,467	(12,507)	68,606	-	6,616,198
Office furnitures, fixtures, and equipments	9,625,517	3,286,344	(2,668,139)	4,717	-	10,248,439
Construction in progress	1,763,047	1,341,888	(107,255)	(170,096)	-	2,827,584
Right-of-use assets						
Land	2,730	107	(2,730)	-	-	107
Buildings	1,613,690	399,284	(314,416)	-	-	1,698,558
Office furnitures, fixtures, and equipments	7,919	1,452	-	-	-	9,371
Motor vehicles	17,996	774	-	-	-	18,770
	34,780,533	5,099,348	(3,176,639)	-	221,625	36,924,867
Accumulated depreciation						
Direct ownership						
Buildings	(2,725,745)	(285,526)	7,107	-	-	(3,004,164)
Office furnitures, fixtures, and equipments	(6,619,282)	(2,217,422)	2,610,372	-	-	(6,226,332)
Right-of-use assets						
Land	(2,669)	(74)	2,730	-	-	(13)
Buildings	(707,267)	(415,231)	280,455	-	-	(842,043)
Office furnitures, fixtures, and equipments	(5,409)	(2,382)	(1,370)	-	-	(9,161)
Motor vehicles	(10,789)	(2,117)	(5,504)	-	-	(18,410)
	(10,071,161)	(2,922,752)	2,893,790	-	-	(10,100,123)
Net book value	**24,709,372**					**26,824,744**

	2022					
	Beginning balance	Addition	Deduction	Reclassification	Revaluation	Ending balance
Acquisition cost/revaluation amount						
Direct ownership						
Land	13,878,170	133,376	(53,434)	68,047	1,206,843	15,233,002
Buildings	6,239,014	71,109	(23,601)	230,110	-	6,516,632
Office furnitures, fixtures, and equipments	8,614,555	1,164,965	(154,003)	-	-	9,625,517
Construction in progress	902,422	1,262,439	(103,657)	(298,157)	-	1,763,047
Right-of-use assets						
Land	2,730	-	-	-	-	2,730
Buildings	1,451,110	707,021	(544,441)	-	-	1,613,690
Office furnitures, fixtures, and equipments	6,577	1,342	-	-	-	7,919
Motor vehicles	13,795	4,201	-	-	-	17,996
	31,108,373	3,344,453	(879,136)	-	1,206,843	34,780,533

16. FIXED ASSETS (continued)

Fixed assets consisted of: (continued)

	2022					
	Beginning balance	Addition	Deduction	Reclassification	Revaluation	Ending balance
Accumulated depreciation						
Direct ownership						
Buildings	(2,461,501)	(273,325)	9,081	-	-	(2,725,745)
Office furnitures, fixtures, and equipments	(5,933,582)	(1,551,970)	866,270	-	-	(6,619,282)
Right-of-use assets						
Land	(1,762)	(907)	-	-	-	(2,669)
Buildings	(533,049)	(404,571)	230,353	-	-	(707,267)
Office furnitures, fixtures, and equipments	(3,088)	(2,321)	-	-	-	(5,409)
Motor vehicles	(6,092)	(4,697)	-	-	-	(10,789)
	(8,939,074)	(2,237,791)	1,105,704	-	-	(10,071,161)
Net book value	**22,169,299**					**24,709,372**

As of 31 December 2023 and 2022, there are right-of-use assets - net for related parties amounting to 213,815 and Rp 227,939, respectively. (Note 47).

Construction in progress as of 31 December 2023 and 2022 were as follows:

	2023	2022
Land	1,123,603	752,754
Buildings	772,897	545,147
Others	931,084	465,146
	2,827,584	**1,763,047**

Estimated percentage of the asset completion as of 31 December 2023 and 2022 were at 1% - 99%, respectively.

Revaluation of land assets

In 2023, the Group revalued its fixed assets in land category using external independent appraisal which was performed in accordance with Indonesian Appraisal Standards (“SPI”), The Indonesian Appraiser’s Code of Ethics (“KEPI”) and POJK No. 28/POJK.04/2021 regarding Valuation and Presentation of Property Appraisal Report in the Capital Market.

The differences arising on land of revaluation for the year 2023 were recorded as “revaluation surplus of fixed assets” and presented in other comprehensive income amounting to Rp 232,292. Net increase (decrease) of carrying value arising from revaluation for the year 2023 amounting to (Rp 10,667) as other operating income, were recorded in the consolidated statements of profit or loss.

The fair value of land is determined based on market approach by comparing several comparable land transactions that either have occurred or still in sales offering stage, by adjusting the differences between fair value of land appraised and the comparable data and list of land price that has been obtained. The value is also affected by the location, property rights, physical characteristic, utilisation and other comparative elements.

The fair value measurement of the land is categorised as level 2 fair value based on the inputs to the valuation technique used.

16. FIXED ASSETS (continued)

Revaluation of land assets (continued)

As of 31 December 2023 and 2022, the carrying value of Bank's land if the land was recorded using cost model amounting to Rp 4,411,834 and Rp 4,357,061, respectively.

Other information

As of 31 December 2023 and 2022, the Bank did not have any fixed assets pledged as collateral.

Fixed assets disposal includes sales of assets are as follows:

	2023	2022
Proceeds from sale	22,086	5,320
Net book value	(22,110)	(9,614)
Gain on sale	**(24)**	**(4,294)**

Depreciation charged to general and administrative expenses for the years ended 31 December 2023 and 2022 amounting to Rp 2,935,073 and Rp 2,250,426, respectively.

Gain on sale of fixed assets recognised as part of other operating income for the years ended 31 December 2023 and 2022 amounting to Rp 15,840 and Rp 2,642, respectively.

Loss on sale of fixed assets recognised as part of other operating expenses for the years ended 31 December 2023 and 2022 amounting to Rp 15,864 and Rp 6,936, respectively.

The Bank has insured its fixed assets (excluding land rights) to cover the possible losses from fire, theft, and natural disaster with a total coverage of Rp 23,693,965 as of 31 December 2023, and Rp 23,031,715 as of 31 December 2022. Management believes that the sum insured is adequate to cover possible losses on the insured fixed assets.

As of 31 December 2023 and 2022, the cost of fully depreciated fixed assets that were still in use amounting to Rp 3,025,647 and Rp 4,953,798, respectively.

As of 31 December 2023 and 2022, the Bank does not have fixed assets that are temporarily not used, nor fixed assets that are discontinued from active use which not classified as available for sale.

Management believes, there is no impairment losses on fixed assets during 2023 and 2022.

Right-of-Use

As at 31 December 2023 and 2022, the finance lease liability in the Group's financial position amounting to Rp 237,344 and Rp 289,169 was recorded as accruals and other liabilities (Note 23). Interest expense on the finance lease liabilities as of 31 December 2023 and 2022 amounting to Rp 16,092 and Rp 20,000 recorded as part of interest and sharia expense (Note 29).

17. INTANGIBLE ASSETS

	2023	2022
Software	1,464,067	2,713,985
Goodwill	1,158,201	1,158,201
Total intangible assets	2,622,268	3,872,186
Less: Amortisation of software	(1,057,495)	(2,305,066)
Total intangible assets - net	**1,564,773**	**1,567,120**

18. OTHER ASSETS

	2023	2022
Rupiah:		
Accrued interest income	6,879,422	6,020,106
Transactions related to ATM and credit card	6,327,736	3,780,269
Foreclosed assets - net	1,707,367	1,616,757
Receivables from insurance transactions	645,906	403,999
Receivables from customer transactions	485,157	219,738
Unaccepted bills receivable	105,347	-
Abandoned properties	47,212	88,655
Others	5,008,639	3,518,689
	21,206,786	15,648,213
Foreign currencies:		
Accrued interest income	410,146	333,726
Unaccepted bills receivable	7,591	13,881
Receivables from insurance transactions	10,154	12,355
Transactions related to ATM and credit card	4,816	6,521
Term deposits of foreign exchange from export proceeds	2,798,405	-
Others	49,750	31,975
	3,280,862	398,458
Total other assets	24,487,648	16,046,671
Less: Allowance for impairment losses	(3,021)	(213)
Total other assets - net	**24,484,627**	**16,046,458**

Accrued interest income consists of interest income from the placement, securities, government bonds, loans, and assets from sharia transactions.

Receivables related to ATM and credit card transactions consist of receivables arising from ATM transactions within ATM Bersama, Prima and Link network as well as receivables from Visa and Master Card for credit card transactions.

Receivables from insurance transactions represent the Subsidiary's premium receivables from policyholders and broker, premium receivables and claim from others insurance companies and broker of closed policies, also reinsurance assets.

Receivables from customer transactions represent receivables arising from the Subsidiaries' securities trading transactions.

Unaccepted bills receivable represents unaccepted export bills receivables from customer due to export import transactions.

18. OTHER ASSETS (continued)

Term deposits of foreign exchange from export proceeds is an instrument where foreign exchange from export proceeds from exporters' special account are placed in Bank Indonesia through Bank's accounts in accordance with market mechanism.

Others mainly consist of interoffice accounts, receivables from sales of investment in shares, various form of receivables from transaction with third parties, including clearing transactions, and others.

Movement of allowance for impairment losses on other assets are as follows:

	2023			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(213)	-	-	(213)
Transfer to 12 months expected credit losses (Stage 1)	-	-	2,797	2,797
Net changes in exposure	(2,586)	-	(3,001)	(5,587)
Foreign exchange difference	(222)	-	204	(18)
Balance, end of year	**(3,021)**	**-**	**-**	**(3,021)**

	2022			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	(1,059)	-	(2,018)	(3,077)
Transfer to 12 months expected credit losses (Stage 1)	-	195	8,626	8,821
Net changes in exposure	5,372	(195)	(10,877)	(5,700)
Foreign exchange difference	(4,526)	-	4,269	(257)
Balance, end of year	**(213)**	**-**	**-**	**(213)**

Management believes that the allowance for impairment losses provided was adequate to cover possible losses on uncollectible other assets.

19. DEPOSITS FROM CUSTOMERS AND OTHER BANKS

a. Deposits from customers

	2023			2022		
	Rupiah	Foreign currencies	Total	Rupiah	Foreign currencies	Total
Demand deposits:						
Related parties	1,807,701	101,484	1,909,185	1,485,805	303,917	1,789,722
Third parties	308,259,964	36,245,544	344,505,508	281,790,599	38,278,214	320,068,813
	310,067,665	36,347,028	346,414,693	283,276,404	38,582,131	321,858,535
Savings:						
Related parties	188,935	83,824	272,759	145,509	94,613	240,122
Third parties:						
Tahapan	456,610,242	-	456,610,242	451,291,497	-	451,291,497
Tapres	18,956,618	-	18,956,618	19,514,968	-	19,514,968
Tabunganku	11,222,607	-	11,222,607	8,701,797	-	8,701,797
Tahapan Xpresi	27,757,014	-	27,757,014	21,874,542	-	21,874,542
Tahapan Berjangka	1,232,454	-	1,232,454	1,274,830	-	1,274,830
Simpanan Pelajar	3,344	-	3,344	1,014	-	1,014
BCA Dollar	-	18,032,174	18,032,174	-	19,558,898	19,558,898
	515,971,214	18,115,998	534,087,212	502,804,157	19,653,511	522,457,668
Time deposits:						
Related parties	435,527	21,766	457,293	368,206	14,277	382,483
Third parties	195,809,028	13,998,581	209,807,609	167,090,282	18,662,815	185,753,097
	196,244,555	14,020,347	210,264,902	167,458,488	18,677,092	186,135,580
Total deposits from customers	**1,022,283,434**	**68,483,373**	**1,090,766,807**	**953,539,049**	**76,912,734**	**1,030,451,783**

19. DEPOSITS FROM CUSTOMERS AND OTHER BANKS (continued)

b. Deposits from other banks

	2023			2022		
	Rupiah	Foreign currencies	Total	Rupiah	Foreign currencies	Total
Demand deposits	8,262,175	1,763,788	10,025,963	5,989,271	1,898,617	7,887,888
Time deposits	44,857	-	44,857	48,318	-	48,318
Total deposits from other banks	**8,307,032**	**1,763,788**	**10,070,820**	**6,037,589**	**1,898,617**	**7,936,206**

As of 31 December 2023 and 2022, the Bank did not have balances of deposits from other banks from related parties.

c. The average effective interest rates (yield) per annum for deposits from customers and other banks were as follows:

	2023		2022	
	Rupiah (%)	Foreign currencies (%)	Rupiah (%)	Foreign currencies (%)
Deposits from customers:				
Demand deposits	0.76	0.34	0.74	0.08
Savings	0.10	0.31	0.05	0.15
Time deposits	3.41	1.69	1.97	0.46
Deposits from other banks:				
Demand deposits	0.46	0.01	0.46	0.11
Time deposits	2.62	-	0.92	-

d. Time deposits based on maturity period:

	2023			2022		
	Rupiah	Foreign currencies	Total	Rupiah	Foreign currencies	Total
1 month	119,304,539	10,493,656	129,798,195	126,331,270	15,729,630	142,060,900
3 months	68,554,405	2,369,213	70,923,618	26,546,510	1,195,248	27,741,758
6 months	5,089,829	826,151	5,915,980	7,687,786	1,224,861	8,912,647
12 months	3,340,639	331,327	3,671,966	6,941,240	527,353	7,468,593
	196,289,412	**14,020,347**	**210,309,759**	**167,506,806**	**18,677,092**	**186,183,898**

e. Time deposits based on remaining period until maturity date:

	2023			2022		
	Rupiah	Foreign currencies	Total	Rupiah	Foreign currencies	Total
Up to 1 month	135,888,509	11,174,616	147,063,125	137,667,871	16,201,804	153,869,675
> 1 - 3 months	54,929,968	2,235,362	57,165,330	20,512,948	1,438,073	21,951,021
> 3 - 6 months	3,390,952	453,889	3,844,841	4,960,751	719,680	5,680,431
> 6 - 12 months	2,079,983	156,480	2,236,463	4,365,236	317,535	4,682,771
	196,289,412	**14,020,347**	**210,309,759**	**167,506,806**	**18,677,092**	**186,183,898**

19. DEPOSITS FROM CUSTOMERS AND OTHER BANKS (continued)

f. Deposits pledged as collateral to loans granted by the Bank as of 31 December 2023 and 2022 (Note 12) were as follows:

	2023	2022
Demand deposits	6,521,496	3,760,813
Savings	1,690,578	1,307,695
Time deposits	9,414,730	10,489,293
	17,626,804	**15,557,801**

Information on the classification and fair value of deposits from customers and other banks is disclosed in Note 37. Information on the maturity of deposits from customers and other banks is disclosed in Note 43.

20. INCOME TAX

a. Prepaid tax

	2023	2022
Bank	24,117	23,749
Subsidiaries	751	341
	24,868	**24,090**

b. Tax payable

	2023	2022
Current tax payable		
Bank:		
Corporate income tax payable - Article 25	847,154	823,253
Corporate income tax payable - Article 29	6,418	880,540
Subsidiaries:		
Corporate income tax payable - Article 25/29	184,702	163,882
Total current tax payable	1,038,274	1,867,675
Other tax payable		
Bank:		
Income tax		
Article 21	188,264	161,395
Article 23	307,368	194,411
Article 26	9,493	4,956
Others	76,055	86,649
Total	581,180	447,411
Subsidiaries	108,456	58,783
Total other tax payable	689,636	506,194
	1,727,910	**2,373,869**

20. INCOME TAX (continued)

c. Tax expenses

	2023	2022
Current tax:		
Current year		
Bank	10,690,181	9,804,547
Subsidiaries	658,325	614,806
	11,348,506	10,419,353
Deferred tax:		
Origination (recovery) of temporary differences		
Bank	205,557	(777,705)
Subsidiaries	(32,401)	69,813
	173,156	(707,892)
	11,521,662	**9,711,461**

d. Through Law number 7 of 2021 dated 29 October 2021 concerning Harmonisation of Tax Regulations, Taxpayers can obtain a reduction in PPh rates of 3% (three percent) lower than the domestic Corporate Taxpayer PPh rate as stipulated in article 17 paragraph 1 letter b, Chapter III regarding Income Tax, so that the rate becomes 19% for 2023 and 2022, if it meets the following criteria:

1. In the form of a public company.
2. With the total of paid-up shares traded on the stock exchange in Indonesia at least 40% (forty percent).
3. Fulfill certain requirements.

The certain requirements are regulated in article 65, Government Regulation number 55 of 2022, regarding Adjustments to Regulations in the Field of Income Tax, dated 20 December 2022, as follows:

1. The public owned 40% (forty percent) or more of the total paid up shares and those shares are owned by at least 300 (three hundred) parties.
2. Each party can only own less than 5% (five percent) of total paid-up shares.
3. The taxpayer should fulfill the above mentioned criteria at least within 183 (one hundred and eighty three) calendar days in 1 (one) fiscal year.
4. Parties that meet the requirements of 300 (three hundred) parties and 5% (five percent) as stated above, do not include:
   a. Public Company Taxpayers who buy back their shares; and/or
   b. Those who have a special relationship as stipulated in the Income Tax Law with Public Company Taxpayers.

Fulfilment of these requirements is carried out by Public Company Taxpayers by submitting reports to the Directorate General of Taxes, including: monthly reports of share ownership of issuers or public companies and recapitulation that has been reported from the Securities Administration Bureau.

On 5 January 2024 and 4 January 2023, the Bank received a declaration letter from the Securities Administration Bureau for the fulfilment of the above criteria for fiscal year 2023 and 2022, respectively.

20. INCOME TAX (continued)

e. The reconciliation of consolidated accounting income before tax and taxable income of the Bank was as follows:

	2023	2022
Consolidated accounting income before tax	60,179,757	50,467,033
Elimination	1,980,891	1,731,840
Before elimination	62,160,648	52,198,873
Subsidiary's accounting income before tax	(3,279,338)	(3,202,631)
Accounting income before tax - Bank only	58,881,310	48,996,242
Permanent differences:		
Employees' welfare	79,233	23,883
Rent income	(46,603)	(46,984)
Dividends from Subsidiaries	(1,914,400)	(1,702,184)
Interest income from off-shore government bonds	(74,912)	(56,040)
Other expense (income) which cannot be deducted for tax calculation purposes - net	421,360	294,781
	(1,535,322)	(1,486,544)
Temporary differences:		
Post-employment benefits obligation	919,601	(65,051)
Allowance for Impairment losses on financial assets	(3,873,147)	3,327,238
Allowance for Impairment losses on non-financial assets	96,756	91,444
Accrued employees' benefits	315,195	772,082
Unrealised losses on investment securities and placement with other banks measured at fair value through profit or loss	(93,454)	2,831
Other income which cannot be deducted for tax calculation purposes - net	1,553,172	(35,362)
	(1,081,877)	4,093,182
Taxable income	**56,264,111**	**51,602,880**

20. INCOME TAX (continued)

f. The reconciliation between consolidated accounting income before tax multiplied by the applicable maximum tax rate and income tax expense was as follows:

	2023	2022
Consolidated accounting income before tax	60,179,757	50,467,033
Maximum tax rate	22%	22%
	13,239,547	11,102,747
Permanent differences at 22% - Bank	(337,771)	(327,040)
Permanent differences at 22% - Subsidiaries	340,265	361,045
	13,242,041	11,136,752
Adjustment of corporate income tax rate - Bank (Note 20d)	(1,720,379)	(1,425,291)
Income tax expense - consolidated	**11,521,662**	**9,711,461**

g. The calculation of current tax and income tax payable were as follows:

	2023	2022
Taxable income:		
Bank	56,264,111	51,602,880
Subsidiaries	2,992,386	2,794,573
	59,256,497	54,397,453
Current tax:		
Bank	10,690,181	9,804,547
Subsidiaries	658,325	614,806
	11,348,506	10,419,353
Prepaid income taxes:		
Bank	(10,683,763)	(8,924,007)
Subsidiaries	(473,623)	(450,924)
	(11,157,386)	(9,374,931)
Income tax payable:		
Bank	6,418	880,540
Subsidiaries	184,702	163,882
	191,120	**1,044,422**

20. INCOME TAX (continued)

g. The calculation of current tax and income tax payable were as follows: (continued)

Annual Tax Return ("SPT") of Corporate Income Tax for fiscal year 2023 has not yet been submitted. Taxable income results from reconciliation above is the basis in filling the Bank's Annual Tax Return ("SPT") of Corporate Income Tax for the year ended 31 December 2023.

The calculations of income tax for the year ended 31 December 2022 conform to the Bank's Annual Tax Returns ("SPT").

h. The significant items of deferred tax assets and liabilities as of 31 December 2023 and 2022 were as follows:

	2022	Recognised in current year profit or loss	Recognised in current year other comprehensive income	2023
Deferred tax assets				
Parent entity - Bank:				
Post-employment benefits obligations	631,029	174,724	-	805,753
Allowance for impairment losses of financial assets	5,080,028	(735,898)	-	4,344,130
Allowance for impairment losses of non-financial assets	113,620	18,383	-	132,003
Accrued employees' benefits	703,806	59,887	-	763,693
Depreciation on fixed assets	5,131	4,737	-	9,868
Unrealised gain (losses) on investment securities and placement with other banks measured at fair value through other comprehensive income	(421,044)	-	201,986	(219,058)
Remeasurements of defined benefit obligation	776,984	-	105,269	882,253
Unrealised gains (losses) on investment securities and placement with other banks measured at fair value through profit or loss	717	(17,756)	-	(17,039)
Fiscal correction regarding SFAS 73	14,613	1,117	-	15,730
Others	201,155	289,249	-	490,404
Deferred tax assets - net	7,106,039	(205,557)	307,255	7,207,737

	2022	Recognised in current year profit or loss	Recognised in current year other comprehensive income	2023
Deferred tax assets - net (brought forward)	7,106,039	(205,557)	307,255	7,207,737
Subsidiaries:				
PT BCA Finance	49,038	(13,224)	4,024	39,838
PT BCA Sekuritas	3,323	(520)	(235)	2,568
PT Bank BCA Syariah	35,550	22,475	476	58,501
PT Asuransi Umum BCA	71,539	(6,318)	(530)	64,691
PT Asuransi Jiwa BCA	19,188	8,911	2,165	30,264
PT BCA Multi Finance	35,209	(21,298)	(162)	13,749
PT Bank Digital BCA	1,445	29,046	(202)	30,289
PT Central Capital Ventura	-	3,572	27	3,599
Deferred tax assets - net	215,292	22,644	5,563	243,499
Total deferred tax assets - net	**7,321,331**	**(182,913)**	**312,818**	**7,451,236**
Deferred tax liabilities				
Subsidiary:				
PT Central Capital Ventura	9,740	(9,757)	17	-
Total deferred tax liabilities - net	**9,740**	**(9,757)**	**17**	**-**

20. INCOME TAX (continued)

h. The significant items of deferred tax assets and liabilities as of 31 December 2023 and 2022 were as follows: (continued)

	2021	Recognised in current year profit or loss	Recognised in current year other comprehensive income	2022
Deferred tax assets				
Parent entity - Bank:				
Post-employment benefits obligations	643,388	(12,359)	-	631,029
Allowance for impairment losses of financial assets	4,447,853	632,175	-	5,080,028
Allowance for impairment losses of non-financial assets	96,245	17,375	-	113,620
Accrued employees' benefits	557,110	146,696	-	703,806
Depreciation on fixed assets	14,369	(9,238)	-	5,131
Unrealised gain (losses) on investment securities and placement with other banks measured at fair value through other comprehensive income	(1,420,618)	-	999,574	(421,044)
Remeasurements of defined benefit obligation	709,475	-	67,509	776,984
Unrealised gains (losses) on investment securities and placement with other banks measured at fair value through profit or loss	179	538	-	717
Fiscal correction regarding SFAS 73	9,041	5,572	-	14,613
Others	204,209	(3,054)	-	201,155
Deferred tax assets - net	5,261,251	777,705	1,067,083	7,106,039
Subsidiaries:				
PT BCA Finance	82,868	(33,362)	(468)	49,038
PT BCA Sekuritas	4,480	(674)	(483)	3,323
PT Bank BCA Syariah	19,552	6,122	9,876	35,550
PT Asuransi Umum BCA	69,091	2,125	323	71,539
PT Asuransi Jiwa BCA	13,364	4,006	1,818	19,188
PT BCA Multi Finance	69,662	(34,185)	(268)	35,209
PT Bank Digital BCA	682	461	302	1,445
PT Central Capital Ventura	4,566	(4,549)	(17)	-
Deferred tax assets - net	264,265	(60,056)	11,083	215,292
Total deferred tax assets - net	**5,525,516**	**717,649**	**1,078,166**	**7,321,331**
Deferred tax liabilities				
Subsidiary:				
PT Central Capital Ventura	-	9,757	(17)	9,740
Total deferred tax liabilities - net	**-**	**9,757**	**(17)**	**9,740**

The amount of deferred tax assets of the Bank and subsidiaries, is included in total deferred tax asset (liability) arising from unrealised gain (loss) from changes in fair value of investment securities measured at fair value through other comprehensive income (Note 14) amounting to Rp (219,264) and Rp (3,546) as of 31 December 2023, respectively, and Rp (421,044) and Rp (7,904) as of 31 December 2022.

Moreover, included in total deferred tax asset of the Bank was deferred tax asset (liability) arising from unrealised gain (loss) from changes in fair value of placements with Bank Indonesia and other banks at fair value through other comprehensive income (Note 7) amounting to Rp 206 and Rp nil as of 31 December 2023 and 2022, respectively.

Management believes that total deferred tax assets arising from temporary differences are probable to be realised in the future years.

20. INCOME TAX (continued)

i. In accordance with the provision of Indonesian taxation laws, the Group in Indonesia calculate, pay, and report individual company tax return (submission of consolidated income tax computation is not allowed) on the basis of self-assessment. The tax authorities may assess or amend taxes within the statute of limitations, under prevailing regulations.

j. The Group tax positions may be challenged by the tax authorities. Management vigorously defends the Group tax positions which are believed to be grounded on technical basis, and in compliance with the tax regulations. Accordingly, management believes that the accruals for tax liabilities are adequate for all open fiscal years based on the assessment of various factors, including interpretations of tax law, other tax provisions and prior experience. This assessment relies on estimates and assumptions and may involve judgment about future events. New information may become available that causes management to change its judgment regarding the adequacy of existing tax liabilities. The changes to tax liabilities will impact tax expense in the period in which such determination is made.

k. Other Information

Fiscal Year 2016

On 10 July 2017, the Directorate General of Taxes issued a field inspection notification letter for the 2016 fiscal year to the Bank. For the tax examination for fiscal year 2016, Directorate General of Taxes through Tax Assessment Letter ("SKP") and Tax Collection Letter ("STP") dated 11 July 2019, has determined tax underpayment with detail as follows:

a. Income tax (including Corporate Income Tax) amounting to Rp 1,590,596.
b. Value Added Tax ("VAT") amounting to Rp 63,686.

The Bank made partial payments for the SKP and STP amounting to Rp 190,311 on 9 August 2019, this amount includes taxes that the Bank has not objected to amounting to Rp 184,754 which was charged during the year. On 9 October 2019, the Bank has made partial payments of SKP and STP of Rp 546,104. Amounts that have been paid by the Bank, but which were objected to, are recorded as other assets (Note 18).

Of the tax objected by the Bank on 10 October 2019 amounting to Rp 1,469,528, a portion of Rp 724,935 was approved by the Directorate General of Taxes on 9 September 2020 and 29 September 2020.

The Bank has filed an appeal of the tax objections which the Directorate General of Taxes did not approve on 7 December 2020 amounting to Rp 735,407. Up to the date of these consolidated financial statements, the result of the appeal is not yet known.

20. INCOME TAX (continued)

k. Other Information (continued)

Fiscal Year 2017

On 4 September 2018, the Directorate General of Taxes issued a field inspection notification letter for the 2017 tax year to the Bank. Upon the tax audit for 2017 fiscal year, the Directorate General of Taxes based on the Tax Assessment Letter (SKP) and Tax Collection Letter (STP), dated 9 September 2020 and 10 September 2020, stipulates the underpayment of taxes with details:

a. Income Tax (including Corporate Income Tax) of a total of Rp 883,411.
b. Value Added Tax ("VAT") of a total of Rp 51,060.

The Bank has made partial payments of the SKP and STP amounting to Rp 700,000 on 8 October 2020, this amount includes tax that the Bank has not objected amounting to Rp 157,603 which was charged in current year profit or loss. Amounts that have been paid by the Bank, but which were objected to, are recorded as other assets (Note 18).

Of the tax objected by the Bank on 8 December 2020 amounting to Rp 776,869, a portion of Rp 65,922 was approved by the Directorate General of Taxes on 30 November 2021, 2 December 2021 and 3 December 2021.

The Bank has filed an appeal of the tax objections which the Directorate General of Taxes did not approved on February 25, 2022, in the amount of Rp 709,060. As of the date of the consolidated financial statements the outcome of the appeal is not yet known.

Fiscal Year 2018

On 3 April 2023, the Directorate General of Taxes issued a field inspection notification letter for the 2018 tax year to the Bank.

Upon the tax audit for 2018 fiscal year, the Directorate General of Taxes based on the Tax Assessment Letter (SKP) and Tax Collection Letter (STP) dated 24 November 2023, determined the tax underpayment amounting to Rp 613,141 with details:

a. Income Tax (including Corporate Income Tax) amounted Rp 516,520.
b. Value Added Tax (VAT) amounted Rp 96,621.

Based on the SKP, the amount that the Bank did not objected was Rp 117,373, the Bank will submit the objection amounted Rp 495,768.

On 13 December 2023, the Bank made partial payment of the SKP and STP amounted Rp 123,505. This amount includes tax that the Bank has not objected amounted Rp 117,373, which was charged in current year profit or loss. The amount paid by the Bank amounting to Rp 6,132 but which was objected to, was recorded as other assets (Note 18).

21. BORROWINGS

Borrowings received by the Group were as follows:

By type and currency:

	2023	2022
(1) Liquidity loans from Bank Indonesia, Rupiah:		
Agriculture loans (*Kredit Usaha Tani*/"KUT"), due date between 13 March 2000 up to 22 September 2000, in the process of closing the agreement	577	577
(2) Borrowings from other banks:		
Rupiah:		
PT Bank UOB Indonesia	25,000	500,000
PT Bank China Construction Bank Indonesia Tbk	256,169	173,304
PT Bank Nationalnobu Tbk	-	90,000
PT Bank KEB Hana Indonesia	194,852	56,843
PT Bank Pan Indonesia Tbk	-	4,570
PT Bank Index Selindo	-	834
PT Bank Mandiri (Persero) Tbk	50,000	-
PT Bank Mizuho	300,000	-
PT Bank BTPN Tbk	380,000	-
PT Bank Ina Perdana Tbk	50,000	-
	1,256,021	825,551
Foreign currencies:		
Sumitomo Mitsui Banking Corporation – Hong Kong	120,122	332,349
Wells Fargo Bank - Miami Branch	20,021	77,834
Malayan Banking Berhad Co. - Singapore	-	62,267
The Shanghai Commercial & Savings Bank - Taiwan	-	6,486
PT Bank Danamon Indonesia Tbk	73,798	-
PT Bank UOB Indonesia (previously Citibank, N.A, - Indonesia Branch)	99,187	-
	313,128	478,936
	1,569,149	1,304,487
(3) Others:		
Foreign currencies	59,900	11,887
	59,900	11,887
Total borrowings	**1,629,626**	**1,316,951**

21. BORROWINGS (continued)

The average effective interest rates (yield) per annum for borrowings were as follows:

	2023	2022
Rupiah	5.29%	4.08%
Foreign currencies	3.46%	2.44%

As of 31 December 2023 and 2022, the Group does not have any borrowing balance from other banks from related parties.

(1) Rupiah liquidity loans from Bank Indonesia

Rupiah liquidity loans from Bank Indonesia represent credit facilities obtained by the Bank as a national private bank in Indonesia, to be distributed to qualified Indonesian debtors under the loan facility program.

(2) Borrowings from other banks

Represent working capital loans of Subsidiaries. The details of borrowing facilities received as of 31 December 2023 and 2022 were as follows:

Bank	Total facility		Maturity date of facility	
	2023	2022	2023	2022
Rupiah:				
PT Bank Mandiri (Persero) Tbk	500,000	1,000,000	24-May-2024	24-May-2023
	500,000	-	6-Apr-2026	24-May-2023
PT Bank BTPN Tbk*)	800,000	800,000	31-May-2024	31-May-2023
	250,000	-	30-Sep-2024	-
PT Bank China Construction Indonesia Tbk	150,000	150,000	21-Apr-2026	21-Apr-2026
	200,000	200,000	29-Sep-2026	29-Mar-2026
PT Bank Danamon Indonesia Tbk*)	150,000	150,000	24-Sep-2024	24-Sep-2023
	50,000	50,000	14-Jan-2024	14-Jan-2023
	50,000	50,000	14-Jan-2027	14-Jan-2026
PT Bank UOB Indonesia*)	475,000	550,000	21-Sep-2024	21-Dec-2023
PT Bank DKI	250,000	250,000	24-Sep-2024	24-Sep-2023
PT Bank Mizuho Indonesia*)	250,000	500,000	22-Nov-2024	22-Nov-2023
PT Bank Victoria International Tbk	400,000	400,000	14-Jan-2024	14-Jan-2023
PT Bank Pan Indonesia Tbk	-	300,000	-	11-May-2023
	500,000	500,000	4-Aug-2024	4-Aug-2023
	200,000	200,000	4-May-2026	4-May-2026
PT Bank Ina Perdana Tbk	200,000	200,000	16-Dec-2024	16-Dec-2023
PT Bank Nationalnobu Tbk	100,000	100,000	24-Feb-2024	24-Feb-2023
PT Bank Index Selindo	-	50,000	-	20-Jun-2023
PT Bank KEB Hana Indonesia	75,000	75,000	30-Jan-2026	29-Sep-2025
	25,000	25,000	29-Nov-2024	29-Sep-2025
	-	140,000	-	6-Jan-2023

*) Available to be withdrawn partially in US Dollar/Rupiah

21. BORROWINGS (continued)

(2) Borrowings from other banks (continued)

Represent working capital loans of Subsidiaries. The details of borrowing facilities received as of 31 December 2023 and 2022 were as follows: (continued)

Bank	Total facility		Maturity date of facility	
	2023	2022	2023	2022
Foreign currencies (full amount):				
PT Bank UOB Indonesia (previously Citibank, N.A, - Indonesia Branch)*)	USD 60,000,000	USD 60,000,000	20-Mar-2024	20-Mar-2023
Malayan Banking Berhad Co, - Singapura**)	-	USD 5,000,000	-	-
Sumitomo Mitsui Banking Corporation - Hong Kong**)	USD 25,000,000	USD 25,000,000	-	-
The Shanghai Commercial & Savings Bank, Ltd - Taiwan	-	USD 416,667	-	10-Jan-2023
Wells Fargo Bank - Miami Branch**)	USD 10,000,000	USD 5,000,000	-	-

*) Available to be withdrawn partially in US Dollar/Rupiah
**) Represents uncommitted resolving facilities on 31 December 2023 and 2022

As of 31 December 2023 and 2022, these bank loans were secured by consumer financing receivables amounting to Rp 265,734 and Rp 275,653 (Note 13).

All loan agreements above are include certain covenants which are normally required for such credit facilities, such as limitations to initiate merger or consolidation with other parties, obtain loans from other parties except loans obtained in the normal course of business, or changes its capital structure and/or Articles of Association without notification to/prior written approval from the creditors and maintenance of certain agreed financial ratios.

The required financial ratios was as follows:

	2023		2022	
	Requirement	Fulfilment	Requirement	Fulfilment
1. Debt to Equity	Maximum 10 times	< 1 time	Maximum 10 times	< 1 time
2. Receivable to Total Assets	Minimum 40%	80.18%	Minimum 40%	82.01%
3. Current ratio	Minimum 1.1 times	2.24 times	Minimum 1.1 times	2.72 times
4. Non performing loan (“NPL”)	Maximum 5% of total receivables	2.31%	Maximum 5% of total receivables	2.35%

The range of contractual interest rates for borrowings from other banks was as follows:

	2023	2022
Rupiah	5.55% - 8.50%	2.95% - 9.10%
Foreign currencies	5.60% - 6.38%	2.90% - 5.73%

Information on the classification and fair value of borrowings is disclosed in Note 37. Information on the maturity of borrowings is disclosed in Note 43.

22. ESTIMATED LOSSES FROM COMMITMENTS AND CONTINGENCIES

Estimated losses from commitments and contingencies consist of:

a. By type and currencies

	2023	2022
Rupiah		
Related parties:		
Unused credit facilities	4,834	7,155
Outstanding irrevocable Letters of Credit	4	-
	4,838	7,155
Third parties:		
Unused credit facilities	3,084,398	3,136,757
Outstanding irrevocable Letters of Credit	24,497	45,011
Bank guarantees issued	5,195	1,734
	3,114,090	3,183,502
	3,118,928	3,190,657
Foreign currencies		
Related parties:		
Outstanding irrevocable Letters of Credit	14	11
Bank guarantees issued	20	-
	34	11
Third parties:		
Unused credit facilities	212,126	210,274
Outstanding irrevocable Letters of Credit	28,154	27,341
Bank guarantees issued	12,432	10,066
	252,712	247,681
	252,746	247,692
Total estimated losses from commitments and contingencies	**3,371,674**	**3,438,349**

b. Changes in estimated losses from commitments and contingencies

	2023			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	3,237,294	144,230	56,825	3,438,349
Transfer to lifetime expected credit losses (Stage 2)	(42,887)	175,761	-	132,874
Transfer to credit impaired (Stage 3)	(8,933)	(39,607)	-	(48,540)
Transfer to 12 months expected credit losses (Stage 1)	19,431	(59,324)	-	(39,893)
Net changes in exposure	(21,874)	(72,933)	(15,254)	(110,061)
Foreign exchange difference	(1,938)	43	840	(1,055)
Balance, end of year	**3,181,093**	**148,170**	**42,411**	**3,371,674**

22. ESTIMATED LOSSES FROM COMMITMENTS AND CONTINGENCIES (continued)

b. Changes in estimated losses from commitments and contingencies (continued)

	2022			
	Stage 1	Stage 2	Stage 3	Total
Balance, beginning of year	3,178,502	9,657	51,012	3,239,171
Transfer to lifetime expected credit losses (Stage 2)	(113,095)	199,618	-	86,523
Transfer to credit impaired (Stage 3)	(2,927)	(37,704)	-	(40,631)
Transfer to 12 months expected credit losses (Stage 1)	29,637	(53,673)	-	(24,036)
Net changes in exposure	130,407	25,797	1,796	158,000
Foreign exchange difference	14,770	535	4,017	19,322
Balance, end of year	**3,237,294**	**144,230**	**56,825**	**3,438,349**

Management believes that the outstanding balance of estimated losses from commitments and contingencies is adequate to cover possible losses from off-balance sheet transactions.

Information regarding the classification and estimated losses from commitments and contingencies value are disclosed in Note 37. Information regarding the maturity of estimated losses from commitments and contingencies are disclosed in Note 43.

23. ACCRUALS AND OTHER LIABILITIES

	2023	2022
Rupiah:		
Liabilities related to ATM and credit card transactions	5,626,955	2,638,617
Liabilities to policyholders	3,037,587	2,384,392
Unearned revenue	2,704,896	2,150,745
Electronic money	1,240,471	1,123,551
Customers transfer transactions	563,628	1,100,751
Liabilities from customer transactions	413,219	172,737
Accrued interest expenses	324,180	159,582
Finance lease liabilities (Note 16, 37)	233,205	281,489
Security deposits	231,466	190,902
Liabilities from insurance transactions	48,912	57,810
Others	10,684,151	8,401,011
	25,108,670	18,661,587
Foreign currencies:		
Term deposits of foreign exchange from export proceeds	2,798,405	-
Customers transfer transactions	1,295,501	1,282,870
Unearned revenue	130,959	114,266
Security deposits	58,681	93,178
Accrued interest expenses	13,575	33,424
Finance lease liabilities (Note 16, 37)	9,634	7,680
Insurance transaction liabilities	4,139	8,321
Others	76,301	228,452
	4,387,195	1,768,191
Total accruals and other liabilities	**29,495,865**	**20,429,778**

23. ACCRUALS AND OTHER LIABILITIES (continued)

Liabilities related to ATM and credit card transactions consist of liabilities on ATM transactions within ATM Bersama, Prima and Link, and liabilities to Master Card and Visa for credit card transactions.

Unearned revenue consists of income from loan commission.

Liabilities to policyholders represent liabilities of Subsidiary for long-term insurance contract, liability for future policy benefits, unearned premium reserves and estimated claim.

Electronic money represents liabilities of the Bank from cash deposited by customers electronically and not considered as deposits as stipulated in banking laws.

Accrued interest expenses consist of accrued interest from deposits from customers and other banks, derivatives, borrowings, securities sold under repurchase agreement and subordinated bonds.

Liabilities from customer transactions represent liabilities of Subsidiaries for trading securities transactions, which consist of liabilities to PT Kliring Penjaminan Efek Indonesia (“KPEI”) related to purchase of securities transactions and deposits rendered by Subsidiaries, and liabilities from customer transactions related to selling of securities transactions that will be matured in a short period, usually in 2 (two) days from date of trading.

The security deposit is a guarantee of cash deposited by customers from export-import transaction and issuance of bank guarantees.

Liabilities from insurance transactions was liabilities of Subsidiaries for reinsurance payables, coinsurance payable and claim in process.

Finance lease liabilities represent lease liabilities related to the implementation of SFAS 73.

Term deposits of foreign exchange from export proceeds is an instrument where foreign exchange from export proceeds from exporters' special account are placed in Bank Indonesia through Bank's accounts in accordance with market mechanism.

Others mainly consist of short-term liabilities to employee, interoffice accounts, deposit and unsettled transactions.

24. SUBORDINATED BONDS

	2023	2022
Bank Central Asia Continuous Subordinated Bonds I Phase I Year 2018	500,000	500,000
Total subordinated bonds	**500,000**	**500,000**

24. SUBORDINATED BONDS (continued)

The details of subordinated bonds were as follows:

Instruments	Effective and issued date	Approval	Principal amount	Terms	Maturity date	Interest rate
Bank Central Asia Continuous Subordinated Bonds I Phase I Year 2018 - Series A	Effective date 26 June 2018 Issued date 5 July 2018	No. S-03825/ BEI.PP2/07-2018	Rp 435,000	7 Years	5 July 2025	7.75%
Bank Central Asia Continuous Subordinated Bonds I Phase I Year 2018 - Series B	Effective date 26 June 2018 Issued date 5 July 2018	No. S-03825/ BEI.PP2/07-2018	Rp 65,000	12 Years	5 July 2030	8.00%

Interest of Bank Central Asia Continuous Subordinated Bonds I Phase I Year 2018 - Series A and B are paid quarterly since the issuance date, with no option of accelerating the Subordinated Bonds interest payment. The first payment of interest was due on 5 October 2018. Bank Central Asia Continuous Subordinated Bonds I Phase I Year 2018 - Series A and B can be calculated as supplementary capital (Tier 2) based on OJK Regulation No. 11/POJK.03/2016 and to increase collection structure of long term funding. The proceeds from issuance of Bank Central Asia Continuous Subordinated Bonds I Phase I Year 2018 - Series A and B will be used to grow the Bank's business, especially for credit expansion.

The trustee of the above subordinated bonds is PT Bank Rakyat Indonesia (Persero) Tbk that is not a related party to the Bank.

Based on the result of long-term debt rating by PT Pemeringkat Efek Indonesia (PT Pefindo), the rating of subordinated bonds is as follows:

	2023		2022	
Description	Rating	Rating Period	Rating	Rating Period
Bank Central Asia Continuous Subordinated Bonds I Phase I Year 2018	idAA	7 March 2023 - 1 March 2024	idAA	10 March 2022 - 1 March 2023

The Trusteeship Agreement provides several negative covenants that should be complied by the Bank among others, prior to the repayment of the bonds payable, without the written consent from the Trustee, the Bank is not allowed to:

a. Pledge majority or all of the Bank's present or future income or assets outside Bank's main business, except if the actions are performed to meet regulatory requirements or related with short term liquidity borrowing or related with the Bank's option for recovery plan;
b. Change the Bank main business;

24. SUBORDINATED BONDS (continued)

The Trusteeship Agreement provides several negative covenants that should be complied by the Bank among others, prior to the repayment of the bonds payable, without the written consent from the Trustee, the Bank is not allowed to: (continued)

c. Reduce authorised capital and paid-up capital unless the reduction is made on the basis of a request from the Government of Indonesia or authority order (include but not limited to BI, OJK, the Minister of Finance in the Republic of Indonesia and/or monetary authorities as well as restructuring authorities in the Banking sector in accordance with the prevailing laws in Indonesia);
d. Merger or consolidation with other companies which cause dilution of the Bank.

As of 31 December 2023 and 2022, the Bank was in compliance with all significant covenants in relation to the issued subordinated debts agreements. Payments of interest had been done on a timely basis.

25. SHARE CAPITAL

The composition of the Bank's share capital as of 31 December 2023 and 2022 were as follows:

	2023		2022	
	Number of shares	Total par value	Number of shares	Total par value
Share capital – par value at Rp 12.50 (full amount) per share	440,000,000,000	5,500,000	440,000,000,000	5,500,000
Unissued	(316,724,950,000)	(3,959,062)	(316,724,950,000)	(3,959,062)
Outstanding shares (issued and fully paid)	**123,275,050,000**	**1,540,938**	**123,275,050,000**	**1,540,938**

The composition of shareholders as of 31 December 2023 and 2022 were as follows:

	2023		
	Number of shares	Total par value	%
PT Dwimuria Investama Andalan*)	67,729,950,000	846,624	54.94
Commissioners			
Djohan Emir Setijoso	106,610,700	1,333	0.09
Tonny Kusnadi	7,087,982	89	0.01
Directors			
Jahja Setiaatmadja	32,818,853	410	0.03
Armand W. Hartono	4,256,065	53	0.00
Gregory Hendra Lembong	784,719	10	0.00
Subur Tan	11,351,057	142	0.01
Rudy Susanto	2,518,448	31	0.00
Lianawaty Suwono	2,021,880	25	0.00
Santoso	2,422,053	30	0.00
Vera Eve Lim	1,912,261	24	0.00
Haryanto Tiara Budiman	561,695	7	0.00
Frengky Chandra Kusuma	1,891,049	24	0.00
John Kosasih	504,861	6	0.00
Antonius Widodo Mulyono	130,780	2	0.00
Public shareholders**)	55,370,227,597	692,129	44.92
	123,275,050,000	**1,540,939**	**100,00**

*) The shareholders of PT Dwimuria Investama Andalan are Mr. Robert Budi Hartono and Mr. Bambang Hartono, therefore the ultimate shareholders of the Bank are Mr. Robert Budi Hartono and Mr. Bambang Hartono.
**) In the composition of shares held by the public, there was 2.49% shares owned by parties affiliated with PT Dwimuria Investama Andalan.

25. SHARE CAPITAL (continued)

The composition of shareholders as of 31 December 2023 and 2022 were as follows: (continued)

	2022		
	Number of shares	Total par value	%
PT Dwimuria Investama Andalan*)	67,729,950,000	846,624	54.94
Commissioners			
Djohan Emir Setijoso	106,395,297	1,330	0.09
Tonny Kusnadi	6,907,197	86	0.01
Directors			
Jahja Setiaatmadja	39,811,090	498	0.04
Armand W. Hartono	4,256,065	53	0.00
Gregory Hendra Lembong	400,070	5	0.00
Subur Tan	13,993,334	175	0.01
Rudy Susanto	2,033,799	25	0.00
Lianawaty Suwono	1,771,908	22	0.00
Santoso	2,156,646	27	0.00
Vera Eve Lim	1,616,082	20	0.00
Haryanto Tiara Budiman	346,292	4	0.00
Frengky Chandra Kusuma	1,675,646	21	0.00
John Kosasih	221,765	3	0.00
Public shareholders**)	55,363,514,809	692,045	44.91
	123,275,050,000	**1,540,938**	**100.00**

*) The shareholders of PT Dwimuria Investama Andalan are Mr. Robert Budi Hartono and Mr. Bambang Hartono, therefore the ultimate shareholders of the Bank are Mr. Robert Budi Hartono and Mr. Bambang Hartono.
**) In the composition of shares held by the public, there was 2.49% shares owned by parties affiliated with PT Dwimuria Investama Andalan.

26. ADDITIONAL PAID-IN CAPITAL

Additional paid-in capital as of 31 December 2023 and 2022 are as follows:

	2023	2022
Additional paid-in capital from share capital payments	29,453,007	29,453,007
Elimination of accumulated loss through quasi-reorganisation on 31 October 2000*)	(25,853,162)	(25,853,162)
Additional paid-in capital from the exercise of stock options	296,088	296,088
Additional paid-in capital from treasury stock transactions (Note 1c)	1,815,435	1,815,435
Difference in values from business combination transaction of entities under common control (Note 2e)	(162,391)	(162,391)
	5,548,977	**5,548,977**

*) On 31 October 2000, the Bank adopted SFAS No. 51, "Accounting for Quasi-Reorganisation" to achieve a "fresh start" reporting. Fresh start reporting requires the revaluation of all its assets and liabilities recorded by using the fair value and elimination of its accumulated deficit. Pursuant to the implementation of quasi-reorganisation, the Bank's accumulated losses as of 31 October 2000 amounted to Rp 25,853,162 had been eliminated against the additional paid-in capital. The implementation of quasi-reorganisation had been approved by Bank Indonesia through its Letter No. 3/165/DPwB2/IDWB2 dated 21 February 2001 and by the shareholders in their Extraordinary General Meeting of Shareholders on 12 April 2001 (the minutes of meeting drawn up by Notary Hendra Karyadi, S.H., in Notary Deed No. 25).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

27. COMMITMENTS AND CONTINGENCIES

As of 31 December 2023 and 2022, the Group commitments and contingencies were as follows:

	Type of Currencies	2023 Amount in foreign currencies*)	2023 Rupiah equivalent	2022 Amount in foreign currencies*)	2022 Rupiah equivalent
Commitments					
Committed receivables:					
Borrowing facilities received and unused	Rupiah		4,441,202		4,399,000
	USD	53,558,000	824,633	60,000,000	934,050
			5,265,835		5,333,050
Others	Rupiah		382,291		267,803
	USD	6,273,856	96,599	4,345,650	67,651
			478,890		335,454
			5,744,725		**5,668,504**
Committed liabilities:					
Unused credit facilities to customers - committed	Rupiah		266,143,321		211,107,626
	USD	1,455,764,966	22,414,413	1,172,915,181	18,259,357
	Others, USD equivalent	50,693,287	780,524	27,580,865	429,365
			289,338,258		229,796,348
Unused credit facilities to other banks - committed	Rupiah		420,456		1,926,866
	USD	555,556	8,554	555,556	8,649
			429,010		1,935,515
Irrevocable Letters of Credit facilities to customers	Rupiah		2,586,435		3,311,743
	USD	435,191,194	6,700,639	446,079,101	6,944,336
	Others, USD equivalent	128,113,202	1,972,559	282,370,676	4,395,806
			11,259,633		14,651,885
Others	Rupiah		777,109		316,700
	USD	6,101,783	93,949	5,483,296	85,361
	Others, USD equivalent	-	-	17,186	268
			871,058		402,329
			301,897,959		**246,786,077**
Contingencies					
Contingent receivables:					
Bank guarantees received	Rupiah		558,910		838,870
	USD	11,651	179	-	-
			559,089		838,870
Contingent liabilities:					
Bank guarantee issued to customers	Rupiah		17,937,926		16,213,364
	USD	297,968,974	4,587,828	225,587,639	3,511,836
	Others, USD equivalent	14,519,311	223,554	4,486,048	69,837
			22,749,308		19,795,037
Others	Rupiah		89		89
			22,749,397		**19,795,126**

*) Total in full amount.

27. COMMITMENTS AND CONTINGENCIES (continued)

Additional information

As of 31 December 2023 and 2022, the Group had unused credit facilities to customers - uncommitted amounting to Rp 91,068,656 and Rp 91,165,108, respectively.

As of 31 December 2023 and 2022, the Group had unused credit facilities to other Banks - uncommitted amounting to Rp nil and Rp 3,418, respectively.

The Bank is a party to various unresolved legal actions, administrative proceedings, and claims in the ordinary course of its business. It is not possible to predict with certainty whether or not the Bank will be successful in any of these legal matters or, if not, what the impact might be. However, the Bank's management does not expect that the results in any of these proceedings will have a material adverse effect on the Bank's results of operations, financial position or liquidity.

Commitments and contingencies from related parties are disclosed in Note 47.

28. INTEREST AND SHARIA INCOME

Interest and sharia income consist of:

	2023	2022
Interest income		
Loan receivable	54,143,689	46,157,245
Investment securities	17,716,461	13,477,947
Securities purchased under agreements to resell	8,571,096	6,579,527
Consumer financing receivables and finance lease receivables	3,266,996	2,847,581
Placements with Bank Indonesia and other banks	1,164,150	1,338,193
Bills receivable	469,923	346,636
Others	1,210,270	813,477
	86,542,585	71,560,606
Sharia income		
Sharia profit sharing	855,189	680,585
	855,189	680,585
Total interest and sharia income	**87,397,774**	**72,241,191**

Included in interest income from loans receivable was interest from the effect of discounting of impaired financial assets for the year ended 31 December 2023 and 2022 amounting to Rp 16,001 and Rp 1,842, respectively.

Interest income from loans receivable to related parties is disclosed in Note 47.

29. INTEREST AND SHARIA EXPENSES

Interest and sharia expenses consist of:

	2023	2022
Interest expenses		
Deposits from customers	9,510,555	5,849,622
Guarantee premium	2,222,965	2,058,533
Debt securities issued	38,913	70,285
Deposits from other banks	72,187	35,032
Borrowings	66,961	30,538
Securities sold under agreements to repurchase	27,245	6,935
Others	16,092	20,168
	11,954,918	8,071,113
Sharia expense		
Sharia	314,034	180,569
Total interest and sharia expenses	**12,268,952**	**8,251,682**

Interest and sharia expenses for deposits from customers to related parties are disclosed in Note 47.

30. FEES AND COMMISSION INCOME - NET

Represent fees and commission income related to:

	2023	2022
Credit	2,819,768	2,084,233
Trade	1,074,756	1,203,110
CASA and Transactional	11,436,469	11,847,711
Wealth	741,335	806,427
Others	580,927	642,484
Total	16,653,255	16,583,965
Fees and commission expenses	(539)	(360)
Fees and commission income - net	**16,652,716**	**16,583,605**

Commissions from CASA and Transactional are commission income related to credit and debit card transactions which have been reduced by costs directly related to these transactions.

Fee and commission income from loans receivable were fee and commission income related to disbursement of loan facilities which were not an integral part of effective interest rates.

31. NET INCOME FROM TRANSACTION AT FAIR VALUE THROUGH PROFIT OR LOSS

Net income from transaction at fair value through profit or loss consists of:

	2023	2022
Interest income from financial assets measured at fair value through profit or loss	239,727	153,844
Unrealised gains (losses) from financial assets measured at fair value through profit or loss - net	577,952	(1,506,999)
Realised gains (losses) on spot and derivative transactions - net	652,241	2,685,181
Gains (losses) on sale of financial assets measured at fair value through profit or loss – net	417,580	(44,620)
	1,887,500	**1,287,406**

32. ADDITION (REVERSAL) OF IMPAIRMENT LOSSES ON ASSETS

	2023	2022
Acceptance receivables (Note 9c)	(30,449)	(224,137)
Loans receivable (Note 12g)	1,910,139	4,512,020
Consumer financing receivables (Note 13)	172,948	(136,464)
Sharia financing	26,687	228,272
Investment securities (Note 14)	253,674	11,342
Estimated losses from commitments and contingencies (Note 22)	(66,380)	179,856
Others	(3,570)	(44,270)
	2,263,049	**4,526,619**

33. PERSONNEL EXPENSES

	2023	2022
Salaries and wages	8,306,266	7,632,405
Employees' benefits and compensations	5,649,922	4,992,437
Pension plan contribution	503,244	461,098
Training	417,261	288,139
Post-employment benefits (Note 2d)	1,321,118	277,379
	16,197,811	**13,651,458**

34. GENERAL AND ADMINISTRATIVE EXPENSES

	2023	2022
Office supplies	5,582,286	4,922,200
Depreciation	3,126,331	2,377,420
Repair and maintenance	1,964,982	1,785,473
Communication	1,722,285	1,860,951
Promotion	1,630,166	1,318,563
Rental	1,029,820	1,122,415
Professional fees	678,770	615,937
Water, electricity and fuel	297,236	252,256
Amortisation of intangible assets - software	276,409	284,770
Tax	226,479	144,555
Computer and software	156,086	111,018
Research and development	129,287	41,636
Transportation	55,462	44,561
Insurance	54,757	59,528
Security	23,452	24,122
Others	543,088	425,031
	17,496,896	**15,390,436**

35. BASIC AND DILUTED EARNINGS PER SHARE

Basic and diluted earnings per share are calculated based on the weighted average number of shares outstanding during the year, as follows:

	2023	2022
Net income for the year	48,639,122	40,735,722
Weighted average number of ordinary shares outstanding on the Indonesia Stock Exchange (in full amount)	123,275,050,000	123,275,050,000
Basic earnings per share (in full amount)	395	330

As of 31 December 2023 and 2022, there were no instruments which can potentially be converted into ordinary shares. Therefore, diluted earnings per share is equivalent to basic earnings per share.

36. APPROPRIATION OF NET INCOME

The Annual General Meeting of Shareholders of PT Bank Central Asia Tbk dated 16 March 2023 (minutes prepared by Christina Dwi Utami, S.H., M.Hum., M.Kn., with Minutes No. 157), resolved the appropriation of 2022 net income, as follows:

a. Net profit of 2022 amounting to Rp 407,357 will be appropriated for reserve funds.
b. Distribute cash dividends in the amount of Rp 25,271,385 (Rp 205 (full amount) per share) to shareholders who have the right to receive cash dividends. The total cash dividend that will be paid on 14 April 2023 is Rp 20,956,758 (the 2022 Fiscal Year interim dividend has been paid on 20 December 2022 amounting to Rp 4,314,627).
c. Determine tantiem for members of the Board of Commissioners and Board of Directors who serve in and during the 2022 financial year. The actual amount of tantiem paid is Rp 660,000.
d. Determine the remaining 2022 net profit after deducting dividends as retained earnings.

36. APPROPRIATION OF NET INCOME (continued)

In accordance with the Decree of the Board of Directors Meeting dated 21 November 2023 No. 194 concerning the Distribution of Temporary Dividends (interim dividends) for the 2023 Financial Year, the Board of Directors determined that the Bank will pay temporary dividends (interim dividends) to shareholders on profits for 2023 amounting to Rp 42.5 (full value) per share. The actual amount of interim dividends paid was Rp 5,239,190.

The Annual General Meeting of Shareholders of PT Bank Central Asia Tbk dated 17 March 2022 (minutes prepared by Christina Dwi Utami, S.H., M.Hum., M.Kn., with Minutes No. 126), resolved the appropriation of 2021 net income, as follows:

a. Net profit of 2021 amounting to Rp 314,227 will be appropriated for reserve funds.
b. Distribute cash dividends in the amount of Rp 17,874,882 (Rp 145 (full amount) per share) to shareholders who have the right to receive cash dividends. The total cash dividend that will be paid on 19 April 2022 is Rp 14,793,006 (the 2021 Fiscal Year interim dividend has been paid on 7 December 2021 amounting to Rp 3,081,876).
c. Determine tantiem for members of the Board of Commissioners and Board of Directors who serve in and during the 2021 financial year. The actual amount of tantiem paid is Rp 493,000.
d. Determine the remaining 2021 net profit after deducting dividends as retained earnings.

In accordance with the Decree of the Board of Directors Meeting dated 21 November 2022 No. 205 regarding the Distribution of Temporary Dividends (interim dividends) for Fiscal Year 2022, the Board of Directors determines that the Bank will pay temporary dividends (interim dividends) to shareholders for 2022 profits of Rp 35 (full amount) per share. The actual amount of interim dividends paid is Rp 4,314,627.

37. FINANCIAL INSTRUMENTS

Classification of financial assets and financial liabilities

Financial instruments have been classified based on their respective classifications. The significant accounting policies in Note 2g describe how the categories of the financial assets and liabilities are measured and how income and expenses, including fair value gains and losses (changes in fair value of financial instruments) are recognised.

Financial instrument valuation models

The Group measures fair values using the following hierarchy of methods:

- Level 1: inputs that are quoted prices (unadjusted) in active markets for identical instruments that the Group can access at the measurement date;
- Level 2: inputs other than quoted prices included within level 1 that are observable, either directly or indirectly. This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are not active; or other valuation techniques in which all significant inputs are directly or indirectly observable from market data;
- Level 3: inputs that are unobservable. This category includes all instruments for which the valuation technique includes inputs not based on observable data and these unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments for which significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

37. FINANCIAL INSTRUMENTS (continued)

Financial instrument valuation models (continued)

Fair values of financial assets and financial liabilities that are traded in active market are based on quoted market prices. For all other financial instruments, the Bank determines fair values using valuation techniques.

Valuation techniques include net present value and discounted cash flow models, comparison with similar instruments for which market observable prices exist and other valuation models. Assumptions and inputs used in valuation techniques include risk-free interest rates, benchmark interest rate, credit spreads and other variables used in estimating discount rates, bond prices, foreign currency exchange rates, and expected price volatilities and correlations.

The objective of valuation techniques is to arrive at a fair value measurement that reflects the price that would be received to sell the asset or paid to transfer the liability in an orderly transaction between market participants at the measurement date.

The Group uses widely recognised valuation models for determining the fair values of common and more simple financial instruments, such as interest rate and currency swaps that used only observable market data and require little management judgment and estimation. Observable prices or model inputs are usually available in the market for listed debt securities and simple over-the-counter derivatives such as interest rate swaps. Availability of observable market prices and model inputs reduces the needs for management judgment and estimation and also reduces the uncertainty associated with determining the fair values. Availability of observable market prices and inputs varies depending on the products and markets and is prone to changes based on specific events and general conditions in the financial markets.

Management judgment and estimation are usually required for selection of the appropriate valuation models to be used, determination of expected future cash flows on the financial instruments being valued, determination of the probability of counterparty default, prepayments and selection of appropriate discount rates.

Valuation framework

Valuation of financial assets and financial liabilities are subject to an independent review from the business by Group Accounting (“ACT”) and Risk Management Division. ACT is primarily responsible for ensuring that valuation adjustments have been properly accounted for. Risk Management Division performs an independent price validation to ensure that the Bank uses reliable market data from independent sources, e.g., traded prices and broker quotes.

Valuation model is proposed by Risk Management Division and approved by the management. Risk Management Division performs a periodic review of the feasibility of the market data sources used for valuation. The market data used for price validation may include those sourced from recent trade data involving external counterparties or third parties such as Bloomberg, Reuters, brokers and pricing providers. The market data used should be representative of the market as much as possible, which can evolve over time as markets and financial instruments develop. To determine the quality of the market data inputs, factors such as independence, relevance, reliability, availability of multiple data sources and methodology employed by the pricing providers are taken into consideration.

37. FINANCIAL INSTRUMENTS (continued)

Valuation of financial instruments

Financial instruments measured at fair value

The following table sets out the carrying amounts and fair values of financial instruments of the Group, measured at fair values, and their analysis by the level in the fair value hierarchy.

	2023			
	Carrying amount			Fair value
	Measured at fair value through profit or loss	Measured at fair value through other comprehensive income	Total	Level 2
Financial assets				
Placements with Bank Indonesia and other banks - net	-	198,245	198,245	198,245
Financial assets at fair value - net	15,058,660	-	15,058,660	15,058,660
Investment securities - net	-	109,895,084	109,895,084	109,895,084
	15,058,660	**110,093,329**	**125,151,989**	**125,151,989**
Financial liabilities				
Financial liabilities at fair value	122,765	-	122,765	122,765
	122,765	**-**	**122,765**	**122,765**

	2022			
	Carrying amount			Fair value
	Measured at fair value through profit or loss	Measured at fair value through other comprehensive income	Total	Level 2
Financial assets				
Financial assets at fair value - net	2,233,129	-	2,233,129	2,233,129
Investment securities - net	-	128,038,808	128,038,808	128,038,808
	2,233,129	**128,038,808**	**130,271,937**	**130,271,937**
Financial liabilities				
Financial liabilities at fair value	383,273	-	383,273	383,273
	383,273	**-**	**383,273**	**383,273**

Fair value of placements with Bank Indonesia and other banks which measured at fair value through other comprehensive income were calculated using valuation techniques based on the Bank's internal model, which is a discounted cash flow method. Input used in the valuation techniques is market interest rate for money market instruments which have similar characteristics of credit, maturity, and yield.

As of 31 December 2023 and 2022, the fair value of marketable securities classified in the group measured at fair value through profit or loss, and the fair value of securities classified in the group measured at fair value through other comprehensive income is based on market prices issued by the pricing provider (Penilai Harga Efek Indonesia/"PHEI"). If this information is not available, fair value is estimated using quoted market prices for securities that have similar characteristics of credit, maturity, and yield.

37. FINANCIAL INSTRUMENTS (continued)

Valuation of financial instruments (continued)

Financial instruments measured at fair value (continued)

As of 31 December 2023 and 2022, the fair value of investment securities which measured at fair value through other comprehensive income did not include the fair value of investments in shares amounting to Rp 451,993 and Rp 440,617, respectively, which were valued at cost, since the fair value cannot be measured reliably.

Financial instruments not measured at fair value

The following table sets out the carrying amounts and fair values of financial instruments of the Group, which are not measured at fair values and their analysis by the level in the fair value hierarchy.

	2023				
	Carrying value		Fair value		
	Amortised cost	Total	Level 2	Level 3	Total
Financial assets					
Loans receivables - net	758,887,839	758,887,839	28,011,091	738,167,137	766,178,228
Consumer financing receivables - net	8,713,450	8,713,450	-	8,663,660	8,663,660
Finance lease receivables - net	139,007	139,007	-	138,639	138,639
Assets related to sharia transaction - *murabahah* receivables - net	1,643,051	1,643,051	-	1,643,051	1,643,051
Investment securities - net	201,706,547	201,706,547	201,666,248	-	201,666,248
	971,089,894	**971,089,894**	**229,677,339**	**748,612,487**	**978,289,826**
Financial liabilities					
Deposits from customers	1,090,766,807	1,090,766,807	1,090,766,807	-	1,090,766,807
Sharia deposits	3,201,970	3,201,970	3,201,970	-	3,201,970
Finance lease liabilities	237,344	237,344	237,344	-	237,344
Deposits from other banks	10,070,820	10,070,820	10,070,820	-	10,070,820
Borrowings	1,629,626	1,629,626	1,631,281	-	1,631,281
Subordinated bonds	500,000	500,000	500,000	-	500,000
	1,106,406,567	**1,106,406,567**	**1,106,408,222**	**-**	**1,106,408,222**

	2022				
	Carrying value		Fair value		
	Amortised cost	Total	Level 2	Level 3	Total
Financial assets					
Loans receivables - net	660,989,004	660,989,004	23,447,307	631,782,303	655,229,610
Consumer financing receivables - net	8,215,427	8,215,427	-	7,476,847	7,476,847
Finance lease receivables - net	121,716	121,716	-	123,618	123,618
Assets related to sharia transaction - *murabahah* receivables - net	1,331,217	1,331,217	-	1,331,217	1,331,217
Investment securities - net	120,415,741	120,415,741	119,300,760	-	119,300,760
	791,073,105	**791,073,105**	**142,748,067**	**640,713,985**	**783,462,052**
Financial liabilities					
Deposits from customers	1,030,451,783	1,030,451,783	1,030,451,783	-	1,030,451,783
Sharia deposits	2,825,860	2,825,860	2,825,860	-	2,825,860
Finance lease liabilities	289,169	289,169	289,169	-	289,169
Deposits from other banks	7,936,206	7,936,206	7,936,206	-	7,936,206
Borrowings	1,316,951	1,316,951	1,282,414	-	1,282,414
Subordinated bonds	500,000	500,000	500,000	-	500,000
	1,043,319,969	**1,043,319,969**	**1,043,285,432**	**-**	**1,043,285,432**

37. FINANCIAL INSTRUMENTS (continued)

Financial instruments not measured at fair value (continued)

The financial instruments not measured at fair value are measured at amortised cost.

The following financial instruments are short-term financial instruments or financial instruments which are re-priced periodically to current market rates, therefore, the fair values of financial instruments are reasonable approximation of carrying value.

Financial assets:
- Cash
- Current accounts with Bank Indonesia
- Current accounts with other banks
- Placements with Bank Indonesia and other banks
- Acceptance receivables
- Bills receivables
- Securities purchased under agreements to resell
- Other assets

Financial liabilities:
- Securities sold under agreements to repurchase
- Acceptance payables
- Estimated losses from commitment and contingency
- Other liabilities

As of 31 December 2023 and 2022, the fair values of loans receivable, consumer financing receivables, finance lease receivables and borrowings were determined using discounted cash flows based on internal interest rate.

As of 31 December 2023 and 2022, the fair values of investment securities issued at amortised cost based on market prices issued by pricing provider (Penilai Harga Efek Indonesia/"PHEI", formerly Indonesia Bond Pricing Agency/ “IBPA”) If the information is not available, the fair values were estimated using quoted market prices of securities which have similar characteristics of credit, maturity, and yield.

As of 31 December 2023 and 2022, the fair values of deposits from customers and deposits from other banks are the same with the carrying amount since they are payables on demand in nature.

The fair values calculated are for disclosure purposes only and do not have any impact on the Group’s reported financial performance or position. The fair values calculated by the Group may be different from the actual amount that will be received or paid on the settlement or maturity of the financial instrument. As certain categories of financial instruments are not traded, there is management judgment and estimation involved in calculating their fair values.

38. POST-EMPLOYMENT BENEFITS OBLIGATION

In accordance with Law of the Republic of Indonesia No. 11/2020 concerning Job Creation Act, the Bank is required to provide post-employment benefits to its employees when their employments are terminated or when they retire. These benefits are primarily based on years of services and the employees' compensation at termination or retirement. These post-employment benefits are defined benefits program.

The Bank also had a defined contribution pension plan that covers all permanent employees who fulfilled the criteria determined by the Bank. This defined contribution pension plan is managed and administered by Dana Pensiun BCA which was established by the Bank to manage the assets, generate investment income and pay the post-employment benefits to the employees. The establishment of Dana Pensiun BCA had been ratified by the Minister of Finance of Republic of Indonesia in its Decision Letter No. KEP-020/KM.17/1995 dated 25 January 1995. The contribution to the pension plan is computed based on certain percentage of employees' basic salary, for which the contribution from employees and the Bank are 3% (three percent) and 5% (five percent), respectively. During the year ended 31 December 2023 and 2022, the accumulated contributions from the Bank are 2% (two percent) respectively, which are considered as a deduction against the post-employment benefits obligation in accordance with the Manpower Law.

During the years ended 31 December 2023 and 2022, the Bank has set aside funds that will be used to support the fulfilment of employee post-employment benefit obligations amounting to Rp 2,818 and Rp 4,117, respectively, which is placed in several insurance companies in the form of savings plan that meet the criteria to be recorded as plan assets.

The defined benefit pension plan provides actuarial risk exposures to the Bank, e.g., investment risk, interest rate risk and inflation risk.

Post-employment benefits provided by the Bank consist of pension, other long-term compensations in the form of long service benefits and post-employment healthcare benefits. The post-employment benefits obligation as of 31 December 2023 and 2022 were calculated by Kantor Konsultan Aktuaria Steven & Mourits as the Bank's independent actuary, using the projected-unit-credit method. The main assumptions used by independent actuary were as follows:

	2023	2022
Economic assumptions:		
Annual discount rate		
Defined benefit pension plan	6.80%	7.15%
Other long-term compensations – Gold	6.80%	7.20%
Other long-term compensations – Non Gold	6.85%	7.20%
Post-employment healthcare benefits – Self Insured	6.70%	6.90%
Post-employment healthcare benefits – Insurance	6.95%	7.40%
Annual basic salary growth rate	9.00%	9.00%
Healthcare cost rate	11.50%	10.00%

The discount rate is used in determining the present value of the post-employment benefits obligation at valuation date. In general, the discount rate correlates with the yield on high quality government bonds that are traded in active capital markets at the reporting date.

38. POST-EMPLOYMENT BENEFITS OBLIGATION (continued)

The future basic salary growth assumption projects the post-employment benefits obligations starting from the valuation date through the normal retirement age. The basic salary growth rate is generally determined by applying inflation adjustment to scales of payment and by taking into account of the years of service.

The Bank's obligation for post-employment benefits for the years ended 31 December 2023 and 2022 were in accordance with the independent actuary reports dated 5 January 2024 and 6 January 2023, respectively.

a. Post-employment benefits obligation

The post-employment benefits obligation as of 31 December 2023 and 2022 were as follows:

	Defined benefit pension plan and other long-term compensations		Post-employment healthcare benefits	
	2023	2022	2023	2022
Present value of obligation for post-employment benefits	11,847,856	11,225,855	156,844	137,462
Fair value of plan assets	(3,120,458)	(3,952,724)	-	-
Net obligation for post-employment benefits - Bank	**8,727,398**	**7,273,131**	**156,844**	**137,462**

The Subsidiaries' obligation for post-employment benefits as of 31 December 2023 and 2022 which were recorded in the consolidated statements of financial position amounting to Rp 147,830 and Rp 110,632, respectively.

b. Movement of post-employment benefits obligation

	Defined benefit pension plan and other long-term compensations		Post-employment healthcare benefits	
	2023	2022	2023	2022
Movement in the defined benefit obligation				
Post-employment benefit obligation, beginning of the year - Bank	7,273,131	6,923,233	137,461	197,102
Included in profit or loss				
Current service cost	754,821	675,034	6,705	8,740
Past service cost - amendment	-	-	(12,025)	(48,125)
Interest cost	511,473	405,461	8,672	10,436
Termination cost	3,165	7,520	-	-
Liability assumed due to recognition of past services	2,852	969	50	78
Impact of changes in attribution method in P&L	-	(785,994)	-	-
Included in other comprehensive income				
Actuarial gains (losses) arising from:				
Changes in financial assumptions	(41,716)	251,949	28,917	(12,809)
Changes in demographic assumptions	-	-	-	-
Experience adjustments	350,315	13,149	29,185	14,093
Return on plan assets excluding interest income	187,347	159,472	-	-
Impact of changes in attribution method in OCI	-	(70,545)	-	-
Others				
Fund placements in insurance companies (plan assets)	(2,818)	(4,117)	-	-
Post- employment benefits paid directly by the Bank	(311,172)	(303,000)	(42,121)	(32,053)
Post-employment benefits obligation, end of the year - Bank	**8,727,398**	**7,273,131**	**156,844**	**137,462**

38. POST-EMPLOYMENT BENEFITS OBLIGATION (continued)

b. Movement of post-employment benefits obligation (continued)

The Subsidiaries' post-employment benefits expenses for the years ended 31 December 2023 and 2022 recorded in the profit or loss amounting to Rp 45,405 and Rp 3,260, respectively.

During the years ended 31 December 2023 and 2022, payments for post-employment benefits in the Subsidiaries amounting to Rp 6,950 and Rp 7,884, respectively, and the Subsidiaries have set aside funds that will be used to support the fulfilment of post-employment benefits obligation for each employee amounting of Rp 6,659 and Rp 15,793 by placing them with several insurance companies, which meet the criteria to be recorded as plan assets.

c. The composition of plan assets

The composition of plan assets from pension fund for the years ended 31 December 2023 and 2022, were as follows:

	Percentage allocation as of 31 December 2023 Quoted market price for severance program			Percentage allocation as of 31 December 2023 Quoted market price for DPLK PDKP			
	AIA	Allianz	Manulife	AIA	Allianz	Manulife	BCA Life
Shares	0.00%	0.00%	0.00%	12.86%	10.37%	15.12%	0.00%
Bonds	0.00%	0.00%	0.00%	69.69%	69.88%	64.52%	0.00%
Property	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Derivatives	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Cash	100.00%	100.00%	100.00%	17.45%	19.75%	20.36%	0.00%
Others	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Total	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	0.00%

	Percentage allocation as of 31 December 2022 Quoted market price for severance program			Percentage allocation as of 31 December 2022 Quoted market price for DPLK PDKP			
	AIA	Allianz	Manulife	AIA	Allianz	Manulife	BCA Life
Shares	0.00%	0.00%	0.00%	0.00%	18.61%	14.77%	8.70%
Bonds	0.00%	0.00%	0.00%	67.95%	69.09%	64.21%	79.34%
Property	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Derivatives	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Cash	100.00%	100.00%	100.00%	32.05%	12.30%	21.02%	11.96%
Others	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Total	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%

d. Changes in fair value of plan assets for post-employment program

	2023	2022
Fair value of plan assets, beginning of the year - Bank	3,952,724	4,877,681
Fund placements in insurance companies	2,818	4,117
Return on plan assets excluding interest income	(187,347)	(159,472)
Interest income on plan assets	250,604	291,399
Post-employment benefits paid	(898,341)	(1,061,001)
Fair value of plan assets, end of the year - Bank	**3,120,458**	**3,952,724**

38. POST-EMPLOYMENT BENEFITS OBLIGATION (continued)

e. Historical information - Bank:

	31 December					
	2023	2022	2021	2020	2019	2018
Defined benefits pension plan and other long-term compensation						
Present value of post-employment benefits obligation	11,847,856	11,225,855	11,800,914	12,966,647	11,724,337	10,469,846
Fair value of plan assets	(3,120,458)	(3,952,724)	(4,877,681)	(3,664,581)	(4,077,260)	(4,410,076)
Deficit	8,727,398	7,273,131	6,923,233	9,302,065	7,647,077	6,059,770
Experience adjustment on plan liabilities	350,315	13,149	(159,362)	(9,914)	116,222	353,216
Experience adjustment on plan assets	187,347	159,472	(440,474)	555,010	(204,650)	371,291
Post-employment healthcare benefits						
Present value of post-employment benefits obligation	156,844	137,462	197,102	214,570	209,355	236,760
Experience adjustment on plan liabilities	29,185	14,093	(15,238)	(15,955)	(7,038)	(24,089)

f. Sensitivity analysis

Changes in 1 (one) percent of actuarial assumptions will have the following impacts:

	2023					
	Defined benefit pension plan		Other long-term compensations		Post-employment healthcare benefits	
	Increase	Decrease	Increase	Decrease	Increase	Decrease
Discount rate (1% movement)	(404,885)	449,720	(249,099)	286,212	(11,732)	15,778
Basic salary rate (1% movement)	495,698	(454,759)	286,371	(254,360)	-	-
Healthcare cost rate (1% movement)	-	-	-	-	13,314	(11,671)

	2022					
	Defined benefit pension plan		Other long-term compensations		Post-employment healthcare benefits	
	Increase	Decrease	Increase	Decrease	Increase	Decrease
Discount rate (1% movement)	(383,887)	423,341	(224,820)	255,705	(8,482)	11,700
Basic salary rate (1% movement)	468,423	(432,428)	257,223	(230,548)	-	-
Healthcare cost rate (1% movement)	-	-	-	-	9,749	(8,718)

g. Expected Maturity Analysis

Expected maturity analysis of undiscounted pension benefits and post-employment healthcare benefits is as follows:

	Up to 10 years	10 - 20 years	20 years and beyond
Pension benefit	8,456,527	2,940,661	3,512,052
Other long-term compensations	3,470,530	1,139,077	1,626,074
Post-employment healthcare benefits	132,917	57,007	111,672

h. The weighted-average of period of the defined benefits obligation, other long-term compensations, and post-retirement healthcare benefits were 11.38 years; 12.72 years; and 13.26 years as of 31 December 2023 (31 December 2022: 10.48 years; 11.06 years; and 11.82 years).

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39. CUSTODIAL SERVICES

The Bank's Custodial Services Bureau obtained its license to provide custodial services from the Capital Market and Financial Institution Supervisory Agency (Bapepam, currently Financial Services Authority or "OJK") under its Decision Letter No. KEP-148/PM/1991 dated 13 November 1991.

The services offered by the Bank's Custodial Services Bureau include safekeeping, settlement and transaction handling, income collection, proxy, corporate action, cash management, investment recording/reporting and tax reclamation.

As of 31 December 2023 and 2022, assets administered by the Bank's Custodial Services Bureau consist of shares, bonds, time deposits, certificate of deposits, commercial papers and other money market instruments.

40. MONETARY ASSETS AND LIABILITIES IN FOREIGN CURRENCIES

Balances of monetary assets and liabilities in foreign currencies were as follows:

	2023		2022	
	Foreign currencies (in thousand)	Rupiah equivalent	Foreign currencies (in thousand)	Rupiah equivalent
Monetary assets				
Cash				
US Dollar (USD)	42,260	650,678	37,965	591,016
Australian Dollar (AUD)	17,447	183,555	8,604	90,835
Singapore Dollar (SGD)	16,182	188,941	16,842	195,242
Hong Kong Dollar (HKD)	4,709	9,280	7,049	14,073
GB Pound (GBP)	493	9,684	798	14,985
Japanese Yen (JPY)	257,749	28,064	167,124	19,689
Euro (EUR)	6,442	109,754	6,363	105,513
Others, USD equivalent	2,810	43,272	2,024	31,513
		1,223,228		1,062,866
Current accounts with Bank Indonesia				
US Dollar (USD)	254,231	3,914,389	255,687	3,980,407
		3,914,389		3,980,407
Current accounts with other banks - net				
US Dollar (USD)	142,447	2,193,255	103,162	1,605,975
Australian Dollar (AUD)	12,146	127,786	26,538	280,184
Singapore Dollar (SGD)	34,877	407,233	51,706	599,423
Hong Kong Dollar (HKD)	17,677	34,836	50,365	100,556
GB Pound (GBP)	4,100	80,459	9,568	179,755
Japanese Yen (JPY)	8,159,738	888,432	4,975,261	586,136
Euro (EUR)	9,224	157,154	17,924	297,217
Others, USD equivalent	108,166	1,665,424	69,269	1,078,344
		5,554,579		4,727,590
Placements with Bank Indonesia and other banks - net				
US Dollar (USD)	463	7,123	1,280,242	19,930,169
Australian Dollar (AUD)	-	-	29,999	316,729
Singapore Dollar (SGD)	89,999	1,050,857	149,985	1,738,762
Hong Kong Dollar (HKD)	31,811	62,691	1,068	2,132
Others, USD equivalent	26,067	401,351	-	-
		1,522,022		21,987,792

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40. MONETARY ASSETS AND LIABILITIES IN FOREIGN CURRENCIES (continued)

Balances of monetary assets and liabilities in foreign currencies were as follows: (continued)

	2023		2022	
	Foreign currencies (in thousand)	Rupiah equivalent	Foreign currencies (in thousand)	Rupiah equivalent
Monetary assets (continued)				
Financial assets at fair value through profit or loss				
US Dollar (USD)	236,384	3,639,600	10,529	163,912
		3,639,600		163,912
Acceptance receivables - net				
US Dollar (USD)	430,413	6,627,067	609,273	9,484,857
Singapore Dollar (SGD)	-	-	243	2,814
GB Pound (GBP)	-	-	1,012	19,018
Japanese Yen (JPY)	471,589	51,347	823,711	97,041
Euro (EUR)	148,587	2,531,673	114,988	1,906,695
Others, USD equivalent	53,304	820,728	24,684	384,268
		10,030,815		11,894,693
Bills receivable - net				
US Dollar (USD)	330,706	5,091,886	157,646	2,454,153
Japanese Yen (JPY)	10,786	1,174	15,413	1,816
Euro (EUR)	1,195	20,353	2,926	48,510
Others, USD equivalent	1,306	20,111	862	13,415
		5,133,524		2,517,894
Loans receivable - net				
US Dollar (USD)	2,675,843	41,199,949	2,603,229	40,525,769
Australian Dollar (AUD)	13	141	23	242
Singapore Dollar (SGD)	56,795	663,156	63,160	732,208
Hong Kong Dollar (HKD)	304,242	599,580	462,430	923,265
Euro (EUR)	408	6,955	228	3,776
		42,469,781		42,185,260
Investment securities - net				
US Dollar (USD)	624,532	9,615,920	594,502	9,254,908
Hong Kong Dollar (HKD)	115,710	228,033	187,527	374,406
		9,843,953		9,629,314
Other assets - net				
US Dollar (USD)	25,866	398,257	21,629	336,715
Australian Dollar (AUD)	-	-	48	508
Singapore Dollar (SGD)	710	8,287	509	5,897
Hong Kong Dollar (HKD)	4,034	7,951	7,618	15,209
GB Pound (GBP)	-	1	-	1
Japanese Yen (JPY)	1,044	114	2,240	264
Euro (EUR)	1,017	17,331	445	7,383
Others, USD equivalent	37	566	19	293
		432,507		366,270

40. MONETARY ASSETS AND LIABILITIES IN FOREIGN CURRENCIES (continued)

Balances of monetary assets and liabilities in foreign currencies were as follows: (continued)

	2023		2022	
	Foreign currencies (in thousand)	Rupiah equivalent	Foreign currencies (in thousand)	Rupiah equivalent
Monetary liabilities				
Deposits from customers				
US Dollar (USD)	3,894,004	59,955,974	4,463,013	69,477,953
Australian Dollar (AUD)	53,097	558,625	55,509	586,056
Singapore Dollar (SGD)	377,233	4,404,702	349,396	4,050,504
Hong Kong Dollar (HKD)	16,389	32,298	6,799	13,574
GB Pound (GBP)	3,932	77,172	7,221	135,650
Japanese Yen (JPY)	8,082,641	880,038	5,301,302	624,546
Euro (EUR)	70,577	1,202,512	72,537	1,202,788
Others, USD equivalent	89,112	1,372,052	52,781	821,663
		68,483,373		76,912,734
Deposits from other banks				
US Dollar (USD)	104,729	1,612,516	113,883	1,772,870
Australian Dollar (AUD)	9,998	105,188	9,631	101,683
Euro (EUR)	2	30	2	30
Singapore Dollar (SGD)	3,926	45,839	2,053	23,803
Others, USD equivalent	14	215	15	231
		1,763,788		1,898,617
Financial liabilities at fair value through profit or loss				
US Dollar (USD)	661	10,178	250	3,894
		10,178		3,894
Acceptance payables				
US Dollar (USD)	273,710	4,214,319	479,970	7,471,937
Singapore Dollar (SGD)	-	-	243	2,814
GB Pound (GBP)	-	-	1,018	19,123
Japanese Yen (JPY)	400,949	43,655	295,650	34,831
Euro (EUR)	12,348	210,393	18,638	309,044
Others, USD equivalent	49,254	758,356	22,719	353,674
		5,226,723		8,191,423
Securities sold under agreement to repurchase				
Hong Kong Dollar (HKD)	41,734	82,246	128,202	255,962
		82,246		255,962
Borrowings				
US Dollar (USD)	15,125	232,885	740	11,515
Hong Kong Dollar (HKD)	71,112	140,143	239,882	478,936
GB Pound (GBP)	-	-	1	14
Others, USD equivalent	-	-	23	358
		373,028		490,823

40. MONETARY ASSETS AND LIABILITIES IN FOREIGN CURRENCIES (continued)

Balances of monetary assets and liabilities in foreign currencies were as follows: (continued)

	2023		2022	
	Foreign currencies (in thousand)	Rupiah equivalent	Foreign currencies (in thousand)	Rupiah equivalent
Monetary liabilities (continued)				
Estimated losses from commitment and contingencies				
US Dollar (USD)	15,828	243,708	15,277	237,820
Australian Dollar (AUD)	-	3	-	-
Singapore Dollar (SGD)	563	6,573	363	4,203
Hong Kong Dollar (HKD)	270	532	93	186
GB Pound (GBP)	-	-	-	5
Japanese Yen (JPY)	1,884	205	9,083	1,070
Euro (EUR)	77	1,318	216	3,574
Others, USD equivalent	26	407	54	834
		252,746		247,692
Accruals and other liabilities				
US Dollar (USD)	1,307	20,123	2,267	35,291
Australian Dollar (AUD)	11	119	-	-
Singapore Dollar (SGD)	59	689	13	149
Hong Kong Dollar (HKD)	3,018	5,948	6,531	13,040
GB Pound (GBP)	1	13	-	1
Japanese Yen (JPY)	261	28	-	-
Euro (EUR)	15	253	54	899
Others, USD equivalent	11	175	5	45
		27,348		49,425

41. OPERATING SEGMENTS

The Group disclosed the financial information based on the products were as follows:

	2023			
	Loans	Treasury	Others	Total
Assets	758,887,839	534,025,680	115,193,491	1,408,107,010
Loans receivable - net	758,887,839	-	-	758,887,839
Interest and sharia income	54,143,689	28,804,936	4,449,149	87,397,774
Fee-based income and others	4,916,215	258,012	17,755,363	22,929,590

	2022			
	Loans	Treasury	Others	Total
Assets	660,989,004	551,228,677	102,513,993	1,314,731,674
Loans receivable - net	660,989,004	-	-	660,989,004
Interest and sharia income	46,157,245	22,337,258	3,746,688	72,241,191
Fee-based income and others	5,344,236	224,670	16,630,856	22,199,762

The Group main operations are managed in Indonesian territory. Bank's business segment is classified into 5 (five) main geographic areas, which are Sumatera, Java, Kalimantan, East Indonesia and overseas operation.

41. OPERATING SEGMENTS (continued)

Information regarding segment based on geographic of the Group is presented in table below:

	2023					
	Sumatera	Java	Kalimantan	East Indonesia	Overseas operation	Total
Interest and sharia income	3,963,081	79,546,443	1,550,536	2,268,692	69,022	87,397,774
Interest and sharia expenses	(573,101)	(11,167,247)	(195,437)	(306,280)	(26,887)	(12,268,952)
Net interest and sharia income	3,389,980	68,379,196	1,355,099	1,962,412	42,135	75,128,822
Net fees and commissions income	1,029,599	14,511,324	407,310	700,711	3,772	16,652,716
Net income from transaction at fair value through profit or loss	53,449	1,756,021	25,012	48,202	4,816	1,887,500
Other operating income	42,817	6,156,033	24,798	57,601	(4,914)	6,276,335
Total segment income	4,515,845	90,802,574	1,812,219	2,768,926	45,809	99,945,373
Depreciation and amortisation	(51,723)	(3,282,998)	(22,719)	(39,657)	(5,643)	(3,402,740)
Other material non-cash elements:						
Reversal of allowance for impairment losses on asset	(322,747)	(1,882,203)	(269,446)	210,601	746	(2,263,049)
Other operating expenses	(1,465,271)	(31,093,748)	(524,237)	(989,230)	(27,341)	(34,099,827)
Income before tax	2,676,104	54,543,625	995,817	1,950,640	13,571	60,179,757
Income tax expense						(11,521,662)
Net income for the year						**48,658,095**
Assets	93,124,817	1,229,535,237	33,270,213	51,266,184	910,559	1,408,107,010
Liabilities	93,124,817	979,786,929	33,270,213	51,266,184	227,402	1,157,675,545
Loans receivable - net	32,404,446	690,431,115	13,653,762	21,798,936	599,580	758,887,839
Deposits from customers	91,866,574	915,420,224	32,928,122	50,551,887	-	1,090,766,807
Sharia deposits	-	3,201,970	-	-	-	3,201,970
Temporary *syirkah* deposits	-	7,893,872	-	-	-	7,893,872

	2022					
	Sumatera	Java	Kalimantan	East Indonesia	Overseas operation	Total
Interest and sharia income	3,648,298	65,277,562	1,337,349	1,930,757	47,225	72,241,191
Interest and sharia expense	(326,846)	(7,624,922)	(112,344)	(171,651)	(15,919)	(8,251,682)
Net interest and sharia income	3,321,452	57,652,640	1,225,005	1,759,106	31,306	63,989,509
Net fees and commission income	922,853	14,705,903	352,508	598,690	3,651	16,583,605
Net income from transaction at fair value through profit or loss	59,429	1,180,098	25,804	18,195	3,880	1,287,406
Other operating income	154,205	5,375,187	23,029	61,153	2,223	5,615,797
Total segment income	4,457,939	78,913,828	1,626,346	2,437,144	41,060	87,476,317
Depreciation and amortisation	(51,684)	(2,545,843)	(21,562)	(37,456)	(5,645)	(2,662,190)
Other material non-cash elements:						
Reversal of allowance for impairment losses on asset	(188,454)	(4,121,661)	(71,826)	(144,215)	(463)	(4,526,619)
Other operating expenses	(1,367,862)	(27,100,941)	(461,709)	(864,081)	(25,882)	(29,820,475)
Income before tax	2,849,939	45,145,383	1,071,249	1,391,392	9,070	50,467,033
Income tax expense						(9,711,461)
Net income for the year						**40,755,572**

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41. OPERATING SEGMENTS (continued)

Information regarding segment based on geographic of the Group is presented in table below: (continued)

	2022					
	Sumatera	Java	Kalimantan	East Indonesia	Overseas operation	Total
Assets	87,465,293	1,152,891,324	29,764,358	43,189,773	1,420,926	1,314,731,674
Liabilities	87,465,293	925,932,028	29,764,358	43,189,757	758,208	1,087,109,644
Loans receivable - net	27,814,723	601,007,942	12,156,398	19,086,675	923,266	660,989,004
Deposits from customers	86,373,744	871,925,630	29,537,878	42,614,531	-	1,030,451,783
Sharia deposits	-	2,825,860	-	-	-	2,825,860
Temporary *syirkah* deposits	-	6,440,375	-	-	-	6,440,375

42. FINANCIAL RISK MANAGEMENT

The Bank has exposures to the following risks:
- Asset and liability risk
- Credit risk
- Liquidity risk
- Market risk
- Operational risk
- Consolidated risk

The following notes present information about the Bank's exposure to each of the above risks, the Bank's objectives, policies and process which are undertaken by the Bank in measuring and managing risk.

a. Risk management framework

The Bank recognises that in operating its business, there are inherent risks in its financial instruments, i.e. credit risk, liquidity risk, market risk which consists of foreign exchange risk and interest rate risk, operational risk and other risk.

In order to control those risks, the Bank implemented an integrated Risk Management Framework which is stated in its Basic Policy of Risk Management ("KDMR"). This framework is used as a tool for determining the strategies, organisation, policies and guidances as well as the Bank's infrastructures to ensure that all risks faced by the Bank can be properly identified, measured, controlled and reported.

To implement an effective risk management, the Bank has established a Risk Management Committee whose functions are to address overall risk issues faced by the Bank and recommend risk management policies to the Board of Directors.

In addition to the above-mentioned committee, the Bank also has other committees which are responsible to handle specific risks, such as: Credit Policy Committee, Credit Committee and Asset and Liability Committee ("ALCO").

42. FINANCIAL RISK MANAGEMENT (continued)

a. Risk management framework (continued)

The Bank always conducts a thorough risk assessment on management plan to release new products and/or activities in accordance with the type of risks regulated by the prevailing Bank Indonesia Regulations ("PBI"), Financial Services Authority Regulation ("POJK") and other prevailing regulations.

b. Assets and liabilities risk management

ALCO is responsible for evaluating, recommending and establishing the Bank's funding and investing strategies. Included in the scope of ALCO activities are managing liquidity risk, interest rate risk and foreign exchange risk; minimising funding cost and at the same time maintaining liquidity; and optimising the Bank's interest income by allocating the funds to productive assets in a prudent manner.

ALCO is chaired by the President Director (concurrently a member), with other members consisting of 10 (ten) Directors, as well as the Executive Vice President in charge of Treasury and International Banking, the Executive Vice President in charge of Corporate Banking & Transactions, the Executive Vice President in charge of Accounting, Tax, Industry & Economic Research, Environment Sustainability Governance and Investor Relations, Head of International Banking, Head of Treasury, Head of Corporate Strategy & Planning, Head of Corporate Banking, Transaction & Finance, Head of SME & Commercial Business, Head of Transaction Banking Product Development, Head of Transaction Banking Business Development, Head of Transaction Banking Partnership Solution Development, Head of Consumer Finance, and Head of Risk Management.

The Bank's asset and liability management process begins with an assessment of economic parameters affecting the Bank, which primarily consist of inflation rate, market liquidity, yield curve, US Dollar-Rupiah exchange rate, and other macroeconomic factors. Liquidity risks, foreign currency exchange risks and interest rate risks are reviewed by the Risk Management Division and reported to ALCO. ALCO then decides the pricing strategy for the interest rates on deposits and loans based on the conditions and competition in the market.

c. Credit risk management

The credit organisation is continuously being improved with an emphasis on the four eyes principle, in which the credit decision is determined with the considerations of 2 (two) functions, i.e. business development function and credit risk analysis function.

The Bank has Basic Policy of Bank's Credit ("KDPB") which are continuously being improved, in line with the Bank's development, PBI, POJK and in accordance with "International Best Practices".

42. FINANCIAL RISK MANAGEMENT (continued)

c. Credit risk management (continued)

The improvement on procedures and credit risk management system are conducted through the development of "Loan Origination System" which is a policy that regulates the workflow on loan origination process (end-to-end) in order to achieve an effective and efficient credit process. Risk profile measurement system is continuously being developed to determine the risk of debtor completely. The credit database development process is also continuously being conducted and improved.

The Credit Policy Committee is responsible for formulating credit policies, especially those that relate to prudence principles in credit, monitoring and evaluating the implementation of credit policies so that it can be applied consistently and in accordance with credit policy, and give advice and corrective actions to resolve problems in the implementation.

The Credit Committee was established to assist the Board of Directors in evaluating and/or providing credit decisions in accordance with their level of authorisation through the Credit Committee Meeting or Directors' Circular Letter. The main functions of Credit Committee are as follows:

- providing further guidance if a thorough and comprehensive credit analysis is needed;
- making a decision or giving a recommendation on a credit proposal for big debtors and specific industries; and
- coordinating with ALCO, especially when it relates with sources of funding for credits.

The Bank has developed a debtor's risk rating system, which is known as the Internal Credit Risk Rating/Scoring System. The Internal Credit Risk Rating/Scoring System consists of 11 (eleven) categories of risk rating ranging from RR1 to RR10, and the worst (Loss). The Bank also implements debtor risk rating system for consumptive segment, which is also called as Internal Credit Risk Scoring System, consists of 10 (ten) risk rating categories ranging from RR1 (the best/the lowest) to RR10 (the worst/the highest). Debtor's risk rating provides an authorised officer with valuable input for a better and more appropriate credit decision.

To maintain the credit quality, monitoring over credit quality is performed regularly on each credit category (Corporate, Commercial, Small & Medium Enterprise ("SME") and Consumer) as well as to overall credit portfolio. The Bank also sets limits in loans so that it can maintain the suitability of credit extension with the Bank's risk appetite and prevailing regulations.

The Bank has developed credit risk management tools through credit portfolio stress testing analysis and monitoring the results of such stress testing. Stress testing is used by the Bank as a tool to estimate the impact of stressful condition in order to enable the Bank creating appropriate strategies to mitigate the risks as part of its contingency plan implementation.

42. FINANCIAL RISK MANAGEMENT (continued)

c. Credit risk management (continued)

The Bank has developed credit risk management tools through credit portfolio stress testing analysis and monitoring the results of such stress testing. Stress testing is used by the Bank as a tool to estimate the impact of stressful condition in order to enable the Bank creating appropriate strategies to mitigate the risks as part of its contingency plan implementation.

The Bank has developed the necessary infrastructure for calculation of Risk Weighted of Assets ("RWAs") Considering Credit Risk using a standard approach that have been effectively implemented in January 2023 in accordance with SEOJK No. 24/SEOJK.03/2021.

In order to monitor and control credit risk of the Subsidiaries, the Bank monitors the Subsidiaries' credit risk regularly, to ensure that the Subsidiaries have a good and effective Credit Risk Management Policy.

In connection with the improvement in the economy in Indonesia from the impact of the COVID-19 disaster, and the existence of regulatory policies, namely OJK, BI and the Indonesian Government to provide special treatment to certain regions and sectors, the steps taken by the Bank:

1. Provide credit relaxation/restructuring for debtors affected by the spread of COVID-19 for the accommodation and food and drink provision sector, textile and textile products and footwear sector, Micro, Small and Medium Enterprises segment and/or Bali Province.
2. Monitoring regularly and proactively to see the progress of restructured debtors, as well as maintaining good relationships with debtors.
3. Continue to provide new and additional loans while still paying attention to the Bank's prudential principles and being more selective, including by paying attention to the introduction of potential debtors, their industrial sectors, financial conditions and good business prospects, and collateral requirements.
4. Carry out more routine coordination between related work units at the head office, including the Board of Directors, together with regional offices and branch offices to speed up the necessary steps and find solutions to problems faced in the debtor credit process.

i. Maximum exposure to credit risk

For financial assets recognised in the consolidated statements of financial position, the maximum exposure to credit risk generally equals their carrying amount. For bank guarantees and irrevocable Letters of Credit issued, the maximum exposure to credit risk is the maximum amount that the Bank would have to pay if the obligations of the bank guarantees and irrevocable Letters of Credit issued are called upon. For credit commitments, the maximum exposure to credit risk is the full amount of the unused committed loan facilities granted to customers.

42. FINANCIAL RISK MANAGEMENT (continued)

c. Credit risk management (continued)

i. Maximum exposure to credit risk (continued)

The following table presents maximum exposure to the Group's credit risk of financial instruments in the consolidated statements of financial position (on-balance sheet) and consolidated administrative accounts (off-balance sheet).

	2023	2022
Consolidated financial position:		
Current accounts with Bank Indonesia	92,617,705	104,110,295
Current accounts with other banks - net	5,614,353	4,751,916
Placements with Bank Indonesia and other banks - net	5,201,661	31,377,152
Financial assets at fair value through profit or loss	15,058,660	2,233,129
Acceptance receivables - net	14,659,624	15,199,641
Bills receivable - net	10,383,524	5,895,907
Securities purchased under agreements to resell - net	93,096,153	153,965,112
Loans receivable - net	758,887,839	660,989,004
Consumer financing receivables - net	8,713,450	8,215,427
Finance lease receivables - net	139,007	121,716
Assets related to sharia transactions - *murabahah* receivables - net	1,643,051	1,331,217
Investment securities - net	312,053,624	248,895,166
Other assets - net		
Accrued interest income	7,289,568	6,353,832
Transactions related to ATM and credit card	6,332,552	3,786,790
Unaccepted bills receivable	112,738	13,668
Receivables from customer transactions	485,157	219,738
Receivables from insurance transactions	656,060	416,354
Others	74,555	-
	1,333,019,281	**1,247,876,064**
Consolidated administrative account - net:		
Unused credit facilities to customers - committed	286,036,900	226,442,162
Unused credit facilities to other banks - committed	429,010	1,935,515
Irrevocable Letters of Credit facilities	11,206,964	14,579,522
Bank guarantees issued to customers	22,731,661	19,783,237
	320,404,535	**262,740,436**
	1,653,423,816	**1,510,616,500**

42. FINANCIAL RISK MANAGEMENT (continued)

c. Credit risk management (continued)

ii. Concentration of credit risk analysis

The Bank encourages the diversification of its credit portfolio among a variety of geographic area, industries and credit products in order to minimise the credit risk.

The concentration of loans by type of loan, currency and economic sector is disclosed in Note 12.

Based on counterparty

The following table presents concentration of credit risk of the Group by counterparty:

	2023				
	Corporate	Government and Bank Indonesia	Bank	Individual	Total
Consolidated financial position:					
Current accounts with Bank Indonesia	-	92,617,705	-	-	92,617,705
Current accounts with other banks	-	-	5,615,252	-	5,615,252
Placement with Bank Indonesia and other banks	-	751,891	4,450,454	-	5,202,345
Financial assets at fair value through profit or loss	746,277	14,183,900	128,483	-	15,058,660
Acceptance receivables	14,234,147	285	705,553	2,754	14,942,739
Bills receivable	636,068	-	9,751,972	-	10,388,040
Securities purchased under agreements to resell	-	88,641,048	4,420,689	35,414	93,097,151
Loans receivable	535,931,754	538,895	28,011,091	227,714,974	792,196,714
Consumer financing receivables	441,739	-	24	8,599,633	9,041,396
Finance lease receivables	136,124	-	-	4,282	140,406
Assets related to sharia transactions - *murabahah* receivables	875,555	-	-	779,027	1,654,582
Investment securities	39,612,884	264,597,502	8,387,718	-	312,598,104
Other assets					
Accrued interest income	2,279,748	4,084,056	214,214	711,550	7,289,568
Transactions related to ATM and credit card	6,332,552	-	-	-	6,332,552
Unaccepted bills receivable	112,938	-	-	-	112,938
Receivables from customer transactions	219,186	-	-	265,971	485,157
Receivables from insurance transactions	607,009	-	12,757	36,294	656,060
Others	77,376	-	-	-	77,376
Total	602,243,357	465,415,282	61,698,207	238,149,899	1,367,506,745
Less:					
Allowance for impairment losses					(34,487,464)
					1,333,019,281
Commitments and contingencies with credit risk:					
Unused credit facilities - committed	231,689,526	3,961,105	429,010	53,687,627	289,767,268
Irrevocable Letters of Credit facilities	11,259,633	-	-	-	11,259,633
Bank guarantees issued to customers	20,958,545	-	768,491	1,022,272	22,749,308
Total	263,907,704	3,961,105	1,197,501	54,709,899	323,776,209
Less:					
Allowance for impairment losses					(3,371,674)
					320,404,535

42. FINANCIAL RISK MANAGEMENT (continued)

c. Credit risk management (continued)

ii. Concentration of credit risk analysis (continued)

Based on counterparty (continued)

The following table presents concentration of credit risk of the Group by counterparty: (continued)

	2022				
	Corporate	Government and Bank Indonesia	Bank	Individual	Total
Consolidated financial position:					
Current accounts with Bank Indonesia	-	104,110,295	-	-	104,110,295
Current accounts with other banks	-	-	4,752,659	-	4,752,659
Placement with Bank Indonesia and other banks	-	18,681,831	12,700,784	-	31,382,615
Financial assets at fair value through profit or loss	858,789	1,267,887	106,453	-	2,233,129
Acceptance receivables	15,058,569	-	454,993	1,536	15,515,098
Bills receivable	616,424	-	5,286,618	-	5,903,042
Securities purchased under agreements to resell	-	149,549,931	4,384,426	32,054	153,966,411
Loans receivable	469,667,349	3,000,000	23,447,308	198,821,865	694,936,522
Consumer financing receivables	278,087	-	2	8,347,567	8,625,656
Finance lease receivables	117,379	-	-	5,563	122,942
Assets related to sharia transactions - *murabahah* receivables	1,348,575	-	-	-	1,348,575
Investment securities	31,527,846	208,344,349	9,313,788	-	249,185,983
Other assets					
Accrued interest income	1,863,957	3,657,759	222,564	609,552	6,353,832
Transactions related to ATM and credit card	3,786,790	-	-	-	3,786,790
Unaccepted bills receivable	13,881	-	-	-	13,881
Receivables from customer transactions	56,901	-	-	162,837	219,738
Receivables from insurance transactions	361,977	-	12,496	41,881	416,354
Total	525,556,524	488,612,052	60,682,091	208,022,855	1,282,873,522
Less:					
Allowance for impairment losses					(34,997,458)
					1,247,876,064
Commitments and contingencies with credit risk:					
Unused credit facilities - committed	201,855,165	3,500,000	1,935,515	24,441,183	231,731,863
Irrevocable Letters of Credit facilities	14,646,546	-	-	5,339	14,651,885
Bank guarantees issued to customers	17,758,290	-	964,959	1,071,788	19,795,037
Total	234,260,001	3,500,000	2,900,474	25,518,310	266,178,785
Less:					
Allowance for impairment losses					(3,438,349)
					262,740,436

42. FINANCIAL RISK MANAGEMENT (continued)

c. Credit risk management (continued)

iii. Credit risk analysis

The following table presents the financial assets classified into stage 1, stage 2 and stage 3:

	2023			
	Carrying Value			
	Stage 1	Stage 2	Stage 3	Total
Measured at amortised cost:				
Current accounts with Bank Indonesia	92,617,705	-	-	92,617,705
Current accounts with other banks - net	5,614,353	-	-	5,614,353
Placement with Bank Indonesia and other banks - net	5,003,416	-	-	5,003,416
Acceptance receivables - net	14,601,986	21,975	35,663	14,659,624
Bills receivables - net	10,383,524	-	-	10,383,524
Securities purchased under agreements to resell - net	93,096,153	-	-	93,096,153
Loans receivable - net	744,413,069	9,786,032	4,688,738	758,887,839
Investment securities - net	201,690,291	16,256	-	201,706,547
Consumer financing receivables - net	8,501,838	68,000	143,612	8,713,450
Finance lease receivables - net	137,557	384	1,066	139,007
Assets related to sharia transactions - *murabahah* receivables - net	1,635,705	7,346	-	1,643,051
Other assets - net				
Accrued interest income	7,289,568	-	-	7,289,568
Transactions related to ATM and credit card	6,332,552	-	-	6,332,552
Unaccepted bills receivable	112,738	-	-	112,738
Receivables from customer transactions	485,157	-	-	485,157
Receivables from insurance transactions	656,060	-	-	656,060
Others	74,555	-	-	74,555
	1,192,646,227	**9,899,993**	**4,869,079**	**1,207,415,299**
Measured at fair value through profit or loss (FVPL):				
Financial assets at fair value through profit or loss	15,058,660	-	-	15,058,660
	15,058,660	**-**	**-**	**15,058,660**
Measured at fair value through other comprehensive income (FVOCI):				
Placement with Bank Indonesia and other banks - net	198,245	-	-	198,245
Investment securities - net	110,321,247	25,830	-	110,347,077
	110,519,492	**25,830**	**-**	**110,545,322**
	1,318,224,379	**9,925,823**	**4,869,079**	**1,333,019,281**

42. FINANCIAL RISK MANAGEMENT (continued)

c. Credit risk management (continued)

iii. Credit risk analysis (continued)

The following table presents the financial assets classified into stage 1, stage 2 and stage 3: (continued)

	2022			
	Carrying Value			
	Stage 1	Stage 2	Stage 3	Total
Measured at amortised cost:				
Current accounts with Bank Indonesia	104,110,295	-	-	104,110,295
Current accounts with other banks - net	4,751,916	-	-	4,751,916
Placement with Bank Indonesia and other banks - net	31,377,152	-	-	31,377,152
Acceptance receivables - net	15,149,201	15,607	34,833	15,199,641
Bills receivables - net	5,894,961	-	946	5,895,907
Securities purchased under agreements to resell - net	153,965,112	-	-	153,965,112
Loans receivable - net	646,248,957	10,631,390	4,108,657	660,989,004
Investment securities - net	120,415,741	-	-	120,415,741
Consumer financing receivables - net	8,114,388	27,124	73,915	8,215,427
Finance lease receivables - net	121,309	-	407	121,716
Assets related to sharia transactions - *murabahah* receivables - net	1,319,506	11,658	53	1,331,217
Other assets - net				
Accrued interest income	6,353,832	-	-	6,353,832
Transactions related to ATM and credit card	3,786,790	-	-	3,786,790
Unaccepted bills receivable	13,668	-	-	13,668
Receivables from customer transactions	219,738	-	-	219,738
Receivables from insurance transactions	416,354	-	-	416,354
	1,102,258,920	**10,685,779**	**4,218,811**	**1,117,163,510**
Measured at fair value through profit or loss (FVPL):				
Financial assets at fair value through profit or loss	2,233,129	-	-	2,233,129
	2,233,129	-	-	**2,233,129**
Measured at fair value through other comprehensive income (FVOCI):				
Investment securities - net	128,464,455	-	14,970	128,479,425
	128,464,455	**-**	**14,970**	**128,479,425**
	1,232,956,504	**10,685,779**	**4,233,781**	**1,247,876,064**

42. FINANCIAL RISK MANAGEMENT (continued)

c. Credit risk management (continued)

iii. Credit risk analysis (continued)

Classification of Financial Assets

The classification of financial assets is based on a business model and tests of cash flows characteristics (Solely Payment of Principal & Interest ("SPPI")). The Bank's financial assets are classified as follows:

- Fair Value Through Profit/Loss ("FVPL")
- Fair Value Through Other Comprehensive Income ("FVOCI")
- Amortised Cost

Measurement of Expected Credit Loss

The calculation of Bank provisions refers to SFAS 71 which introduces the expected credit loss method to measure the loss of a financial instrument resulting from the impairment of financial instruments. SFAS 71 requires immediate recognition for the impact of expected credit loss changes after initial recognition of the financial asset.

If at the reporting date, credit risk on a financial instrument has not increased significantly since initial recognition, the Bank shall measure the allowance for losses for that financial instrument at the amount of 12 (twelve) months expected losses. The Bank shall measure the allowance for losses on a financial instrument at the amount of expected credit losses over its lifetime, if the credit risk on that financial instrument has increased significantly since initial recognition.

The Bank develops risk parameter modelling such as PD (Probability of Default), LGD (Loss Given Default) and EAD (Exposure at Default) which are used as components for calculating expected credit losses.

Staging Criteria

SFAS 71 requires entity to classify financial instruments into three stages of impairment (stage 1, stage 2, and stage 3) by determining whether there is a significant increase in credit risk.

The Bank measures the allowance for losses of an expected 12 months credit loss for financial assets with low credit risk at the reporting date (stage 1) and lifetime credit losses for financial assets with a significant increase in credit risk (stage 2).

42. FINANCIAL RISK MANAGEMENT (continued)

c. Credit risk management (continued)

iii. Credit risk analysis (continued)

Staging Criteria (continued)

At each reporting date, the Bank assesses whether the credit risk of the financial instrument has increased significantly ("SICR") since initial recognition. In making that assessment, the Bank compares the risk of default on initial recognition and considers the reasonable and supportable information available without undue cost or effort, which is an indication of a significant increase in credit risk ("SICR") since initial recognition.

In general, financial assets with arrears of 30 days or more and not yet experiencing an impairment will always be considered to have significant increase credit risk ("SICR").

Financial assets are only considered impaired and expected credit losses over their lifetime are recognised, if there is observable objective evidence of impairment, including, among others, default or experiencing significant financial difficulties.

Forward-looking Information

In calculating expected credit losses, the Bank considers the effect of the macroeconomic forecast. In addition, the Bank also determines a probability weighted for the possibility of such macro scenario.

Various macroeconomic variables ("MEV") are used in the modelling of SFAS 71 depending on the results of statistical analysis of the suitability of the MEV with historical data for impairment model development. The calculation of the expected credit loss and the macroeconomic forecast ("MEV") are reviewed by the Bank periodically. MEV used by the Bank includes GDP, inflation rate, exchange rate and others.

Related to the COVID-19 pandemic which has created global and domestic economic uncertainty, the Bank continues to identify and monitor on an ongoing basis and stay alert to keep making allowances for impairment losses if debtors who have restructured perform well initially, is expected to decline due to the impact of COVID-19 and are unable to recover after the restructuring/impact of COVID-19.

Individually impaired financial assets

Individually impaired financial assets are financial assets that are individually significant and there is objective evidence that impairment loss has incurred after initial recognition of the financial assets.

Based on the Bank's internal policy, loans that are determined to be individually significant are loans to corporate and commercial debtors.

42. FINANCIAL RISK MANAGEMENT (continued)

c. Credit risk management (continued)

iii. Credit risk analysis (continued)

Individually impaired financial assets (continued)

Individual measurements are made by considering the difference between all contractual cash flows that are due to the entity in accordance with the contract and all cash flows that the Bank expects to receive (i.e. all cash shortfalls), discounted with the effective interest rate.

Financial assets that are not individually significant and assessed for collective impairment

Financial assets that are not individually significant consist of loans and receivables of the Group to retail debtors, i.e. Small & Medium Enterprise ("SME") debtors, consumer financing receivables (including joint financing) debtors, mortgage and its housing renovation loans, vehicle loans and credit card.

The Group determines that impairment losses of financial assets that are not individually significant are assessed collectively, by grouping those financial assets based on similar risk characteristics.

Collective measurement is done statistically using the parameters PD (Probability of Default), LGD (Loss Given Default) and EAD (Exposure at Default).

Financial assets that are past due and impaired

Receivables that are due are all receivables that are past due for more than 90 (ninety) days, either for principal payments and/or interest payments. Meanwhile, impaired receivables are financial assets that have significant value individually and there is objective evidence that individual impairment occurs after the initial recognition of the financial assets.

In accordance with the quality, loans, acceptances, and bills receivable are grouped into 3 (three) categories, namely high grade, standard grade, and low grade, based on the Bank's internal estimate of probability defaults on certain debtors or portfolios which are assessed based on a number of qualitative and quantitative factors.

Loans, acceptances and bills receivable with a rating scale internal risk RR1 through RR7 according to the internal credit risk rating/scoring system is included in the high grade category. High category grade is a loan whose debtor has a strong capacity in terms of repayment of all obligations in a timely manner because they are supported by sound fundamental factors and are not easily influenced by changes in unfavourable economic conditions.

Loans, acceptances and bills receivable with a rating scale internal risks RR8 through RR9 according to the internal credit risk rating/scoring system (Note 42c) are included in the standard grade category. Standard grade category is a loan whose debtor is deemed to have adequate capacity in terms of interest and principal payments, but is quite sensitive against changes in unfavourable economic conditions.

42. FINANCIAL RISK MANAGEMENT (continued)

c. Credit risk management (continued)

iii. Credit risk analysis (continued)

Financial assets that are past due and impaired (continued)

Loans, acceptances and notes receivable with a rating scale internal risk RR10 and loss according to the internal credit risk rating/scoring system (Note 42c) is included in the low grade category. Low grade category is a loan whose debtor is vulnerable in terms of interest and principal payment capacity due to unfavourable fundamental factors and/or very sensitive to unfavourable economic conditions.

iv. Collateral

Collateral is held to mitigate credit risk exposures and risk mitigation policies determine the eligibility of collateral types that can be accepted by the Bank. The Bank differentiates collateral types based on its liquidity and existence into solid collaterals and non-solid collaterals. Solid collaterals are collaterals which have relatively high liquidity value and/or the existence is permanent (is not easily moved) i.e., cash collaterals and land/building, and therefore, the collaterals can be repossessed or taken over by the Bank when the loan to debtor/group debtor becomes non-performing. Non-solid collaterals are collaterals which have relatively low liquidity value and/or the existence is temporary (easily moveable) i.e., vehicles, machineries, inventories, receivables, etc. As of 31 December 2023 and 2022, the Bank held collaterals against loans receivables in the form of cash, properties (land/building), motor vehicles, guarantees, machineries, inventories, debt securities, etc.

The Bank's policy in connection with collateral as mitigation of credit risk depends on the credit category or facilities provided. For SME loans, all loans should be supported with collateral (collateral based lending) whereby at least 50% (fifty percent) of it are solid collaterals. For corporate and commercial loans, the collateral values are determined based on the individual debtor credit worthiness. The collateral value is determined based on the appraisal value at the time of loan approval and periodically reviewed.

For mortgage facility ("KPR"), the Bank requires that all facilities should be supported by collateral properties (land/building). The Bank applies the Loan-to-Value ("LTV") regulation gradually, starting from the first mortgage facility and so forth, in accordance with the rules imposed by the regulator. Value of the collateral for KPR is calculated based on the collateral value when credit is granted and renewed every 30 (thirty) months. For auto loan facility ("KKB"), the Bank requires that all facilities should be supported by collateral vehicles. The Bank applied the down payment rule, in accordance with the regulation imposed by the regulator.

42. FINANCIAL RISK MANAGEMENT (continued)

c. Credit risk management (continued)

iv. Collateral (continued)

Subsidiaries' consumer financing receivables are secured by the related certificates of ownership ("BPKB") of the vehicles being financed.

For foreign exchange transactions, either spot or forward, the Bank requires cash collaterals which are set at a certain percentage of facility provided. If the debtor has other credit facilities in the Bank, the debtor may use the collateral that has been given previously to be crossed with each other. The policy on percentage of the required collateral will be reviewed periodically, in line with the fluctuation and volatility of Rupiah currency to foreign currency exchange rate.

Details of financial and non-financial assets obtained by the Bank during the year by taking possession of collaterals held as security against financial assets as of 31 December 2023 and 2022, presented in other assets at the lower of carrying amount and net realisable value, were as follows:

	2023	2022
Land	111,780	173,088
Building	1,491,158	1,108,714
Other commercial properties	56,439	200,348
Fair value	**1,659,377**	**1,482,150**

The Bank generally does not use repossessed non-cash collateral for its own operations. The Bank's policy is to realise collaterals which are repossessed as part of the settlement of credit.

As of 31 December 2023 and 2022, collateral taken over by the Subsidiaries amounting to Rp 47,990 and Rp 134,607, respectively.

v. Financial assets measured at fair value through profit or loss

As of 31 December 2023 and 2022, the Group had financial assets measured at the fair value through profit or loss amounting to Rp 15,058,660 and Rp 2,233,129, respectively (Note 8). Information on credit quality of the maximum exposure to credit risk of financial assets at fair value through profit or loss) was as follows:

	2023	2022
Government securities:		
Investment grade	14,183,900	1,529,200
Corporate bonds:		
Investment grade	135,689	23,148
Derivative assets:		
Other banks as counterparties	71,298	55,542
Corporates as counterparties	146,216	44,776
Others	521,557	580,463
Fair value	**15,058,660**	**2,233,129**

42. FINANCIAL RISK MANAGEMENT (continued)

c. Credit risk management (continued)

vi. Investment securities

As of 31 December 2023 and 2022, the Group had investment securities at the carrying value amounting to Rp 312,053,624 and Rp 248,895,166, respectively (Note 14). Information on credit quality of the maximum exposure to credit risk of investment securities was as follows:

	2023	2022
Government securities:		
Investment grade	266,017,517	208,407,887
Corporate bonds:		
Investment grade	32,562,414	32,391,335
Non-Investment grade	42,086	-
Others	13,431,607	8,095,944
Carrying value	**312,053,624**	**248,895,166**

d. Liquidity risk management

The Bank emphasises the importance of maintaining adequate liquidity to meet its commitments to its customers and other parties, whether in loans disbursement, repayment of customers' deposits or to meet operational liquidity requirements. The management of overall liquidity needs is overseen by ALCO and operationally by the Treasury Division.

The Bank has implemented the relevant liquidity rules in accordance with regulatory requirement which require Banks to maintain Rupiah liquidity (Reserve Requirement/"RR") both on a daily basis and on an average basis for a certain reporting period, which consists of RR in the form of Rupiah current accounts with Bank Indonesia, MPLB in the form of Bank Indonesia Securities Instruments and Government Securities/SBN, as well as foreign currency RR in the form of foreign currency demand deposits at Bank Indonesia.

The Bank monitors its liquidity by maintaining sufficient liquid assets to repay the customers' deposits and ensuring that total assets mature in each period is sufficient to cover total matured liabilities.

The Bank's liquid assets mainly consist of placements with Bank Indonesia and other banks, including current accounts with Bank Indonesia and other banks as well as cash. If the Bank needs liquidity, the Bank can immediately withdraw reserves in current accounts with Bank Indonesia for excess Reserve Requirement ("RR"), sell out Bank Indonesia Instruments/Government Securities ("SBN") owned or sell BI Instruments/SBN held by agreement buying back, making early redemption of BI term deposits or seeking loans on the interbank money market in Indonesia.

In order to reduce risk of dependency to single funding, the Subsidiaries have diversified its funding resources. Besides capital and collection from customers, the Subsidiaries generate funding resources from bank loans and capital market, through bonds and medium-term notes issuance.

42. FINANCIAL RISK MANAGEMENT (continued)

d. Liquidity risk management (continued)

The following table presents the undiscounted contractual cash flows of financial liabilities and administrative accounts of the Group based on remaining period to contractual maturity as of 31 December 2023 and 2022:

	2023						
	Carrying value	Gross nominal inflow/ (outflow)	Up to 1 month	> 1 - 3 months	> 3 months - 1 year	> 1 – 5 Years	> 5 years
Non-derivative financial liabilities							
Deposits from customers	(1,090,766,807)	(1,091,075,101)	(1,027,832,600)	(57,161,198)	(6,081,303)	-	-
Sharia deposits	(3,201,970)	(3,201,973)	(3,201,973)	-	-	-	-
Deposits from other banks	(10,070,820)	(10,070,862)	(10,066,730)	(4,132)	-	-	-
Acceptance payables	(6,701,256)	(6,701,256)	(2,107,358)	(3,462,693)	(991,754)	(139,451)	-
Securities sold under agreements to repurchase	(1,054,780)	(1,056,596)	(1,056,596)	-	-	-	-
Borrowings	(1,629,626)	(1,631,732)	(127,264)	(174,649)	(1,043,798)	(286,021)	-
Estimated losses from commitments and contingencies	(3,371,674)	(3,371,674)	(282,315)	(564,629)	(1,781,710)	(708,138)	(34,882)
Other liabilities	(6,673,819)	(6,673,819)	(6,425,625)	(27,643)	(7,110)	(157,943)	(55,498)
Subordinated bonds	(500,000)	(509,296)	(9,296)	-	-	(435,000)	(65,000)
	(1,123,970,752)	**(1,124,292,309)**	**(1,051,109,757)**	**(61,394,944)**	**(9,905,675)**	**(1,726,553)**	**(155,380)**
Derivative financial liabilities							
Financial liabilities at fair value through profit or loss:	(122,765)						
Outflow		(19,582,565)	(10,875,916)	(8,043,541)	(663,108)	-	-
Inflow		19,449,061	10,821,462	7,972,699	654,900	-	-
	(122,765)	**(133,504)**	**(54,454)**	**(70,842)**	**(8,208)**	**-**	**-**
Administrative accounts							
Unused credit facilities to customers - committed		(289,338,258)	(289,338,258)	-	-	-	-
Unused credit facilities to other banks - committed		(429,010)	(429,010	-	-	-	-
Irrevocable Letters of Credit facilities		(11,259,633)	(3,980,695)	(5,839,161)	(1,409,549)	(30,228)	-
Bank guarantees issued to customers		(22,749,308)	(2,190,519)	(4,955,896)	(12,028,167)	(3,571,096)	(3,630)
		(323,776,209)	(295,938,482)	(10,795,057)	(13,437,716)	(3,601,324)	(3,630)
	(1,124,093,517)	**(1,448,202,022)**	**(1,347,102,693)**	**(72,260,843)**	**(23,351,599)**	**(5,327,877)**	**(159,010)**

	2022						
	Carrying value	Gross nominal inflow/ (outflow)	Up to 1 month	> 1 - 3 months	> 3 months - 1 year	> 1 – 5 years	> 5 years
Non-derivative financial liabilities							
Deposits from customers	(1,030,451,783)	(1,030,595,644)	(993,499,482)	(26,458,718)	(10,637,444)	-	-
Sharia deposits	(2,825,860)	(2,825,862)	(2,825,862)	-	-	-	-
Deposits from other banks	(7,936,206)	(7,936,215)	(7,934,083)	(2,132)	-	-	-
Acceptance payables	(9,666,648)	(9,666,648)	(3,428,602)	(4,063,071)	(2,104,172)	(70,803)	-
Securities sold under agreements to repurchase	(255,962)	(261,323)	(261,323)	-	-	-	-
Borrowings	(1,316,951)	(1,318,039)	(271,203)	(258,260)	(578,667)	(209,909)	-
Estimated losses from commitments and contingencies	(3,438,349)	(3,438,349)	(283,694)	(599,050)	(1,843,673)	(678,573)	(33,359)
Other liabilities	(3,337,725)	(3,337,725)	(3,007,525)	(25,801)	(64,005)	(183,778)	(56,616)
Subordinated bonds	(500,000)	(509,296)	(9,296)	-	-	(435,000)	(65,000)
	(1,059,729,484)	**(1,059,889,101)**	**(1,011,521,070)**	**(31,407,032)**	**(15,227,961)**	**(1,578,063)**	**(154,975)**
Derivative financial liabilities							
Financial liabilities at fair value through profit or loss:	(383,273)						
Outflow		(11,477,194)	(9,337,520)	(1,590,021)	(549,653)	-	-
Inflow		11,402,141	9,294,601	1,575,915	531,625	-	-
Other liabilities	(21,935)	(21,935)	(21,935)	-	-	-	-
	(405,208)	**(96,988)**	**(64,854)**	**(14,106)**	**(18,028)**	**-**	**-**
Administrative accounts							
Unused credit facilities to customers - committed		(229,796,348)	(229,796,348)	-	-	-	-
Unused credit facilities to other banks - committed		(1,935,515)	(1,935,515)	-	-	-	-
Irrevocable Letters of Credit facilities		(14,651,885)	(4,229,133)	(6,256,649)	(4,041,992)	(124,111)	-
Bank guarantees issued to customers		(19,795,037)	(2,858,963)	(3,094,539)	(10,829,559)	(3,006,846)	(5,130)
		(266,178,785)	(238,819,959)	(9,351,188)	(14,871,551)	(3,130,957)	(5,130)
	(1,060,134,692)	**(1,326,164,874)**	**(1,250,405,883)**	**(40,772,326)**	**(30,117,540)**	**(4,709,020)**	**(160,105)**

42. FINANCIAL RISK MANAGEMENT (continued)

d. Liquidity risk management (continued)

The tables above were prepared based on remaining contractual maturities of the financial liabilities and irrevocable Letters of Credit facility, while for issued guarantee contracts and unused committed credit facility were based on its earliest possible contractual maturity. The Bank's and Subsidiaries' expected cash flows from these instruments vary significantly from the above analysis. For example, current accounts and saving accounts are expected to have a stable or increasing balance, or unused committed credit facility to customers/other banks are not all expected to be drawn down immediately.

The nominal inflow and outflow disclosed in the above table represents the contractual undiscounted cash flows relating to the principal and interest on the financial liabilities or commitments. The disclosure for derivatives shows a gross inflow and outflow amount for derivatives that have simultaneous gross settlement (e.g., foreign currency forward).

Analysis on the carrying value of financial assets and liabilities based on remaining contractual maturities as of 31 December 2023 and 2022 are disclosed in Note 43.

e. Market risk management

i. Foreign exchange risk

The Bank conducts foreign currency trading in accordance with its internal policies and regulations from Bank Indonesia regarding Net Open Position ("NOP"). In managing its foreign exchange risk, the Bank centralises the management of its NOP at the Treasury Division, which consolidates daily NOP reports from all branches. In general, each branch is required to square its foreign exchange risk at the end of each business day, although there is a NOP tolerance limit set for each branch depending on the volume of its foreign exchange activity. The Bank prepares its daily NOP report which combines the NOP from consolidated statements of financial position and administrative accounts. Bank has considered Domestic Non delivery Forward ("DNDF") and Option transactions (Structured Product) as part of NOP report.

The Bank's revenue from foreign currency trading is mainly obtained from customer-related transactions and sometimes the Bank has NOP in certain amount to fulfil the customer's needs, in accordance with the Bank's internal guidelines. Trading for profit-taking purposes (proprietary trading) can only be performed for limited foreign currencies with small limits.

The Bank's foreign currency liabilities mainly consist of deposits and borrowings denominated in US Dollar. To comply with the NOP regulations, the Bank maintains its assets which consist of placements with other banks and loans receivable in USD.

To measure foreign exchange risk on trading book, the Bank uses Value at Risk ("VaR") method with Historical Simulation approach for the purpose of internal reporting, meanwhile for the purpose of Bank's Capital Adequacy Ratio ("CAR") report, the Bank used OJK standard method.

42. FINANCIAL RISK MANAGEMENT (continued)

e. Market risk management (continued)

i. Foreign exchange risk (continued)

Bank's sensitivity towards foreign currency is taken into account by using NOP information translated to major foreign currency of the Bank, which is USD. The table below summarises the Bank's profit before tax sensitivity on changes of foreign exchange rate as of 31 December 2023 and 2022:

	Impact on profit before tax	
	+5%	-5%
31 December 2023	11,926	(11,926)
31 December 2022	12,741	(12,741)

Information about Bank's NOP as of 31 December 2023 and 2022 were disclosed in Note 44.

ii. Interest rate risk

Interest Rate Risk in the Banking Book

The calculation of interest rate risk in the banking book ("IRRBB") uses 2 (two) perspectives, which are the economic value perspective and the earnings perspective. It is intended so the Bank can identify risks more accurately and perform appropriate corrective actions.

To mitigate IRRBB, the Bank has set nominal limits for fixed rate loans and banking book securities, IRRBB limits and pricing strategies.

The measurement of IRRBB using 2 (two) methods is in accordance to Circular Letter of OJK No. 12/SEOJK.03/2018 regarding the Implementation of Risk Management and Standard Approach for Risk Measurement of Interest Rate Risk in Banking Book for Conventional Banks:

a. Measurement based on the changes in the economic value of equity, which measures the impact of changes in interest rates on the economic value of Bank equity; and
b. Measurement based on the changes in net interest income, which measures the impact of changes in interest rates on the Bank's earnings.

The Bank measures IRRBB for significant currencies, which are Rupiah and USD. In total of IRRBB, the maximum negative (absolute) value of the two currencies is aggregated.

Interest Rate Risk in the Trading Book

The risk measurement is performed on Rupiah and USD which are then reported to ALCO. To measure interest rate risk on the trading book, the Bank uses VaR method with Historical Simulation approach for internal reporting purposes, while for the Minimum Capital Adequacy Ratio purpose, the Bank uses OJK's standard approach.

42. FINANCIAL RISK MANAGEMENT (continued)

e. Market risk management (continued)

ii. Interest rate risk (continued)

Interest Rate Risk in the Trading Book (continued)

Cash flow interest rate risk is the risk that future cash flow from financial instruments fluctuates due to the movement in market interest rates. Fair value interest rate risk is the risk that the fair value of financial instruments fluctuates due to the movement in market interest rates. The Bank has exposure to the prevailing market interest rates fluctuation, both to the fair value risk and cash flows risk. The Board of Directors have set VaR limits for trading book to mitigate this risk, which are monitored by the Risk Management Division on a daily basis.

The Subsidiary is exposed to interest rate risk arising from consumer financing receivables, factoring receivables, other receivables, the issuance of fixed rate bonds payable. The Subsidiary manages the interest rate risk by diversifying its financing sources to find the most suitable fixed interest rate to minimise mismatch.

The table below summarises the Group financial assets and liabilities (not measured at fair value through profit or loss) at carrying amounts, categorised by the earlier of contractual re-pricing or maturity dates:

	2023						
	Floating interest rate		Fixed interest rate				
	Up to 3 months	> 3 months - 1 year	Up to 3 months	> 3 months - 1 year	More than 1 year	Non-interest bearing	Total
Financial assets							
Current accounts with Bank Indonesia	74,991,659	-	-	-	-	17,626,046	92,617,705
Current accounts with other banks - net	5,614,353	-	-	-	-	-	5,614,353
Placements with Bank Indonesia and other banks - net	-	-	4,540,789	660,872	-	-	5,201,661
Acceptance receivables - net	-	-	-	-	-	14,659,624	14,659,624
Bills receivable - net	-	-	6,399,357	3,983,705	462	-	10,383,524
Securities purchased under agreements to resell - net	-	-	36,683,658	56,412,495	-	-	93,096,153
Loans receivable - net	502,104,955	25,877,534	2,721,474	15,760,539	212,423,337	-	758,887,839
Consumer financing receivables - net	-	-	1,112,422	3,141,838	4,459,190	-	8,713,450
Finance lease receivables - net	-	-	47,166	58,135	33,706	-	139,007
Assets related to sharia transactions - *murabahah* receivables - net	-	-	1,242,532	400,519	-	-	1,643,051
Investment securities - net	12,549,549	-	14,675,206	70,046,022	214,330,855	451,992	312,053,624
Other assets	-	-	75,473	182,595	-	14,692,562	14,950,630
Total	**595,260,516**	**25,877,534**	**67,498,077**	**150,646,720**	**431,247,550**	**47,430,224**	**1,317,960,621**
Financial liabilities							
Deposits from customers	(880,501,905)	-	(204,436,627)	(5,828,275)	-	-	(1,090,766,807)
Sharia deposits	-	-	-	-	-	(3,201,970)	(3,201,970)
Deposits from other banks	(10,025,963)	-	(44,857)	-	-	-	(10,070,820)
Acceptance payables	-	-	-	-	-	(6,701,256)	(6,701,256)
Securities sold under agreements to resell - net	-	-	(1,054,780)	-	-	-	(1,054,780)
Borrowings	-	-	(299,807)	(1,043,798)	(286,021)	-	(1,629,626)
Estimated losses from commitments and contingencies	-	-	-	-	-	(3,371,674)	(3,371,674)
Other liabilities	-	-	-	-	-	(6,673,819)	(6,673,819)
Subordinated bonds	-	-	-	-	(500,000)	-	(500,000)
Total	**(890,527,868)**	**-**	**(205,836,071)**	**(6,872,073)**	**(786,021)**	**(19,948,719)**	**(1,123,970,752)**
Interest rate re-pricing gap	**(295,267,352)**	**25,877,534**	**(138,337,994)**	**143,774,647**	**430,461,529**	**27,481,505**	**193,989,869**

42. FINANCIAL RISK MANAGEMENT (continued)

e. Market risk management (continued)

ii. Interest rate risk (continued)

Interest Rate Risk in the Trading Book (continued)

The table below summarises the Group financial assets and liabilities (not measured at fair value through profit or loss) at carrying amounts, categorised by the earlier of contractual re-pricing or maturity dates: (continued)

	2022						
	Floating interest rate		Fixed interest rate				
	Up to 3 months	> 3 months - 1 year	Up to 3 months	> 3 months - 1 year	More than 1 year	Non-interest bearing	Total
Financial assets							
Current accounts with Bank Indonesia	69,343,654	-	-	-	-	34,766,641	104,110,295
Current accounts with other banks - net	4,751,916	-	-	-	-	-	4,751,916
Placements with Bank Indonesia and other banks - net	-	-	30,425,244	951,908	-	-	31,377,152
Acceptance receivables - net	1,696,324	3,196,333	-	-	-	10,306,984	15,199,641
Bills receivable - net	-	-	4,110,201	1,785,706	-	-	5,895,907
Securities purchased under agreements to resell - net	-	-	107,229,297	46,735,815	-	-	153,965,112
Loans receivable - net	454,873,760	24,059,343	2,486,947	9,035,869	170,533,085	-	660,989,004
Consumer financing receivables - net	-	-	1,015,177	3,054,849	4,145,401	-	8,215,427
Finance lease receivables - net	-	-	43,730	48,318	29,668	-	121,716
Assets related to sharia transactions - *murabahah* receivables - net	-	-	1,047,833	283,384	-	-	1,331,217
Investment securities - net	7,118,581	-	4,073,713	32,582,434	204,679,821	440,617	248,895,166
Other assets	-	-	52,267	-	7,640	10,730,475	10,790,382
Total	**537,784,235**	**27,255,676**	**150,484,409**	**94,478,283**	**379,395,615**	**56,244,717**	**1,245,642,935**
Financial liabilities							
Deposits from customers	(844,316,203)	-	(175,723,478)	(10,412,102)	-	-	(1,030,451,783)
Sharia deposits	-	-	-	-	-	(2,825,860)	(2,825,860)
Deposits from other banks	(7,887,888)	-	(48,318)	-	-	-	(7,936,206)
Acceptance payables	-	-	-	-	-	(9,666,648)	(9,666,648)
Securities sold under agreements to resell - net	-	-	(255,962)	-	-	-	(255,962)
Borrowings	-	-	(523,451)	(583,591)	(209,909)	-	(1,316,951)
Estimated losses from commitments and contingencies	-	-	-	-	-	(3,438,349)	(3,438,349)
Other liabilities	-	-	-	-	-	(3,359,660)	(3,359,660)
Subordinated bonds	-	-	-	-	(500,000)	-	(500,000)
Total	**(852,204,091)**	-	**(176,551,209)**	**(10,995,693)**	**(709,909)**	**(19,290,517)**	**(1,059,751,419)**
Interest rate re-pricing gap	**(314,419,856)**	**27,255,676**	**(26,066,800)**	**83,482,590**	**378,685,706**	**36,954,200**	**185,891,516**

Fundamental reforms to benchmark interest rates are being carried out globally, including the replacement of some Interbank Offered Rates (“IBORs”) with alternative interest rates (referred to as the 'IBOR reform'). The Group does not have significant exposure to IBOR on its financial instruments that will be reformed as part of this broad market initiative.

The Bank had already done all of the interest benchmark rate reform for the impacted contracts. The alternative interest rate benchmark selected by the Bank is Secured Overnight Financing Rate (“SOFR”). The Bank use spot approach to calculate adjustment from USD LIBOR to SOFR. Interest rate benchmark reform is assessed as direct consequence and economically equivalent.

42. FINANCIAL RISK MANAGEMENT (continued)

e. Market risk management (continued)

ii. Interest rate risk (continued)

The main risk facing the Group as a result of the IBOR reform is operational, e.g. renegotiation of loan contracts through bilateral negotiations with customers, renewal of contract terms, renewal of the system using the IBOR curve and revision of operational controls related to the reforms. The rate convention that will be used will take into account the characteristics of the product, both derivative and non-derivative assets, as well as see input and recommendations from representatives of financial associations and working groups in force, in order to be able to provide accurate prices and mitigate risks arising from interest rate risk.

f. Operational risk management

The Bank has an Operational Risk Management Policy, which is a basic guideline for implementing operational risk management in all bank work units in general. To manage operational risk arising from the use of information technology, the Bank has a Basic Risk Management Policy on the Use of Information Technology, Information Technology Implementation, Information Security Policy and Cyber Security Risk Management Policy. These policies are reviewed regularly and aligned with the provisions issued by the regulators.

To maintain the security and convenience of customers in making transactions using digital products, the bank implements security and mitigation of risks that arise in every implementation and development of these products. Each new product/activity development plan will first go through a risk management process in order to minimise the risks that may arise from these products/activities therefore they do not significantly affect the Bank's risk profile. This is regulated through:

1. Product/Activity Publishing Policy and Provision of Information Technology Systems and Their Supports,
2. Assessment Policy for Increasing Bank Product Development Risk Exposure.

Furthermore, the Bank has qualified infrastructure to support implementation of operational risk management, named Operational Risk Management Information System (“ORMIS”), which consists of three modules. The modules are Risk and Control Self Assessment (“RCSA”), Loss Event Database (“LED”), and Key Risk Indicator (“KRI”). This web-based application can be used by all working units to help them in managing operational risk. In order to make implementation of operational risk management more effective and efficient, the bank continuously enhance the ORMIS in accordance with the latest bank operational activities.

Risk and Control Self Assessment (“RCSA”)

RCSA aims to improve the awareness culture in managing operational risk to improve risk control of each employee in conducting their daily activities so it can minimise operational risk loss.

RCSA is conducted regularly in all working units (branches and head office) at least once a year.

The Bank regularly reviews and revalidates operational risk that may occur in working unit and also assess impact and likelihood grading that is used for RCSA so that the assessment of operational risk can provide more precise overview of activities and risk profiles of each working unit and bankwide.

42. FINANCIAL RISK MANAGEMENT (continued)

f. Operational risk management (continued)

Loss Event Database ("LED")

LED is used to gather operational risk loss data from all working units. The data is then used by the Bank as a database to calculate operational risk capital reserves using a standard approach. On the other hand, LED data is used to analyse and monitor operational risk events to take action immediately and minimise loss.

To obtain quality data, in recording operational loss events the Bank has internal policy that regulates input of loss data which refers to qualitative requirements as regulated in circular letter of OJK about RWA No. 6/SEOJK.03/2020 concerning Calculation of Risk Weighted of Assets Considering Operational Risk using a standard approach for commercial banks, and also has dual control mechanism in an application that has role for data entry and approver, moreover the Bank always conducts an independent review of operational risk loss data comprehensively to maintain the validity of data which are provided by working units.

Key Risk Indicator ("KRI")

KRI can provide an early warning sign of increasing operational risk in a working unit. Whenever there is an increase in risk, the system will send a notification to Risk Manager, so they can immediately take necessary actions to minimise operational risk that may occur.

The Bank regularly reviews and revalidates KRI parameters and thresholds to ensure KRI effectiveness in providing early warning signs of increased operational risk in working units.

The Bank presents implementation of operational risk management to working units and conducts Risk Awareness Program to embed and enhance the awareness culture in managing operational risk in working units including risk awareness of information technology and system security.

To mitigate the impact of disruption/collapse that caused by technology, disease, or natural disaster in the Bank's business operation in particular service to customers, Bank already has Business Continuity Management ("BCM"). In addition, Bank has a Business Continuity Plan ("BCP") to support the Bank in making preparation against the disruption and doing a recovery process, that covers a crisis management plan, crisis communication, and conduct outreach on a routine basis about BCP awareness and testing of BCP including simulation of cyber incident.

The Bank also has a Disaster Recovery Center which is connected and have similar data with 2 Primary Data Centers, Secondary Operation Center, Secondary Work Place, and also Command and Crisis Center.

Risk management related to Cybersecurity

Along with the current rapid development of information technology ("IT"), Banks are required to carry out digital transformation, utilise IT to increase efficiency in Bank operations, and provide better services to customers. The Bank always innovates and develops secure and convenient digital banking products as well as changes to more efficient internal processes. On the other hand, the use of this technology also increases risks including system disruption, cyber-attacks, data leaks, and social engineering. To mitigate the risks, Bank implements IT and cyber security risk management in accordance to bank's strategy and regulatory guidance.

42. FINANCIAL RISK MANAGEMENT (continued)

f. Operational risk management (continued)

Risk management related to Cybersecurity (continued)

In strengthening regulations related to the implementation of cyber security and resilience, the Bank strengthens and implements them through 3 aspects, namely People, Process and Technology. The Bank is supported by a comprehensive organizational structure, where there is an IT Security Group (ISG), Cyber Security Risk Management (CSM) and Information Technology Audit as an integral part of the three lines of defense concept for risks related to cyber security. In addition, the Bank also has policies and procedures for cyber security risk management, cyber, as well as policies and procedures related to IT Security that refer to international standards.

The bank currently also has a Security Monitoring Center ("SMC") in the ISG team which operates 24 hours a day to monitor any potential system disruptions or potential cyber attacks that could have implications and disrupt services to customers. In the cyber resilience process, the Bank has also used layered defense by guarding against every potential cyber attack point, such as using firewalls, encryption, antivirus, anti-DDOS, or other monitoring tools.

In implementing IT risk management and related cyber security, the Bank also has other related provisions/procedures such as Risk Management Policy in the Implementation of Information Technology, Consumer Protection, Business Continuity Plan, Data Loss Prevention, and User ID and password management.

The Bank also conducts socialization and education to employees, customers and third parties. Continuously provide relevant material, such as awareness regarding social engineering, phishing emails and the dangers of malware. It is conducted to increase awareness to cybersecurity for internal and external parties. The socialization for internal parties are done through several methods such as, mandatory e-learning for employees, video learning which is shown in supporting media such as, Internal TV and BCA social media (i.e., Instagram, youtube, tiktok), and several direct socialization to working unit. Meanwhile, socialization and education to customers is conducted to increase customer awareness in conducting digital banking transactions, including through the BCA website, BCA social media accounts, and videos from the Solusi BCA account on www.youtube.com.

g. Consolidated risk management

In accordance with Financial Services Authority Regulation ("POJK") No. 38/POJK.03/2017 dated 12 July 2017 regarding the Implementation of Consolidated Risk Management for Banks with Control over Subsidiaries, the Bank is required to implement consolidated risk management.

Implementation of consolidated risk management in the Bank is performed based on the above-mentioned Financial Services Authority regulation, including:

- Active supervision of Board of Commissioners and Board of Directors;
- Adequate policies and procedures and setting limits;
- Adequacy of the process of identification, measurement, monitoring and risk control, as well as risk management information system; and
- A comprehensive internal control system.

42. FINANCIAL RISK MANAGEMENT (continued)

g. Consolidated risk management (continued)

By referring to the concept for implementation of consolidated risk management, the implementation of risk management framework in Subsidiaries has been indirectly monitored and examined by the Bank's management.

In accordance with Financial Services Authority Regulation ("POJK") No. 17/POJK.03/2014 dated 19 November 2014 regarding the Implementation of Integrated Risk Management for Financial Conglomeration, a financial conglomeration should implement a comprehensive and effective integrated risk management, in this case the Bank as the Main Entity is obliged to integrate the implementation of risk management within the financial conglomeration.

Referring to the implementation of integrated risk management concept, implementation of tasks and responsibilities of Integrated Risk Management Working Unit is one of the functions of the existing Risk Management Working Unit. In performing their duties, Integrated Risk Management Working Unit coordinates with working units that conduct Risk Management function on the respective Financial Service Institution ("LJK") in Subsidiaries financial conglomeration.

In addition to implement risk management in accordance with the regulations of their respective regulators, Subsidiaries have also implemented risk management in line with the implementation of risk management in the Main Entity. The purpose of implementing risk management in Subsidiaries is to provide added value and increase the competitiveness of companies, considering this is one of the fulfilments of the Bank's compliance with regulations and international standard practices.

In order to implement of integrated risk management effectively, the Bank also has an Accounting Information System and Risk Management System that can identify, measure and monitor the business risks of the financial conglomeration.

The Bank as the Main Entity has:

1. Formed Integrated Risk Management Committee ("KMRT") with the aim of ensuring that the risk management framework has provided adequate protection to all Bank's and Subsidiaries' risks in integrated manner;
2. Compiled Basic Policy of Integrated Risk Management ("KDMRT");
3. Compiled several policies related to the implementation of Integrated Risk Management, including policies governing integrated capital, intra-group transactions, Integrated Risk Profile Reports and others; and
4. Submitted to OJK:
   a. Reports regarding the Main Entity and LJK included as members of the financial conglomeration to the OJK.
   b. Integrated Risk Profile Report.
   c. Integrated Capital Sufficiency Report.
   d. Report on Changes in Members of the Financial Conglomerate.

In addition, the financial conglomerate has performed an integrated Stress Test to ensure that capital and liquidity at the level of each entity and in an integrated manner are still adequate in dealing with the worst scenario (stress).

43. MATURITY GAP OF FINANCIAL ASSETS AND LIABILITIES

The following table summarises the maturity gap profile of the Group financial assets and liabilities based on the remaining period until the contractual maturity date as of 31 December 2023 and 2022:

	2023						
	Up to 1 month	> 1 - 3 months	> 3 months - 1 years	> 1 - 5 years	More than 5 years	No contractual maturity	Total
Financial assets							
Cash	-	-	-	-	-	21,701,514	21,701,514
Current accounts with Bank Indonesia	-	-	-	-	-	92,617,705	92,617,705
Current accounts with other banks - net	5,614,353	-	-	-	-	-	5,614,353
Placement with Bank Indonesia and other banks - net	4,124,893	415,934	660,834	-	-	-	5,201,661
Financial assets at fair value through profit or loss	3,356,225	821,811	9,533,881	95,312	946,388	305,043	15,058,660
Acceptance receivables - net	3,791,875	6,195,679	4,536,673	135,397	-	-	14,659,624
Bills receivable - net	2,133,856	4,292,167	3,957,042	459	-	-	10,383,524
Securities purchased under agreements to resell - net	18,710,499	17,974,157	56,411,497	-	-	-	93,096,153
Loans receivable	42,228,343	60,251,604	202,500,248	255,215,141	232,001,378	-	792,196,714
Less:							
Allowance for impairment losses							(33,308,875)
Consumer financing receivable - net	30,149	140,437	948,064	7,073,223	521,577	-	8,713,450
Finance lease receivable - net	446	1,438	19,686	117,437	-	-	139,007
Assets related to sharia transactions - *murabahah* receivables - net	399,141	843,391	400,519	-	-	-	1,643,051
Investment securities - net	3,042,215	13,769,682	70,020,559	172,429,845	52,339,330	451,993	312,053,624
Other assets - net	7,174,994	625,102	1,297,941	3,621,452	1,697,743	533,398	14,950,630
	90,606,989	**105,331,402**	**350,286,944**	**438,688,266**	**287,506,416**	**115,609,653**	**1,354,720,795**
Financial liabilities							
Deposits from customers	(1,027,524,306)	(57,161,198)	(6,081,303)	-	-	-	(1,090,766,807)
Sharia deposits	(3,201,970)	-	-	-	-	-	(3,201,970)
Deposits from other banks	(10,066,688)	(4,132)	-	-	-	-	(10,070,820)
Financial liabilities at fair value through profit or loss	(46,758)	(68,245)	(7,762)	-	-	-	(122,765)
Securities sold under agreement to repurchase	(1,054,780)	-	-	-	-	-	(1,054,780)
Acceptance payables	(2,107,358)	(3,462,693)	(991,754)	(139,451)	-	-	(6,701,256)
Borrowings	(125,158)	(174,649)	(1,043,798)	(286,021)	-	-	(1,629,626)
Estimated losses from commitments and contingencies	(282,315)	(564,629)	(1,781,710)	(708,138)	(34,882)	-	(3,371,674)
Other liabilities	(6,425,625)	(27,643)	(7,110)	(157,943)	(55,498)	-	(6,673,819)
Subordinated bonds	-	-	-	(435,000)	(65,000)	-	(500,000)
	(1,050,834,958)	**(61,463,189)**	**(9,913,437)**	**(1,726,553)**	**(155,380)**	**-**	**(1,124,093,517)**
Net position	**(960,227,969)**	**43,868,213**	**340,373,507**	**436,961,713**	**287,351,036**	**115,609,653**	**230,627,278**

	2022						
	Up to 1 month	> 1 - 3 months	> 3 months - 1 years	> 1 - 5 years	More than 5 years	No contractual maturity	Total
Financial assets							
Cash	-	-	-	-	-	21,359,509	21,359,509
Current accounts with Bank Indonesia	-	-	-	-	-	104,110,295	104,110,295
Current accounts with other banks - net	4,751,916	-	-	-	-	-	4,751,916
Placement with Bank Indonesia and other banks - net	26,224,179	4,202,546	950,427	-	-	-	31,377,152
Financial assets at fair value through profit or loss	275,328	24,018	68,027	646,032	821,230	398,494	2,233,129
Acceptance receivables - net	3,942,594	5,882,431	5,305,922	68,694	-	-	15,199,641
Bills receivable - net	1,986,356	2,160,491	1,749,060	-	-	-	5,895,907
Securities purchased under agreements to resell - net	52,818,401	54,410,896	46,735,815	-	-	-	153,965,112
Loans receivable	46,712,542	55,140,909	171,137,570	227,708,666	194,236,835	-	694,936,522
Less:							
Allowance for impairment losses							(33,947,518)
Consumer financing receivable - net	154,612	257,901	1,256,442	6,253,978	292,494	-	8,215,427
Finance lease receivable - net	504	999	16,069	104,144	-	-	121,716
Assets related to sharia transactions - *murabahah* receivables - net	205,171	842,662	283,384	-	-	-	1,331,217
Investment securities - net	8,869,285	2,431,045	32,569,952	166,552,212	38,032,055	440,617	248,895,166
Other assets - net	4,269,976	278,588	1,212,722	3,278,551	1,440,044	310,501	10,790,382
	150,210,864	**125,632,486**	**261,285,390**	**404,612,277**	**234,822,658**	**126,619,416**	**1,269,235,573**

43. MATURITY GAP OF FINANCIAL ASSETS AND LIABILITIES (continued)

The following table summarises the maturity gap profile of the Group financial assets and liabilities based on the remaining period until the contractual maturity date as of 31 December 2023 and 2022: (continued)

	2022 (continued)						
	Up to 1 month	**> 1 - 3 months**	**> 3 months - 1 years**	**> 1 - 5 years**	**More than 5 years**	**No contractual maturity**	**Total**
Financial liabilities							
Deposits from customers	(993,355,621)	(26,458,718)	(10,637,444)	-	-	-	(1,030,451,783)
Sharia deposits	(2,825,860)	-	-	-	-	-	(2,825,860)
Deposits from other banks	(7,934,074)	(2,132)	-	-	-	-	(7,936,206)
Financial liabilities at fair value through profit or loss	(117,624)	(23,581)	(242,068)	-	-	-	(383,273)
Securities sold under agreement to repurchase	(255,962)	-	-	-	-	-	(255,962)
Acceptance payables	(3,428,602)	(4,063,071)	(2,104,172)	(70,803)	-	-	(9,666,648)
Borrowings	(270,115)	(258,260)	(578,667)	(209,909)	-	-	(1,316,951)
Estimated losses from commitments and contingencies	(283,694)	(599,050)	(1,843,673)	(678,573)	(33,359)	-	(3,438,349)
Other liabilities	(3,029,460)	(25,801)	(64,005)	(183,778)	(56,616)	-	(3,359,660)
Subordinated bonds	-	-	-	(435,000)	(65,000)	-	(500,000)
	(1,011,501,012)	**(31,430,613)**	**(15,470,029)**	**(1,578,063)**	**(154,975)**	**-**	**(1,060,134,692)**
Net position	**(861,290,148)**	**94,201,873**	**245,815,361**	**403,034,214**	**234,667,683**	**126,619,416**	**209,100,881**

44. NET OPEN POSITION

The Bank's net foreign exchange positions (Net Open Position or "NOP") as of 31 December 2023 and 2022 were calculated based on prevailing Bank Indonesia Regulations. Based on those regulations, banks are required to maintain the NOP (including all domestic and overseas branches) at the maximum of 20% (twenty percent) of capital.

The aggregate NOP represents the sum of the absolute values of (i) the net difference between assets and liabilities denominated in each foreign currency and (ii) the net difference of receivables and liabilities of both commitments and contingencies recorded in the administrative account (administrative account transactions) denominated in each foreign currency, which are all stated in Rupiah. The NOP for statement of financial position represents the sum of the net differences of assets and liabilities on the statements of financial position for each foreign currency, which are all stated in Rupiah.

The Bank's NOP as of 31 December 2023 and 2022 were as follows:

	2023		
	NOP for statement of financial position (net difference between assets and liabilities)	**Net difference between receivables and liabilities in administrative accounts**	**Overall NOP (absolute amount)**
USD	6,789,863	(6,962,722)	172,859
SGD	(2,178,903)	2,197,588	18,685
CNY	101,620	(86,350)	15,270
MYR	(1,526)	7,692	6,166
CHF	21,690	(15,945)	5,745
JPY	25,973	(22,066)	3,907
SEK	3,318	-	3,318
EUR	1,367,157	(1,369,468)	2,311
HKD	9,425	(7,698)	1,727

44. NET OPEN POSITION (continued)

The Bank's NOP as of 31 December 2023 and 2022 were as follows: (continued)

	2023 (continued)		
	NOP for statement of financial position (net difference between assets and liabilities)	**Net difference between receivables and liabilities in administrative accounts**	**Overall NOP (absolute amount)**
CAD	16,874	(15,340)	1,534
AUD	(384,371)	383,100	1,271
GBP	2,595	(1,472)	1,123
DKK	7,125	(6,245)	880
SAR	14,539	(15,401)	862
NZD	9,171	(9,765)	594
THB	(197)	-	197
Others	2,065	-	2,065
Total			**238,514**
Total capital (Note 45)			**226,426,139**
Percentage of NOP to capital			0.11%

	2022		
	NOP for statement of financial position (net difference between assets and liabilities)	**Net difference between receivables and liabilities in administrative accounts**	**Overall NOP (absolute amount)**
USD	8,202,912	(7,993,621)	209,291
CNY	(214,884)	205,783	9,101
SGD	(842,903)	836,169	6,734
HKD	25,220	(18,677)	6,543
MYR	4,733	-	4,733
CHF	19,580	(15,557)	4,023
DKK	5,279	(1,559)	3,720
JPY	37,704	(35,743)	1,961
EUR	832,763	(834,119)	1,356
THB	1,243	-	1,243
AUD	(16,106)	14,965	1,141
CAD	13,251	(14,008)	757
NZD	8,546	(7,881)	665
GBP	56,892	(57,485)	593
SEK	1,903	(1,529)	374
SAR	15,308	(15,595)	287
Others	2,296	-	2,296
Total			**254,818**
Total capital (Note 45)			**204,705,741**
Percentage of NOP to capital			0.12%

45. CAPITAL MANAGEMENT

The primary objective of the Bank's capital management policy is to ensure that the Bank has a strong capital to support the Bank's current business expansion strategy and to sustain future development of the business, to meet regulatory capital adequacy requirements and also to ensure the efficiency of the Bank's capital structure.

45. CAPITAL MANAGEMENT (continued)

The Bank prepares the Capital Plan based on assessment of and review over the capital situation in terms of the legal capital adequacy requirement, combined with current economic outlook assessment and the result of stress testing method. The Bank will continue to link financial goals and capital adequacy to risk appetite through the capital planning process and stress testing and assess the businesses based on Bank's capital and liquidity requirements.

The Bank's capital needs are also planned and discussed on a routine basis, supported by data analysis.

The Capital Plan is prepared by the Board of Directors as part of the Bank's Business Plan and approved by the Board of Commissioners. This plan is expected to ensure an adequate level of capital and optimum capital structure.

Based on BI Regulation No. 8/6/PBI/2006 dated 30 January 2006 and BI Circular Letter No. 8/27/DPNP dated 27 November 2006 requires all banks to meet Capital Adequacy Ratio ("CAR") requirements for the bank on an individual and consolidated basis. The calculation of minimum CAR on consolidated basis is performed by calculating capital and Risk-Weighted Assets ("RWAs") based on risks from consolidated financial statements as provided in the prevailing Bank Indonesia Regulations.

BI Circular Letter No. 11/3/DPNP dated 27 January 2009 requires all banks in Indonesia with certain qualification to take into account operational risk in the CAR calculation.

The Bank is required to provide minimum capital according to the risk profile on December 31, 2023 and 2022 in accordance with Financial Services Authority Regulation No. 27 Year 2022 dated 26 December 2022 concerning the Second Amendment to Financial Services Authority Regulation No. 11/POJK.03/2016 concerning Minimum Capital Adequacy Requirements for Commercial Banks, Financial Services Authority Regulation No. 34/POJK.03/2016 dated 22 September 2016 concerning Amendments to Financial Services Authority Regulation No. 11/POJK.03/2016 concerning Minimum Capital Adequacy Requirements for Commercial Banks, and Financial Services Authority Regulation No. 11/POJK.03/2016 dated 29 January 2016 concerning Minimum Capital Adequacy Requirement for Commercial Banks.

The Bank calculates its capital requirements based on the prevailing OJK Regulations, where the regulatory capital consisted of two tiers:

- Core Capital (Tier 1), which includes:
  1. Common Equity (CET 1), which includes issued and fully paid-up capital (after deduction of treasury stock), additional paid-up capital, allowable non-controlling interest and deductions from Common Equity.
  2. Additional Core Capital.

- Supplementary Capital (Tier 2), which includes capital instrument in form of shares or other allowable instruments, agio or disagio from supplementary capital issuance, required general allowance for productive assets (maximum of 1.25% RWAs credit risk), and deductions from tier 2 capital.

The CAR as of 31 December 2023 and 2022, calculated in accordance with the prevailing regulations, taking into account the credit risk, market risk and operational risk, were as follows:

	2023		2022	
	Bank	**Consolidated**	**Bank**	**Consolidated**
Core Capital (Tier 1)	217,686,126	233,701,580	196,799,387	212,445,689
Supplementary Capital (Tier 2)	8,740,013	8,992,596	7,906,354	8,122,873
Total Capital	**226,426,139**	**242,694,176**	**204,705,741**	**220,568,562**

45. CAPITAL MANAGEMENT (continued)

The CAR as of 31 December 2023 and 2022, calculated in accordance with the prevailing regulations, taking into account the credit risk, market risk and operational risk, were as follows: (continued)

	2023 (continued)		2022 (continued)	
	Bank	Consolidated	Bank	Consolidated
Risk-Weighted Assets (RWAs)				
RWAs Considering Credit Risk	719,410,464	744,418,973	662,592,385	682,589,085
RWAs Considering Market Risk	1,465,254	3,074,120	858,740	2,058,698
RWAs Considering Operational Risk	48,325,210	78,117,459	130,944,329	137,075,529
Total RWAs	**769,200,928**	**825,610,552**	**794,395,454**	**821,723,312**
Minimum Capital Requirement based on risk profile	**9.99%**	**9.99%**	**9.99%**	**9.99%**
CAR ratio				
CET 1 ratio	28.30%	28.31%	24.77%	25.85%
Tier 1 ratio	28.30%	28.31%	24.77%	25.85%
Tier 2 ratio	1.14%	1.09%	1.00%	0.99%
CAR ratio	**29.44%**	**29.40%**	**25.77%**	**26.84%**
CET 1 for Buffer	**19.45%**	**19.41%**	**15.78%**	**16.85%**
Regulatory Minimum Capital Requirement Allocation based on risk profile				
From CET 1	8.85%	8.90%	8.99%	9.00%
From AT 1	0.00%	0.00%	0.00%	0.00%
From Tier 2	1.14%	1.09%	1.00%	0.99%
Regulatory Buffer percentage required by Bank				
Capital Conservation Buffer	2.500%	2.500%	2.500%	2.500%
Countercyclical Buffer	0.000%	0.000%	0.000%	0.000%
Capital Surcharge for Systemic Bank	2.500%	2.500%	2.500%	2.500%

46. NON-CONTROLLING INTEREST

The movement of non-controlling interest in net assets of Subsidiaries was as follows:

	2023	2022
Balance, beginning of year	163,049	136,172
Increase of non-controlling interest from paid-in capital of Subsidiary during the year	-	7,500
Non-controlling interest portion of Subsidiaries net profit during the year	18,973	19,850
Increase of non-controlling interest from other comprehensive income of Subsidiaries during the year	(685)	(473)
Balance, end of year	**181,337**	**163,049**

47. TRANSACTIONS AND BALANCES WITH RELATED PARTIES

Related parties	Nature of relationship	Nature of transaction
PT Dwimuria Investama Andalan	Shareholder	Deposits from customers
Dana Pensiun BCA	Employer pension fund	Pension fund contribution, deposits from customers
Dwi Cermat PTE LTD	Owned by the same ultimate shareholder	Deposits from customers
Konsorsium Iforte HTS	Owned by the same ultimate shareholder	Deposits from customers
PT Abadi Tambah Mulia Internasional	Owned by the same ultimate shareholder	Deposits from customers
PT Adiwisesa Mandiri Building Product Indonesia	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Agregasi Cermat Indonesia	Owned by the same ultimate shareholder	Deposits from customers
PT Akar Inti Data	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Akar Inti Investama	Owned by the same ultimate shareholder	Deposits from customers
PT Akar Inti Solusi	Owned by the same ultimate shareholder	Deposits from customers
PT Akar Inti Teknologi	Owned by the same ultimate shareholder	Deposits from customers
PT Alpha Merah Kreasi	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Altius Bahari Indonesia	Owned by the same ultimate shareholder	Deposits from customers
PT Alto Halodigital International	Owned by the same ultimate shareholder	Deposits from customers
PT Alto Network	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Andil Bangunsekawan	Owned by the same ultimate shareholder	Deposits from customers
PT Angkasa Komunikasi Global Utama	Owned by the same ultimate shareholder	Deposits from customers
PT Ardijaya Karya Appliances Product Manufacturing	Owned by the same ultimate shareholder	Deposits from customers
PT Arta Karya Adhiguna	Owned by the same ultimate shareholder	Deposits from customers
PT Arta Cipta Niaga	Owned by the same ultimate shareholder	Deposits from customers
PT Artha Dana Teknologi	Owned by the same ultimate shareholder	Deposits from customers
PT Artha Investa Teknologi	Owned by the same ultimate shareholder	Deposits from customers
PT Artha Mandiri Investama	Owned by the same ultimate shareholder	Deposits from customers
PT Astama Loka Indonesia	Owned by the same ultimate shareholder	Deposits from customers
PT Bahtera Maju Selaras	Owned by the same ultimate shareholder	Deposits from customers
PT Bangun Media Indonesia	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Bangun Mustika Pratama	Owned by the same ultimate shareholder	Deposits from customers
PT Bhumi Mahardika Jaya	Owned by the same ultimate shareholder	Deposits from customers

47. TRANSACTIONS AND BALANCES WITH RELATED PARTIES (continued)

Related parties	Nature of relationship	Nature of transaction
PT Bit Teknologi Nusantara	Owned by the same ultimate shareholder	Deposits from customers
PT Borneo Minera Utama	Owned by the same ultimate shareholder	Deposits from customers
PT Broadband Wahana Asia	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Bukit Muria Jaya	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Bukit Muria Jaya Estate	Owned by the same ultimate shareholder	Deposits from customers
PT Caturguwiratna Sumapala	Owned by the same ultimate shareholder	Deposits from customers
PT Cipta Karya Bumi Indah	Owned by the same ultimate shareholder	Deposits from customers
PT Cipta Teknologi Cerdas	Owned by the same ultimate shareholder	Deposits from customers
PT Ciptakreasi Buana Persada	Owned by the same ultimate shareholder	Deposits from customers
PT Citra Teknologi Pintar	Owned by the same ultimate shareholder	Deposits from customers
PT Darta Media Indonesia	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Dasakreasi Anekacipta	Owned by the same ultimate shareholder	Deposits from customers
PT Digital Data Teknologi Terdepan	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Digital Otomotif Indonesia	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Digital Startup Nusantara	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Digital Tangguh Nusantara	Owned by the same ultimate shareholder	Deposits from customers
PT Djarum	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Djelas Tandatangan Bersama	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Dwi Cermat Indonesia	Owned by the same ultimate shareholder	Deposits from customers
PT Dwi Putri Selaras	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Dynamo Media Network	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Ecogreen Oleochemicals	Owned by the same ultimate shareholder	Loans receivable, deposits from customers, letter of credit, bank guarantee issued to customers
PT Energi Batu Hitam	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Eragraha Pirantimegah	Owned by the same ultimate shareholder	Deposits from customers
PT Fajar Surya Perkasa	Owned by the same ultimate shareholder	Deposits from customers
PT Farindo Investama Indonesia	Owned by the same ultimate shareholder	Deposits from customers
PT Fira Makmur Sejahtera	Owned by the same ultimate shareholder	Deposits from customers

47. TRANSACTIONS AND BALANCES WITH RELATED PARTIES (continued)

Related parties	Nature of relationship	Nature of transaction
PT Fokus Solusi Proteksi	Owned by the same ultimate shareholder	Deposits from customers
PT Futami Food & Beverages	Owned by the same ultimate shareholder	Deposits from customers
PT Gajah Merah Terbang	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT General Buditekindo	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Global Astha Niaga	Owned by the same ultimate shareholder	Deposits from customers
PT Global Dairi Alami	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Global Danapati Niaga	Owned by the same ultimate shareholder	Deposits from customers
PT Global Digital Niaga Tbk	Owned by the same ultimate shareholder	Loans receivable, deposits from customers, bank guarantee issued to customers
PT Global Digital Prima	Owned by the same ultimate shareholder	Deposits from customers
PT Global Digital Ritelindo	Owned by the same ultimate shareholder	Deposits from customers
PT Global Distribusi Nusantara	Owned by the same ultimate shareholder	Deposits from customers
PT Global Distribusi Paket	Owned by the same ultimate shareholder	Deposits from customers
PT Global Distribusi Pusaka	Owned by the same ultimate shareholder	Loans receivable, deposits from customers, bank guarantee issued to customers
PT Global Fortuna Nusantara	Owned by the same ultimate shareholder	Deposits from customers
PT Global Indonesia Komunikatama	Owned by the same ultimate shareholder	Deposits from customers
PT Global Infrastruktur Indonesia	Owned by the same ultimate shareholder	Deposits from customers
PT Global Investama Andalan	Owned by the same ultimate shareholder	Deposits from customers
PT Global Kassa Sejahtera	Owned by the same ultimate shareholder	Deposits from customers
PT Global Media Visual	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Global Poin Indonesia	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Global Teknologi Niaga	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Global Telekomunikasi Prima	Owned by the same ultimate shareholder	Deposits from customers
PT Global Tiket Network	Owned by the same ultimate shareholder	Loans receivable, deposits from customers, bank guarantee issued to customers
PT Global Visi Media	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Global Visitama Indonesia	Owned by the same ultimate shareholder	Deposits from customers
PT Globalnet Aplikasi Indotravel	Owned by the same ultimate shareholder	Deposits from customers
PT Globalnet Sejahtera	Owned by the same ultimate shareholder	Deposits from customers

47. TRANSACTIONS AND BALANCES WITH RELATED PARTIES (continued)

Related parties	Nature of relationship	Nature of transaction
PT Gonusa Prima Distribusi	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Graha Padma Internusa	Owned by the same ultimate shareholder	Deposits from customers
PT Grand Indonesia	Owned by the same ultimate shareholder	Loans receivable, deposits from customers, bank guarantee issued to customers, office rental transactions
PT Grand Teknologi Indonesia	Owned by the same ultimate shareholder	Deposits from customers
PT Griya Karya Mandiri	Owned by the same ultimate shareholder	Deposits from customers
PT Griya Muria Kencana	Owned by the same ultimate shareholder	Deposits from customers
PT Griya Pamursita Pratama	Owned by the same ultimate shareholder	Deposits from customers
PT Halmahera Jaya Feronikel	Owned by the same ultimate shareholder	Deposits from customers
PT Hartono Istana Teknologi	Owned by the same ultimate shareholder	Loans receivable, deposits from customers, letter of credit
PT Hartono Plantation Indonesia	Owned by the same ultimate shareholder	Deposits from customers
PT Helios Energi Nusantara	Owned by the same ultimate shareholder	Deposits from customers
PT Iforte Global Internet	Owned by the same ultimate shareholder	Deposits from customers
PT Iforte Solusi Infotek	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Indah Bumi Lestari	Owned by the same ultimate shareholder	Deposits from customers
PT Indo Paramita Sarana	Owned by the same ultimate shareholder	Deposits from customers
PT Indodana Multi Finance	Owned by the same ultimate shareholder	Deposits from customers
PT Intershop Prima Center	Owned by the same ultimate shareholder	Deposits from customers
PT Istana Kencana Mulia	Owned by the same ultimate shareholder	Deposits from customers
PT Kalimusada Motor	Owned by the same ultimate shareholder	Deposits from customers
PT Karya Muria Cemerlang	Owned by the same ultimate shareholder	Deposits from customers
PT Kecerdasan Buatan Indonesia	Owned by the same ultimate shareholder	Deposits from customers
PT Kencana Muria Jaya	Owned by the same ultimate shareholder	Deposits from customers
PT Komet Infra Nusantara	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Kudos Istana Furniture	Owned by the same ultimate shareholder	Deposits from customers
PT Kumparan Kencana Electrindo	Owned by the same ultimate shareholder	Deposits from customers
PT Kurio	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Legal Tekno Digital	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Legian Paradise	Owned by the same ultimate shareholder	Deposits from customers

47. TRANSACTIONS AND BALANCES WITH RELATED PARTIES (continued)

Related parties	Nature of relationship	Nature of transaction
PT Lingkarmulia Indah	Owned by the same ultimate shareholder	Deposits from customers
PT Lintas Cipta Media	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Lunar Inovasi Teknologi	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Marga Sadhya Swasti	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Margo Hotel Development	Owned by the same ultimate shareholder	Deposits from customers
PT Margo Property Development	Owned by the same ultimate shareholder	Deposits from customers
PT Mars Multi Mandiri	Owned by the same ultimate shareholder	Deposits from customers
PT Media Digital Historia	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Merah Cipta Media	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Mitra Media Integrasi	Owned by the same ultimate shareholder	Deposits from customers
PT Momentum Global Pratama	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Multigraha Lestari	Owned by the same ultimate shareholder	Deposits from customers
PT Muria Mekar Indah	Owned by the same ultimate shareholder	Deposits from customers
PT Muria Sumba Manis	Owned by the same ultimate shareholder	Deposits from customers
PT Nagaraja Lestari	Owned by the same ultimate shareholder	Deposits from customers
PT Narasi Akal Jenaka	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Narasi Citra Sahwahita	Owned by the same ultimate shareholder	Deposits from customers
PT Nova Digital Perkasa	Owned by the same ultimate shareholder	Deposits from customers
PT Orbit Abadi Sakti	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Pradipta Mustika Cipta	Owned by the same ultimate shareholder	Deposits from customers
PT Prema Gandharva Asia	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Prima Top Boga	Owned by the same ultimate shareholder	Loans receivable, deposits from customers, bank guarantee issued to customers
PT Profesional Telekomunikasi Indonesia	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Promedia Punggawa Satu	Owned by the same ultimate shareholder	Deposits from customers
PT Promoland Indowisata	Owned by the same ultimate shareholder	Loans receivable, deposits from customers, bank guarantee issued to customers

47. TRANSACTIONS AND BALANCES WITH RELATED PARTIES (continued)

Related parties	Nature of relationship	Nature of transaction
PT Prosa Solusi Cerdas	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Puri Bumi Lestari	Owned by the same ultimate shareholder	Deposits from customers
PT Puri Dibya Property	Owned by the same ultimate shareholder	Deposits from customers
PT Puri Padma Management	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Puri Zuqni	Owned by the same ultimate shareholder	Deposits from customers
PT Quattro International	Owned by the same ultimate shareholder	Deposits from customers
PT Raharja Dipta Lestari	Owned by the same ultimate shareholder	Deposits from customers
PT Rajawali Inti Selular	Owned by the same ultimate shareholder	Deposits from customers
PT Rajawali Inti Selular	Owned by the same ultimate shareholder	Deposits from customers
PT Resinda Prima Entertama	Owned by the same ultimate shareholder	Deposits from customers
PT Sapta Adhikari Investama	Owned by the same ultimate shareholder	Deposits from customers
PT Sarana Kencana Mulya	Owned by the same ultimate shareholder	Deposits from customers, letter of credit
PT Sarana Menara Nusantara Tbk	Owned by the same ultimate shareholder	Deposits from customers
PT Savoria Adi Rasa	Owned by the same ultimate shareholder	Deposits from customers
PT Savoria Kreasi Rasa	Owned by the same ultimate shareholder	Deposits from customers, bank guarantee issued to customers
PT Seminyak Mas Propertindo	Owned by the same ultimate shareholder	Deposits from customers
PT Sentral Investama Andalan	Owned by the same ultimate shareholder	Deposits from customer
PT Sewu Nayaga Tembaya	Owned by the same ultimate shareholder	Deposits from customers
PT Sinergi Nasional Rakyat Indonesia	Owned by the same ultimate shareholder	Deposits from customers
PT Solusi Sentra Niaga	Owned by the same ultimate shareholder	Deposits from customers
PT Solusi Tunas Pratama Tbk	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Solusi Verifikasi Indonesia	Owned by the same ultimate shareholder	Deposits from customers
PT Sumber Kopi Prima	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Supra Kreatif Mandiri	Owned by the same ultimate shareholder	Deposits from customers
PT Supra Mas Mandiri	Owned by the same ultimate shareholder	Deposits from customers
PT Timur Persada Lestari	Owned by the same ultimate shareholder	Deposits from customers
PT Tira Timur Lestari	Owned by the same ultimate shareholder	Deposits from customers
PT Tricipta Mandhala Gumilang	Owned by the same ultimate shareholder	Deposits from customers

47. TRANSACTIONS AND BALANCES WITH RELATED PARTIES (continued)

Related parties	Nature of relationship	Nature of transaction
PT Trigana Putra Mandiri	Owned by the same ultimate shareholder	Deposits from customers
PT Varnion Technology Semesta	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Verifikasi Informasi Credit Indonesia	Owned by the same ultimate shareholder	Loans receivable, deposits from customers
PT Verve Persona Estetika	Owned by the same ultimate shareholder	Deposits from customers
Key management personnel	Bank's Board of Commissioners and Board of Directors	Loans receivable, deposits from customers, employee benefits
The Bank's controlling individuals and their family members	Shareholder	Loans receivable, deposits from customers

In the normal course of business, the Bank has transactions with related parties due to their common ownership and/or management. All transactions with related parties are conducted with agreed terms and conditions.

The details of significant balances and transactions with related parties that were not consolidated as of 31 December 2023 and 2022, and for the years then ended were as follows:

	2023		2022	
	Amount	Percentage to total	Amount	Percentage to total
Loans receivable*) (Note 12)	8,478,521	1.07%	9,445,463	1.36%
Right-of-use asset - net**) (Note 16)	213,815	0.80%	227,939	0.92%
Other assets***) (Note 18)	9,121	0.04%	9,216	0.06%
Deposits from customers (Note 19)	2,639,237	0.24%	2,412,327	0.23%
Unused credit facilities to customers (Note 27)	4,903,860	1.29%	2,813,955	0.88%
Letter of credit facilities to customers (Note 27)	134,261	1.19%	141,500	0.97%
Bank guarantee issued to customers (Note 27)	184,854	0.81%	441,369	2.23%
Interest and sharia income (Note 28)	505,037	0.58%	501,811	0.69%
Interest and sharia expenses (Note 29)	38,627	0.31%	34,271	0.42%
Pension plan contribution (Note 33)	431,993	85.84%	397,621	86.23%
Rental expenses (Note 34)	13,398	1.30%	13,398	1.19%

*) Before allowance for impairment losses.
**) Represent right-of-use asset to PT Grand Indonesia.
***) Represent security deposits to PT Grand Indonesia.

Compensations for key management personnel of the Bank (Note 1e) were as follows:

	2023	2022
Short-term employee benefits (including tantiem)	912,218	806,567
Long-term employee benefits	40,780	41,109
Total	**952,998**	**847,676**

Rental agreement with PT Grand Indonesia

On 11 April 2006, the Bank signed a rental agreement with PT Grand Indonesia (a related party), in which the Bank agreed to lease, on a long-term basis, the office space from PT Grand Indonesia with a total area of 28,166.88 sqm at an amount of USD 35,631,103.20, including Value Added Tax ("VAT"), with an option to lease for long-term additional space of 3,264.80 sqm at an amount of USD 4,129,972, including VAT. This rental transaction was approved by the Board of Directors and Shareholders in the Bank's Extraordinary General Meeting of Shareholders on 25 November 2005 (the minutes of meeting was drawn up by Notary Hendra Karyadi, S.H., with Deed No. 11). This rental agreement started on 1 July 2007 and will end on 30 September 2035.

As of 31 December 2023 and 2022, right-of-use asset to PT Grand Indonesia amounted to Rp 213,815 and Rp 227,939, of these amount, Rp 157,422 and Rp 170,819, respectively has been fully paid. The finance lease obligation to PT Grand Indonesia which was recorded on 31 December 2023 and 2022 were Rp 58,065 and Rp 58,593, respectively.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

48. NET PAYABLE RECONCILIATION

	2023			
	Subordinated bonds	Debt securities issued	Borrowings	Securities sold under agreements to repurchase
Net payable 31 December 2022	**500,000**	**-**	**1,316,951**	**255,962**
Cash flow:				
Payment of debt securities issued	-	-	49,928,825	-
Proceeds from borrowings	-	-	(49,607,671)	-
Payment of borrowings	-	-	-	-
Proceeds from securities sold under agreements to repurchase	-	-	-	2,332,995
Payment of securities sold under agreements to repurchase	-	-	-	(1,528,882)
Non-cash changes:				
Amortisation of deferred bonds issuance costs	-	-	-	-
Adjustment of foreign currency	-	-	(8,479)	(5,295)
Net payable 31 December 2023	**500,000**	**-**	**1,629,626**	**1,054,780**

	2022			
	Subordinated bonds	Debt securities issued	Borrowings	Securities sold under agreements to repurchase
Net payable 31 December 2021	**500,000**	**482,149**	**976,225**	**77,021**
Cash flow:				
Payment of debt securities issued	-	(483,000)	-	-
Proceeds from borrowings	-	-	23,546,543	-
Payment of borrowings	-	-	(23,237,805)	-
Proceeds from securities sold under agreements to repurchase	-	-	-	1,490,501
Payment of securities sold under agreements to repurchase	-	-	-	(1,332,322)
Non-cash changes:				
Amortisation of deferred bonds issuance costs	-	851	-	-
Adjustment of foreign currency	-	-	31,988	20,762
Net payable 31 December 2022	**500,000**	**-**	**1,316,951**	**255,962**

49. GUARANTEES ON THE OBLIGATIONS OF DOMESTIC BANKS

Based on Law No. 24 regarding Deposit Insurance Corporation ("LPS") dated 22 September 2004, effective since 22 September 2004, the LPS was established to provide guarantee on certain deposits from customers based on prevailing guarantee schemes, the amount of which is subject to change if they meet certain applicable schemes. The law was changed with the Government Regulation as the Replacement of Law No. 3 Year 2008, which was stipulated as a law since 13 January 2009 based on the Republic of Indonesia Law No. 7 Year 2009.

Based on the Government of Republic of Indonesia Regulation No. 66/2008 dated 13 October 2008 regarding the deposit amount guaranteed by LPS, as of 31 December 2023 and 2022, the deposit amount guaranteed by LPS for every customer in a bank was a maximum of Rp 2,000.

As of 31 December 2023 and 2022, the Bank was the participant of this guarantee scheme.

50. ACCOUNTING STANDARD ISSUED BUT NOT YET EFFECTIVE

Financial Accounting Standard Board of Indonesian Institute of Accountants ("DSAK-IAI") has issued the following new standards, amendments and interpretations, but not yet effective for the financial year beginning 1 January 2023 as follows:

- Amendments of SFAS 1 "Presentation of Financial Statements" regarding classification of liabilities as current or non-current;
- Amendments of SFAS 73 "Leases" regarding lease liabilities in sale-and-lease back transactions.

The above standard will be effective on 1 January 2024 and early adoption is permitted.

- Amendments of SFAS 1 "Presentation of Financial Statements" insurance contract regarding long-term liabilities with the covenant; and
- SFAS 74 "Insurance Contract"; and
- Amendments of SFAS 74 "Insurance Contracts on Initial Application of SFAS 74 and SFAS 71 – Comparative Information".

The above standard will be effective on 1 January 2025.

As at the authorisation date of these consolidated financial statements, the Group is still evaluating the potential impact from the implementation of these new standards and the effect on the Group's consolidated financial statements.

Beginning 1 January 2024, references to the individual SFAS and IFAS will be changed as published by DSAK-IAI.

51. ADDITIONAL INFORMATION

Information presented in schedule 6/1 - 6/7 are additional financial information of PT Bank Central Asia Tbk, (Parent Entity), which presented investment in Subsidiaries according to cost method and are an integral part of the consolidated financial statements of the Group.

ADDITIONAL INFORMATION
STATEMENTS OF FINANCIAL POSITION (PARENT ENTITY ONLY)
31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

	2023	2022
ASSETS		
Cash	21,655,553	21,281,939
Current accounts with Bank Indonesia	91,333,237	102,745,583
Current accounts with other banks - net of allowance for impairment losses of Rp 608 as of 31 December 2023 (31 December 2022: Rp 595)	5,603,146	4,639,146
Placements with Bank Indonesia and other banks - net of allowance for impairment losses of Rp 643 as of 31 December 2023 (31 December 2022: Rp 5,463)	2,649,867	29,406,058
Financial assets at fair value through profit or loss	14,144,470	1,368,206
Acceptance receivables - net of allowance for impairment losses of Rp 283,115 as of 31 December 2023 (31 December 2022: Rp 315,457)	14,659,624	15,199,641
Bills receivable - net of allowance for impairment losses of Rp 4,516 as of 31 December 2023 (31 December 2022: Rp 7,135)	10,383,524	5,895,907
Securities purchased under agreements to resell	90,780,368	152,408,798
Loans receivable - net of allowance for impairment losses of Rp 33,168,491 as of 31 December 2023 (31 December 2022: Rp 33,832,635)		
Related parties	8,803,131	9,548,725
Third parties	745,527,767	647,699,980
Investment securities - net of allowance for impairment losses of Rp 351,296 as of 31 December 2023 (31 December 2022: Rp 154,854)	298,289,259	236,401,462
Prepaid expenses	716,210	603,889
Prepaid tax	24,117	23,749
Fixed assets - net of accumulated depreciation of Rp 9,486,999 as of 31 December 2023 (31 December 2022: Rp 9,512,383)	25,962,532	23,890,994
Intangible assets - net of accumulated amortisation of Rp 836,816 as of 31 December 2023 (31 December 2022: Rp 2,114,743)	393,556	396,554
Deferred tax assets - net	7,207,737	7,106,039
Investment in shares - net of allowance for impairment losses of Rp 104,366 as of 31 December 2023 (31 December 2022: Rp 104,366)	10,157,038	10,157,038
Other assets - net of allowance for impairment losses of Rp 200 as of 31 December 2023 (31 December 2022: Rp 213)	22,579,803	14,592,647
TOTAL ASSETS	**1,370,870,939**	**1,283,366,355**

ADDITIONAL INFORMATION
STATEMENTS OF FINANCIAL POSITION (PARENT ENTITY ONLY)
31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

	2023	2022
LIABILITIES AND EQUITY		
LIABILITIES		
Deposits from customers		
Related parties	2,700,327	2,474,751
Third parties	1,079,151,832	1,021,184,852
Deposits from other banks	10,146,440	8,006,041
Financial liabilities at fair value through profit or loss	120,630	383,273
Acceptance payables	6,701,256	9,666,648
Securities sold under agreements to repurchase	972,534	-
Tax payables	1,434,752	2,151,204
Borrowings	60,477	12,464
Estimated losses from commitments and contingencies	3,369,458	3,437,454
Post-employment benefits obligation	8,884,242	7,410,593
Accruals and other liabilities	23,904,545	15,925,205
Subordinated bonds	500,000	500,000
TOTAL LIABILITIES	**1,137,946,493**	**1,071,152,485**
EQUITY		
Share capital - par value per share of Rp 12.50 (full amount)		
Authorised capital: 440,000,000,000 shares		
Issued and fully paid-up capital: 123,275,050,000 shares	1,540,938	1,540,938
Additional paid-in capital	5,711,368	5,711,368
Revaluation surplus of fixed assets	10,801,590	10,579,223
Unrealised gains (losses) on financial assets at fair value through other comprehensive income	933,879	1,794,978
Retained earnings		
Appropriated	3,234,149	2,826,792
Unappropriated	210,702,522	189,760,571
TOTAL EQUITY	**232,924,446**	**212,213,870**
TOTAL LIABILITIES AND EQUITY	**1,370,870,939**	**1,283,366,355**

ADDITIONAL INFORMATION
STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
(PARENT ENTITY ONLY)
FOR THE YEARS ENDED 31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

	2023	2022
OPERATING INCOME AND EXPENSES		
Interest income	81,809,757	67,896,741
Interest expenses	(11,573,524)	(7,847,736)
INTEREST INCOME - NET	70,236,233	60,049,005
OTHER OPERATING INCOME		
Fees and commission income - net	16,562,019	16,455,832
Net income from transaction at fair value through profit or loss	1,803,589	1,132,022
Others	4,216,071	3,863,647
Total other operating income	22,581,679	21,451,501
Impairment losses on assets	(1,904,685)	(4,383,978)
OTHER OPERATING EXPENSES		
Personnel expenses	(14,470,340)	(12,190,691)
General and administrative expenses	(15,743,363)	(13,960,380)
Others	(1,818,214)	(1,969,215)
Total other operating expenses	(32,031,917)	(28,120,286)
INCOME BEFORE TAX	58,881,310	48,996,242
INCOME TAX EXPENSE	(10,895,738)	(9,026,842)
NET INCOME	**47,985,572**	**39,969,400**
OTHER COMPREHENSIVE INCOME:		
Items that will not be reclassified to profit or loss:		
Remeasurements of defined benefit obligation	(554,048)	(355,309)
Income tax on remeasurements of defined benefit liability	105,269	67,509
	(448,779)	(287,800)
Revaluation surplus of fixed assets	230,830	1,189,684
	(217,949)	901,884
Items that will be reclassified to profit or loss:		
Unrealised gains (losses) on financial assets at fair value through other comprehensive income	(1,063,085)	(5,260,917)
Income tax	201,986	999,574
	(861,099)	(4,261,343)
OTHER COMPREHENSIVE INCOME, NET OF INCOME TAX	(1,079,048)	(3,359,459)
TOTAL COMPREHENSIVE INCOME	**46,906,524**	**36,609,941**
BASIC AND DILUTED EARNINGS PER SHARE ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT ENTITY (in full amount)	389	324

ADDITIONAL INFORMATION
STATEMENTS OF CHANGES IN EQUITY (PARENT ENTITY ONLY)
FOR THE YEARS ENDED 31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

	2023						
					Retained earnings		
	Issued and fully paid-up capital	Additional paid-in capital	Revaluation surplus of fixed assets	Unrealised gains (losses) on financial assets at fair value through other comprehensive income-net	Appropriated	Unappropriated	Total equity
Balance, 31 December 2022	**1,540,938**	**5,711,368**	**10,579,223**	**1,794,978**	**2,826,792**	**189,760,571**	**212,213,870**
Net income for the year	-	-	-	-	-	47,985,572	47,985,572
Revaluation surplus of fixed assets	-	-	222,367	-	-	8,463	230,830
Unrealised gains (losses) on financial assets at fair value through other comprehensive income - net	-	-	-	(861,099)	-	-	(861,099)
Remeasurement of defined benefit liability - net	-	-	-	-	-	(448,779)	(448,779)
Total comprehensive income for the year	-	-	222,367	(861,099)	-	47,545,256	46,906,524
General reserve	-	-	-	-	407,357	(407,357)	-
Cash dividends	-	-	-	-	-	(26,195,948)	(26,195,948)
Balance, 31 December 2022	**1,540,938**	**5,711,368**	**10,801,590**	**933,879**	**3,234,149**	**210,702,522**	**232,924,446**

ADDITIONAL INFORMATION
STATEMENTS OF CHANGES IN EQUITY (PARENT ENTITY ONLY)
FOR THE YEARS ENDED 31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

	2022						
	Issued and fully paid-up capital	Additional paid-in capital	Revaluation surplus of fixed assets	Unrealised gains (losses) on financial assets at fair value through other comprehensive income-net	Retained earnings		Total equity
					Appropriated	Unappropriated	
Balance, 31 December 2021	**1,540,938**	**5,711,368**	**9,423,741**	**6,056,321**	**2,512,565**	**169,466,629**	**194,711,562**
Net income for the year	-	-	-	-	-	39,969,400	39,969,400
Revaluation surplus of fixed assets	-	-	1,155,482	-	-	34,202	1,189,684
Unrealised gains (losses) on financial assets at fair value through other comprehensive income - net	-	-	-	(4,261,343)	-	-	(4,261,343)
Remeasurement of defined benefit liability - net	-	-	-	-	-	(287,800)	(287,800)
Total comprehensive income for the year	-	-	1,155,482	(4,261,343)	-	39,715,802	36,609,941
General reserve	-	-	-	-	314,227	(314,227)	-
Cash dividends	-	-	-	-	-	(19,107,633)	(19,107,633)
Balance, 31 December 2022	**1,540,938**	**5,711,368**	**10,579,223**	**1,794,978**	**2,826,792**	**189,760,571**	**212,213,870**

ADDITIONAL INFORMATION
STATEMENTS OF CASH FLOWS (PARENT ENTITY ONLY)
FOR THE YEARS ENDED 31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

	2023	2022
CASH FLOWS FROM OPERATING ACTIVITIES		
Receipts of interest income, fees and commissions	100,562,554	85,094,247
Other operating income	2,300,444	2,151,659
Payments of interest expenses, fees and commissions	(11,495,240)	(7,977,107)
Payments of post-employment benefits	(356,111)	(339,170)
Gains from foreign exchange transactions - net	(461,367)	3,079,816
Other operating expenses	(30,056,445)	(25,895,539)
Payment of tantiem to Board of Commissioners and Board of Directors	(660,000)	(493,000)
Other increases (decreases) affecting cash:		
Placements with Bank Indonesia and other banks - mature more than 3 (three) months from the date of acquisition	477,882	9,848,411
Financial assets at fair value through profit or loss	(12,068,137)	4,866
Acceptance receivables	572,359	(4,054,784)
Bills receivable	(4,489,425)	633,297
Securities purchased under agreements to resell	61,628,430	(6,879,797)
Loans receivable	(99,473,782)	(70,831,811)
Other assets	(7,104,585)	(126,826)
Deposits from customers	58,951,046	50,178,055
Deposits from other banks	2,159,930	(2,193,428)
Acceptance payables	(2,965,392)	3,022,354
Accruals and other liabilities	8,047,642	1,696,809
Net cash provided by (used in) operating activities before income tax	65,569,803	36,918,052
Payment of income tax	(11,232,056)	(9,449,525)
Net cash provided by (used in) operating activities	**54,337,747**	**27,468,527**
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisition of investment securities	(103,795,014)	(93,478,730)
Proceeds from investment securities that matured during the year	40,540,445	68,575,375
Cash dividends received from investment in shares	1,914,400	1,702,184
Paid-in capital on Subsidiary	-	(67,500)
Acquisition of fixed assets	(4,562,590)	(2,497,743)
Acquisition of right-of-use assets	(329,269)	(636,329)
Proceeds from sale of fixed assets	7,705	1,210
Net cash provided by (used in) investing activities	**(66,224,323)**	**(26,401,533)**

ADDITIONAL INFORMATION
STATEMENTS OF CASH FLOWS (PARENT ENTITY ONLY)
FOR THE YEARS ENDED 31 DECEMBER 2023 AND 2022
(Expressed in millions of Rupiah, unless otherwise stated)

	2023	2022
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from borrowings	48,013	11,470
Payment of cash dividends	(26,195,948)	(19,107,633)
Proceeds from securities sold under agreements to repurchase	972,534	-
Net cash provided by (used in) financing activities	**(25,175,401)**	**(19,096,163)**
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(37,061,977)	(18,029,169)
CASH AND CASH EQUIVALENTS, BEGINNING OF YEAR	157,378,246	174,543,314
EFFECT OF FOREIGN EXCHANGE RATE FLUCTUATIONS ON CASH AND CASH EQUIVALENTS	728,503	864,101
CASH AND CASH EQUIVALENTS, END OF YEAR	**121,044,772**	**157,378,246**
Cash and cash equivalents consist of:		
Cash	21,655,553	21,281,939
Current accounts with Bank Indonesia	91,333,237	102,745,583
Current accounts with other banks	5,603,754	4,639,741
Placement with Bank Indonesia and other banks - mature within 3 (three) months or less from the date of acquisition	2,452,228	28,710,983
Total cash and cash equivalents	**121,044,772**	**157,378,246**